

**Waterloo Community School District
Waterloo, Iowa**

**Comprehensive Annual
Financial Report**

June 30, 2018

**Waterloo Community School District
Waterloo, Iowa**

**Comprehensive Annual
Financial Report**

For the Year Ended June 30, 2018

**Submitted By: Financial Services
Michael Coughlin, Chief Financial Officer**

Waterloo Community School District

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Waterloo SCHOOLS

Financial Services
1516 Washington Street
Waterloo, IA 50702

November 12, 2018

To the Board of Education and Citizens
Waterloo Community School District

State law requires that all general-purpose local governments publish a complete set of financial statements presented in conformity with accounting principles and auditing standards generally accepted within the United States of America. Pursuant to that requirement, we hereby formally issue and transmit the comprehensive annual financial report (CAFR) for Waterloo Community School District for the fiscal year ended June 30, 2018.

This report consists of management's representations concerning the finances of Waterloo Community School District. Consequently, management assumes full responsibility for the completeness and reliability of all the information presented in this report. To provide a reasonable basis for making these representations, management of Waterloo Community School District has established a comprehensive internal control framework that is designed both to protect the District's assets from loss, theft or misuse and to compile sufficient reliable information for the preparation of Waterloo Community School District's financial statements in conformity with accounting principles generally accepted in the United States of America (GAAP). Because the cost of internal controls should not outweigh their benefits, Waterloo Community School District's comprehensive framework of internal controls has been designed to provide reasonable rather than absolute assurance that the financial statements will be free from material misstatement. As management, we assert that, to the best of our knowledge and belief, this financial report is complete and reliable in all material respects.

BerganKDV, Ltd., a firm of licensed certified public accountants, has audited Waterloo Community School District's financial statements. The goal of the independent audit was to provide reasonable assurance that the financial statements of Waterloo Community School District for the fiscal year ended June 30, 2018, are free of material misstatement. The independent audit involved examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements; assessing the accounting principles used and significant estimates made by management; and evaluating the overall financial statement presentation. The independent auditor concluded, based upon the audit, that there was a reasonable basis for rendering an unmodified opinion that Waterloo Community School District's financial statements for the fiscal year ended June 30, 2018, are fairly presented in conformity with GAAP. The independent auditor's report is presented as the first component of the financial section of this report.

The independent audit of the financial statements of Waterloo Community School District was part of a broader, federally mandated "Single Audit" designed to meet the special needs of federal grantor agencies. The standards governing Single Audit engagements require the independent auditor to report not only on the fair presentation of the financial statements, but also on the audited government's internal controls and compliance with legal requirements involving the administration of federal awards. These reports are available in Waterloo Community School District's separately issued compliance report.

GAAP requires that management provide a narrative introduction, overview and analysis to accompany the basic financial statements in the form of Management's Discussion and Analysis (MD&A). This letter of transmittal is designed to complement MD&A and should be read in conjunction with it. Waterloo Community School District's MD&A can be found immediately following the report of the independent auditors.

Profile of Waterloo Community School District

Waterloo Community School District is governed by a seven-member elected Board of Education who serve four-year terms. The Board of Education is a policy-making and planning body whose decisions are carried out by school administrators. Waterloo Community School District is the seventh largest of Iowa's public schools. The enrollment is 10,878 students. Enrollment is expected to slightly increase for the 2018-19 school year. Waterloo Community School District operates a total of two regular high schools, one alternative high school, four middle schools, eleven elementary schools and various preschool locations. School buildings range in age from over 90 years old to a few years old. All facilities are in excellent condition as a rigorous maintenance schedule is followed. Waterloo Community School District provides a full range of educational services appropriate to students in early childhood and grades kindergarten through twelve. These services include regular and enriched academic education, special education for children with special needs, vocational education and numerous individualized programs such as specialized instruction for students at-risk and for limited-English-speaking students.

This report includes all funds of Waterloo Community School District. The District has no material component units and is not a component of another entity. The District provides a full range of services including instructional, administrative, transportation, food service, maintenance of sites and facilities, custodial, clerical, extra-curricular, co-curricular athletic and community education.

Waterloo Community School District maintains budgetary controls. The objective of these budgetary controls is to ensure compliance with legal provisions embodied in the annual appropriated budget approved by the Board of Education. Activities of the general fund, debt service fund, special revenue funds, capital projects fund and enterprise fund are included in the annual appropriated budget. The level of budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is established at the function level for all funds combined rather than at the individual fund level. During the year ended June 30, 2018, Waterloo Community School District did not exceed the amount budgeted in any function area and did not exceed its general fund unspent authorized budget.

Annually, Waterloo Community School District's Board of Education adopts a budget and approves the appropriations for the general fund, debt service fund, special revenue funds, capital projects fund and enterprise fund in accordance with provisions outlined in the Statutes of the State of Iowa. The budgets are prepared on a modified accrual basis. During the fiscal year, monthly financial reports are prepared comparing the budget to actual receipts and disbursements of the various funds.

Relevant financial policies

Waterloo Community School District operates under the laws as defined in the *Code of Iowa* and policies as determined by the local Board of Education. A comprehensive accounting system is promulgated by the Iowa Department of Education including account numbers for revenue and expenditures by function and object. The District additionally tracks revenue by source of funds and expenditures by location, curricular program and funding source. Annual budgets are provided to the Department of Management and annual financial reports are provided to the Iowa Department of Education in their prescribed formats. Periodic financial reports are submitted to the Iowa Department of Education or other granting agencies for many federal and state grants.

Waterloo Community School District's Board of Education takes its fiduciary responsibility very seriously. It has adopted policies defining a budgeting process, financial reporting, purchasing, facilities planning, insurance and cash management. Idle cash is invested in Board-approved allowable investments which include certificates of deposit, money markets, pooled investment trusts and obligations of the United States Treasury or its agencies. A quarterly investment report is provided indicating performance of investments to a comparative benchmark.

Local economy and economic outlook

The economic condition and outlook of Waterloo Community School District have improved in recent years, following many years of declining enrollment and slow economic growth. Waterloo Community School District's total taxable property valuation declined during the 1980's to a low \$1,520,527,165 in 1989-90. Since then the total taxable property valuation has risen to \$2,689,853,345 in 2017-18. However, the taxable valuation has been impacted by state mandated rollback in taxable valuation. The taxable valuation is currently only 56.9% of the assessed valuation for property. Commercial property is taxed at 90% of the total valuation. The valuation of commercial property is approximately 50% of residential property.

Retail sales are steadily increasing and are projected to continue if economic conditions remain favorable. For most of the metropolitan area, the economy continues to improve.

Long-term financial planning

Waterloo Community School District is located in Black Hawk County. There is a statewide pool, with participating counties contributing tax revenue and then receiving back an allocation based on student enrollment. This funding is now known as secure an advanced vision for education (SAVE). All ninety-nine counties in Iowa currently have the one-cent local option tax for school districts. The Iowa legislature has enacted the program as permanent throughout the state, rather than individually by county. Community input as well as professional analysis has been taken into consideration for the overall plan of construction and remodeling.

Major initiatives

Waterloo Community School District annually adopts goals and establishes a plan of action to achieve fiscal and educational goals. Many initiatives have been undertaken to improve the conditions necessary to improve student achievement. High school graduates are required to achieve a score of 251 on two important tests in the Iowa Tests of Educational Development. During the 2017-18 school year, 100% of our non-exempt graduating seniors attained the 251 requirement. Average daily attendance has remained above 92% for the past ten years. Graduation rates have remained relatively steady with a rate of 70.5% in 2002 compared to 84.1% for 2018.

On June 30, 2015, voters of the District approved the continuation of the property, plant and equipment property tax levy (PPEL) for another ten years through fiscal year 2027. The levy passed with 81% approval.

For the 2015-2016 school year, Waterloo West and East High Schools were initially approved and continue as International Baccalaureate (IB) Schools. IB Schools have access to high-quality programs of education, which support development of knowledgeable and inquiring students, professional development that supports effective educators and collaborative professional learning communities and a worldwide network of highly respected 18 Schools working together to share best practice.

It is the District's quest to provide the best education for their students and ensure each child has a promising and fulfilling future. The District is seeking an expanded opportunity for their high schools. The work done by the High School Reform Task Force and Reform Steering Committee members and District staff over the past 4 years has provided recommendations to greatly enhance offerings in the area of career and technical education in the District by reengaging students at higher levels while setting them on a course to be better prepared for life after high school. Staff and community came together to determine the best course for District students through the following committees and initiatives:

The District will implement 15-18 career and technical education programs in phases over the next 3-4 years, remodel and expand the Central Middle School facility to house these career and technical education programs and initiate needed building improvements at East and West High Schools and prioritize other funds (SAVE/PPEL) to continue renovation at all three high schools.

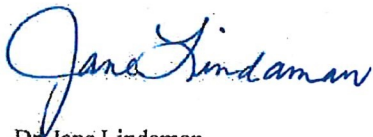
Awards and acknowledgements

Waterloo Community School District received the Certificate of Excellence in Financial Reporting from the Association of School Business Officials (ASBO) for the twenty-first consecutive year for the fiscal year ended June 30, 2017. Upon recommendation of the Association's Panel of Review, which has judged that the report substantially conforms to principles and standards of ASBO's Certificate of Excellence Program, we are submitting this report to ASBO to determine its eligibility for another certificate.

The Government Finance Officers Association of the United States and Canada (GFOA) presented the Award of Financial Reporting Achievement to Waterloo Community School District for its comprehensive annual financial report for the fiscal year ended June 30, 2017. This was the twenty-first consecutive year the District has achieved this prestigious award. In order to be awarded a certificate of achievement, a government must publish an easily readable and efficiently organized comprehensive annual financial report. This report must satisfy both generally accepted accounting principles and applicable legal requirements.

A certificate of achievement is valid for a period of one year only. We believe our current comprehensive annual financial report continues to meet the GFOA's Achievement Program requirements, and we are submitting it to the GFOA to determine its eligibility for another certificate.

The preparation of this report on a timely basis could not have been accomplished without the efficient and dedicated efforts of the Financial Services staff of Waterloo Community School District. We would like to express our appreciation to all who assisted and contributed to this report with a special thanks to Nancy Schulzetenberg, CPA of BerganKDV, Ltd. Also, appreciation is expressed for the interest and support of the Board of Education in conducting the financial operations of the District in a most responsible and progressive manner.



Dr. Jane Lindaman
Superintendent of Schools



Michael L. Coughlin
Chief Financial Officer/Treasurer



Government Finance Officers Association

**Certificate of
Achievement
for Excellence
in Financial
Reporting**

Presented to

**Waterloo Community School District
Iowa**

For its Comprehensive Annual
Financial Report
for the Fiscal Year Ended

June 30, 2017

Christopher P. Morrell

Executive Director/CEO



ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL

**The Certificate of Excellence in Financial Reporting
is presented to**

Waterloo Community School District

**for its Comprehensive Annual Financial Report (CAFR)
for the Fiscal Year Ended June 30, 2017.**

The CAFR has been reviewed and met or exceeded
ASBO International's Certificate of Excellence standards.



A handwritten signature in black ink, reading 'Charles E. Peterson, Jr.'.

Charles E. Peterson, Jr., SFO, RSBA, MBA
President

A handwritten signature in black ink, reading 'John D. Musso'.

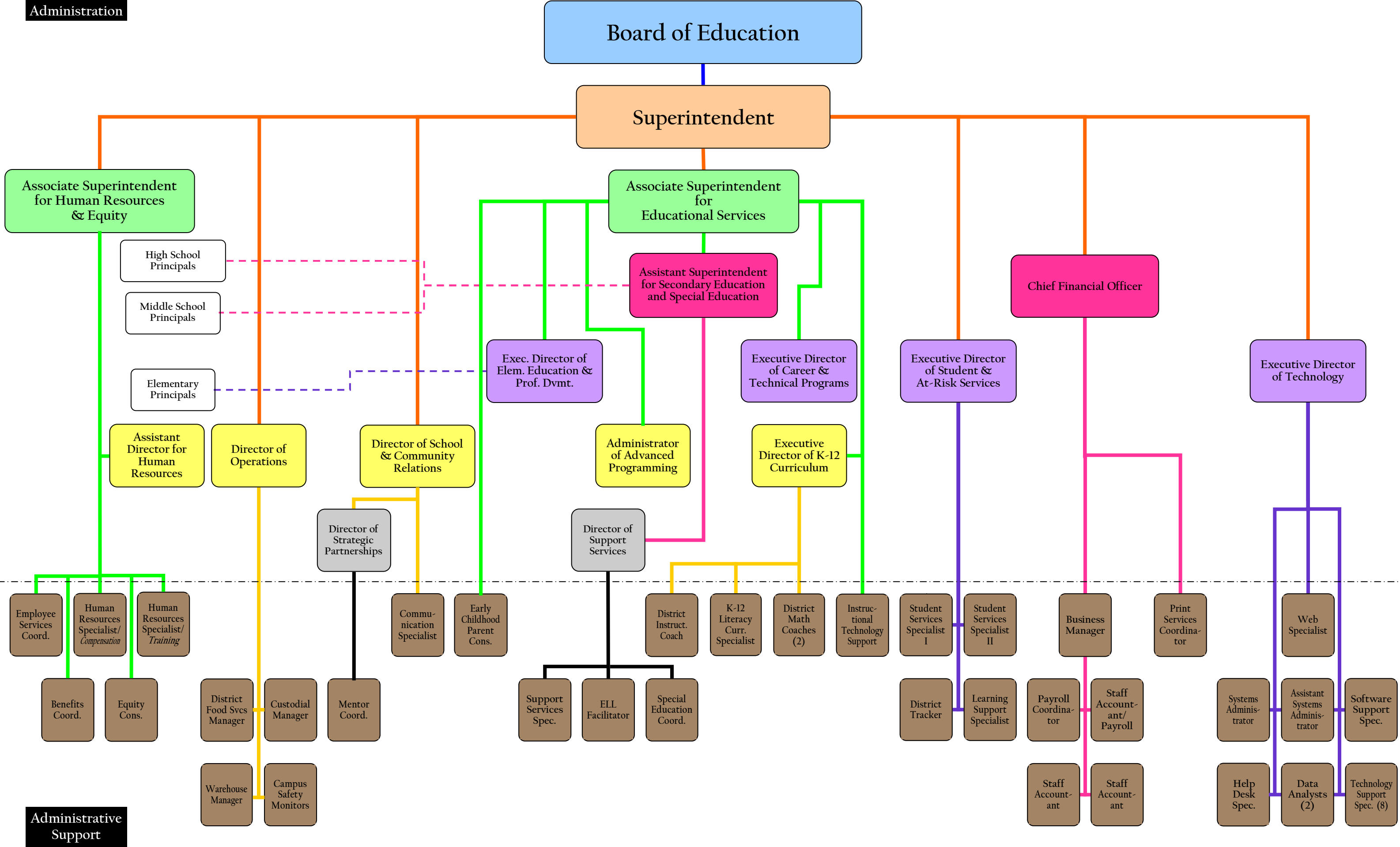
John D. Musso, CAE
Executive Director

Waterloo Community School District
District Administration
June 30, 2018

Dr. Jane Lindaman – Superintendent of Schools
Dr. Charles McNulty – Associate Superintendent for Educational Services
Dr. Beverly Smith – Associate Superintendent for Human Resources & Equity
Michael Coughlin – Chief Financial Officer/Treasurer
Dr. Willie Barney – Executive Director of Supplemental Services
Jeff Frost – Executive Director of Professional Education
Matt O’Brien – Executive Director of Technology
Cora Turner – Executive Director of Student & At-Risk Services
Comfort Akwaji-Anderson – Director of Curriculum
Darren Hanna – Director of Elementary Education
Larry Martin – Director of Support Services
Marty Metcalf – Director of Operations
Stephanie Mohorne – Director of Middle School Education
Tara Thomas – Director of School & Community Relations
Marla Padgett – Principal, East High
Andy Miehle – Principal, West High
Cary Wieland – Principal, Expo Alternative Learning Center
Rachel Savage – Principal, Bunger Middle School
Stephanie Mohorne – Principal, Carver Academy
Ross Bauer – Principal, Central Middle School
Mike Fisher – Principal, Hoover Middle School
Melissa Steggall – Principal, Becker Elementary
Lucy Evans – Principal, Cunningham School for Excellence
Matt Willand – Principal, Highland Elementary
Amy Schmidt – Principal, Irving Elementary
Amber Dietz – Principal, Kingsley Elementary
Audrey Wallican-Green – Principal, Kittrell Elementary
Brad Schweppe – Principal, Lincoln Elementary
Jake Young-Kent – Principal, Lou Henry Elementary
Carrie Heinzerling – Principal, Lowell Elementary
Sunni Hart – Principal, Orange Elementary
Jennifer Willand – Principal, Poyner Elementary
Dr. Charletta Sudduth – Early Childhood Coordinator
Brenton Shavers – Assistant Principal/Athletic Director, East High
Bryan Jurrens – Administrative Assistant, East High
Josh Payton – Assistant Principal, East High
Sharrie Wright – Assistant Principal, East High
Allie Hildman – Assistant Principal, West High
Byron Phillips – Assistant Principal, West High
Steve Winters – Assistant Principal, West High
Zach O’Brien – Assistant Principal, West High
Dr. Tony Pappas – PBDA Principal/Athletic Director, West High
Henry Shepherd – Assistant Principal, Expo Alternative Learning Center
Charlotte Coleman – Assistant Principal, Expo Alternative Learning Center
Francisco Pepin – Assistant Principal, Bunger Middle School
Sheena Canady – Assistant Principal, Carver Academy
Steve Thune – Assistant Principal, Carver Academy
Dr. Kathy Jenkins – Assistant Principal, Central Middle School
Mike Thomas – Assistant Principal, Central Middle School
Mike Landers – Assistant Principal, Central Middle School
Dr. Debbie Lee – Interim Assistant Principal, Hoover Middle School
Sue Flodeen – Assistant Principal, Hoover Middle School
Sam Kreassig – Assistant Principal, Hoover Middle School
Cassandra Hart – Assistant Principal, Cunningham School for Excellence
Mikayla Montgomery – Assistant Principal, Cunningham School for Excellence

**Waterloo Community School District
Board of Education and Administration
June 30, 2018**

<u>Board of Education</u>	<u>Position</u>	<u>Term Expires</u>
Shanlee McNally	President	November 2021
Sue Flynn	Vice President	November 2019
Jesse Knight	Board Member	November 2019
Astor Williams	Board Member	November 2021
Lyle Schmitt	Board Member	November 2019
Rhonda McRina	Board Member	November 2019
Endya Johnson	Board Member	November 2021
 <u>School Officials</u>		
Dr. Jane Lindaman	Superintendent	Indefinite
Pam Arndorfer	District Secretary	2018
Michael Coughlin	District Treasurer	2018
Steve Weidner	Attorney	Indefinite
Timothy Luce	Attorney	Indefinite



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FINANCIAL SECTION

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Independent Auditor's Report

To the School Board
Waterloo Community School District
Waterloo, Iowa

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Waterloo Community School District, Waterloo, Iowa, as of and for the year ended June 30, 2018, and the related notes to financial statements, which collectively comprise the District's basic financial statements as listed in the Table of Contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the District's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to in the first paragraph present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Waterloo Community School District, Waterloo, Iowa, as of June 30, 2018, and the respective changes in financial position and, where applicable, cash flows thereof, for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Implementation of GASB 75

As discussed in Note 17 to the financial statements, the District has adopted new accounting guidance, Governmental Accounting Standards Board (GASB) Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other than Pensions*. Our opinion is not modified with respect to this matter.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis, which follows this report letter, and the Required Supplementary Information as listed in the Table of Contents be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the GASB, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the Required Supplementary Information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The Introductory Section, the supplementary information identified in the Table of Contents and the Statistical Section are presented for purposes of additional analysis and are not a required part of the basic financial statements.



Other Matters (Continued)

Other Information (Continued)

The accompanying supplementary information identified in the Table of Contents is the responsibility of management and was derived from and relates directly to, the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The Introductory and Statistical Sections have not been subjected to the audit procedures applied in the audit of the basic financial statement and, accordingly, we do not express an opinion or provide any assurance on them.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated November 12, 2018, on our consideration of the District's internal control over financial reporting and our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

A handwritten signature in black ink that reads 'BerganKDV, Ltd.'.

St. Cloud, Minnesota
November 12, 2018

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MANAGEMENT'S DISCUSSION AND ANALYSIS

Waterloo Community School District provides this management's discussion and analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2018. We encourage readers to consider this information in conjunction with the District's financial statements, which follow this narrative overview and analysis.

Financial Highlights

- The assets and deferred outflows of resources of Waterloo Community School District exceeded its liabilities and deferred inflows of resources at the close of the most recent fiscal year by \$91,356,520 (net position).
- The General Fund cash, cash equivalents and investments increased \$3,885,202 and the General Fund balance increased \$2,716,556.
- The State of Iowa granted a 1.11% state supplementary aid [SSA] previously known as allowable growth increase for fiscal year 2018 and previously a 2.25% SSA increase for fiscal year 2017 and 1.25% in fiscal year 2016, 4% in fiscal year 2015 and 2% in fiscal years 2014 and 2013. As a general rule, a SSA /allowable growth rate of 6% is required to fully maintain the increases of the budget for all programs to remain constant. The past history of the allowable growth rate set between 0% and 4% has posed many challenges to the District's educational delivery system.
- By 2008 State Legislative action, Local Option Sales and Service Tax (LOSST) which had been voter approved in every county, was changed to a state tax, Secure an Advanced Vision for Education (SAVE). The one-cent sales tax will be in effect until 2029 and subject to review and extension. The state collections will be received by the districts based upon enrollment times an estimated three-year average which will reduce the actual funds received in Black Hawk County by approximately 20%, but guarantees the longevity and ability for the District to bond against the proceeds for future facility projects.
- Since the original LOSST/SAVE funding began in fiscal year 1999-2000, the District has constructed nine new elementary schools, one new middle school, extensively remodeled two elementary schools and completed other significant projects.

Walter Cunningham School of Excellence	2001-2002	New Building
East High School	2001-2002	Commons Area
West High School	2001-2002	Commons Area
Irving Elementary	2002-2003	New Building
Bunger Middle School	2003-2004	Classrooms Addition
Lincoln Elementary	2003-2004	New Building
Lou Henry Elementary	2004-2005	New Building
Hoover Middle School	2004-2005	Classrooms Addition
Kingsley Elementary	2005-2006	Remodel Building
Lowell Elementary	2004-2008	Remodel Building
Poyner Elementary	2006-2007	New Building
East High School	2006-2007	Auditorium Project
West High School	2006-2007	Locker Room Project
East High School	2007-2008	Locker Room Project
West High School	2008-2009	Auditorium Project
George Washington Carver Academy	2008-2009	New Building
Kittrell Elementary School	2008-2009	New Building
Highland Elementary School	2008-2009	New Building
Expo Alternative Education Center	2010-2011	Remodel Building
Kittrell Early Childhood Center	2010-2011	Remodel Building
West High School	2011-2012	Remodel Classrooms
Fred Becker Elementary	2011-2012	New Building
Orange Elementary	2012-2013	New Building
Hoover Middle School	2012-2014	Music and Commons Area
Bus Garage/Technology Offices	2014-2015	Remodel Buildings
Waterloo Career Center	2015-2018	Remodel Building

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

Management's discussion and analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.

The government-wide financial statements consist of a statement of net position and a statement of activities. These provide information about the activities of Waterloo Community School District as a whole and present an overall view of the District's finances.

The fund financial statements tell how governmental services were financed in the short term as well as what remains for future spending. Fund financial statements report Waterloo Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining financial statements provide information about activities for which Waterloo Community School District acts solely as an agent or custodian for the benefit of those outside of the District.

Notes to the financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.

Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year, the District's proportionate share of the net pension liability and related contributions, as well as presenting the schedule of changes in total OPEB liability for the retiree health plan.

Supplementary information provides detailed information about the nonmajor governmental funds.

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

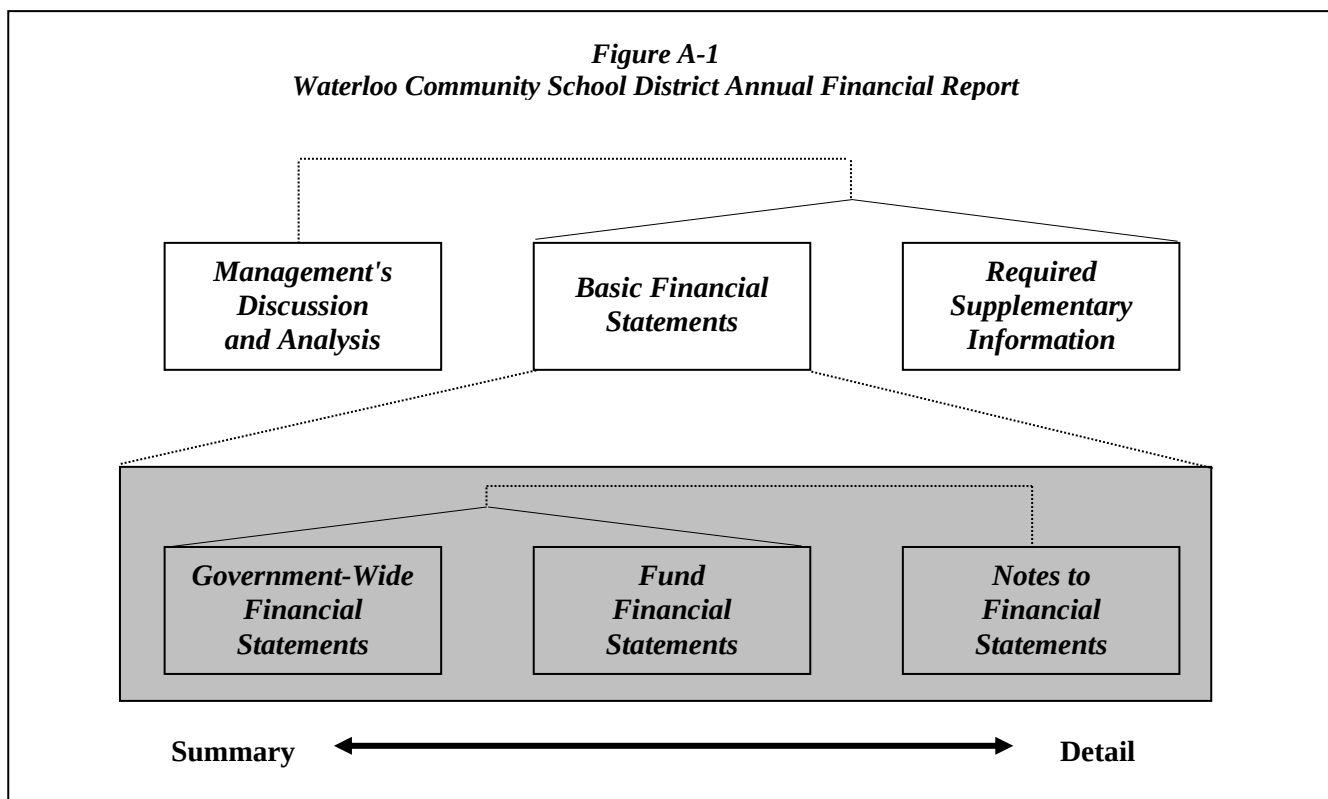


Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2 Major Features of the Government-Wide and Fund Financial Statements				
	Government-Wide Statements	Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance	Activities the District operates similar to private businesses: food services and internal services	Instances in which the District administers resources on behalf of someone else, such as scholarship programs and agency monies
Required financial statements	• Statement of net position • Statement of activities	• Balance sheet • Statement of revenue, expenditures and changes in fund balances	• Statement of net position • Statement of revenue, expenses and changes in fund net position • Statement of cash flows	• Statement of fiduciary net position • Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of deferred outflow/inflow information	Consumption/acquisition of net position that is applicable to a future reporting period	Consumption/acquisition of fund balance that is applicable to a future reporting period	Consumption/acquisition of net position that is applicable to a future reporting period	Consumption/acquisition of net position that is applicable to a future reporting period
Type of inflow/outflow information	All revenue and expenses during year, regardless of when cash is received or paid	Revenue for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenue and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The statement of net position includes all of the District's assets, deferred outflows of resources, liabilities and deferred inflows of resources, with the difference reported as net position. All of the current year's revenue and expenses are accounted for in the statement of activities, regardless of when cash is received or paid.

The two government-wide financial statements report the District's net position and how it has changed. Net position is one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position is an indicator of whether financial position is improving or deteriorating. To assess the District's overall health, additional nonfinancial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities, need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

- *Governmental activities:* Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.
- *Business-type activities:* The District charges fees to help cover the costs of certain services it provides. The District's school nutrition program is included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds or to show it is properly using certain revenue such as federal grants.

The District has three kinds of funds:

1. *Governmental funds:* Most of the District's basic services are included in governmental funds, which generally focus on (a) how cash and other financial assets that can readily be converted to cash flow in and out and (b) the balances left at year end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

The District's governmental funds include the General Fund, the Special Revenue Funds, the Debt Service Fund and the Capital Projects Fund.

The required financial statements for governmental funds include a balance sheet and a statement of revenue, expenditures and changes in fund balances.

2. *Proprietary funds:* Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's enterprise fund, one type of proprietary fund, is the same as its business-type activities, but provides more detail and additional information, such as cash flows. The District's enterprise fund is the School Nutrition Fund. Internal service funds, the other type of proprietary fund, are optional and available to report activities that provide supplies and services for other District programs and activities. The District's internal service fund is the Print Shop Fund.

The required financial statements for proprietary funds include a statement of net position, a statement of revenue, expenses and changes in fund net position and a statement of cash flows.

3. *Fiduciary Funds*: The District is the trustee, or fiduciary, for assets that belong to others. These funds include the Private-Purpose Trust and Agency Funds.

The Private-Purpose Trust Fund is used to account for outside donations for scholarships for individual students.

The Agency Fund is used to account for assets held by the District as an agent for individuals and committees within the District for various designated purposes.

The District is responsible for ensuring that the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds include a statement of fiduciary net position and a statement of changes in fiduciary net position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Figure A-3 below provides a summary of the District's net position as of June 30, 2018 compared to June 30, 2017.

Figure A-3
Condensed Statement of Net Position

	<u>Governmental Activities</u>		<u>Business-Type Activities</u>		<u>Total District</u>		<u>Total Change June 30, 2018-17</u>
	<u>June 30,</u>		<u>June 30,</u>		<u>June 30,</u>		
	<u>2018</u>	<u>2017</u>	<u>2018</u>	<u>2017</u>	<u>2018</u>	<u>2017</u>	
Current and other assets	\$ 117,401,143	\$ 100,026,347	\$ 908,987	\$ 699,803	\$ 118,310,130	\$ 100,726,150	17.46%
Capital assets	<u>170,199,625</u>	<u>168,413,806</u>	<u>632,686</u>	<u>698,528</u>	<u>170,832,311</u>	<u>169,112,334</u>	1.02%
Total Assets	<u>287,600,768</u>	<u>268,440,153</u>	<u>1,541,673</u>	<u>1,398,331</u>	<u>289,142,441</u>	<u>269,838,484</u>	7.15%
Deferred Outflows of Resources	<u>21,792,380</u>	<u>20,970,534</u>	<u>475,431</u>	<u>435,777</u>	<u>22,267,811</u>	<u>21,406,311</u>	4.02%
Total Assets and Deferred Outflows of Resources	<u>\$ 309,393,148</u>	<u>\$ 289,410,687</u>	<u>\$ 2,017,104</u>	<u>\$ 1,834,108</u>	<u>\$ 311,410,252</u>	<u>\$ 291,244,795</u>	6.92%
Current liabilities	\$ 19,472,704	\$ 16,797,442	\$ 182,436	\$ 187,390	\$ 19,655,140	\$ 16,984,832	15.72%
Long-term liabilities	<u>153,920,526</u>	<u>138,797,989</u>	<u>1,960,021</u>	<u>1,588,173</u>	<u>155,880,547</u>	<u>140,386,162</u>	11.04%
Total Liabilities	<u>173,393,230</u>	<u>155,595,431</u>	<u>2,142,457</u>	<u>1,775,563</u>	<u>175,535,687</u>	<u>157,370,994</u>	11.54%
Deferred Inflows of Resources	<u>44,410,321</u>	<u>43,403,373</u>	<u>107,724</u>	<u>58,545</u>	<u>44,518,045</u>	<u>43,461,918</u>	2.43%
Net Position							
Net investment in capital assets	104,277,255	99,742,300	632,686	698,528	104,909,941	100,440,828	4.45%
Restricted	26,709,802	26,714,296	—	—	26,709,802	26,714,296	(0.02%)
Unrestricted	<u>(39,397,460)</u>	<u>(36,044,713)</u>	<u>(865,763)</u>	<u>(698,528)</u>	<u>(40,263,223)</u>	<u>(36,743,241)</u>	(9.58%)
Total Net Position	<u>91,589,597</u>	<u>90,411,883</u>	<u>(233,077)</u>	<u>—</u>	<u>91,356,520</u>	<u>90,411,883</u>	1.04%
Total Liabilities, Deferred Inflows of Resources and Net Position	<u>\$ 309,393,148</u>	<u>\$ 289,410,687</u>	<u>\$ 2,017,104</u>	<u>\$ 1,834,108</u>	<u>\$ 311,410,252</u>	<u>\$ 291,244,795</u>	6.92%

The District's total net position increased 1.04%, or approximately \$944,637, from the prior year. The primary reason for the increase was steady revenue and a continued effort to closely monitor expenses.

The largest portion of the District's net position is invested in capital assets (e.g., land, buildings and equipment), less the related debt. The debt related to the investment in capital assets is liquidated with resources other than capital assets. The primary reason for the decrease is due to continued depreciation on existing assets.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position decreased approximately \$4,494, or 0.02%, over the prior year.

Unrestricted net position - the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements - decreased approximately \$3,519,982, or 9.58%. The decrease in unrestricted net position was primarily a result of annual pension and OPEB expense.

Figure A-4 shows the changes in net position for the year ended June 30, 2018 compared to the year ended June 30, 2017.

Figure A-4
Changes in Net Position

	<u>Governmental Activities</u>		<u>Business-Type Activities</u>		<u>Total District</u>		<u>Total</u>
	<u>2018</u>	<u>2017</u>	<u>2018</u>	<u>2017</u>	<u>2018</u>	<u>2017</u>	<u>Change</u>
							<u>2018-17</u>
Revenue							
Program Revenue							
Charges for service	\$ 2,660,378	\$ 3,190,532	\$ 1,061,450	\$ 1,294,810	\$ 3,721,828	\$ 4,485,342	(17.02%)
Operating grants, contributions and restricted interest	29,499,730	28,218,619	5,268,699	4,800,811	34,768,429	33,019,430	5.30%
Capital grants, contributions and restricted interest	104,422	452,249	—	—	104,422	452,249	(76.91%)
General Revenue							
Property tax	41,145,038	41,042,810	—	—	41,145,038	41,042,810	0.25%
Statewide sales, services and use tax	10,067,844	10,404,246	—	—	10,067,844	10,404,246	(3.23%)
Unrestricted state grants	64,174,857	63,834,387	—	—	64,174,857	63,834,387	0.53%
Unrestricted investment earnings	787,325	381,908	4,098	1,150	791,423	383,058	106.61%
Gain on disposal of capital assets	40,850	---	---	904	40,850	904	4418.81%
Transfers	(61,207)	—	61,207	---	---	---	---
Transfers							
Total Revenue	<u>148,419,237</u>	<u>147,524,751</u>	<u>6,395,454</u>	<u>6,097,675</u>	<u>154,814,691</u>	<u>153,622,426</u>	0.78%
Program Expenses							
Instruction	89,628,179	86,641,762	—	—	89,628,179	86,641,762	3.45%
Support services	44,817,472	43,012,566	—	—	44,817,472	43,012,566	4.20%
Noninstructional programs	995,563	820,652	6,397,986	6,097,675	7,393,549	6,918,327	6.87%
Other	8,009,807	8,428,363	—	—	8,009,807	8,428,363	(5.0%)
Total Expenses	<u>143,451,021</u>	<u>138,903,343</u>	<u>6,397,986</u>	<u>6,097,675</u>	<u>149,849,007</u>	<u>145,001,018</u>	3.34%
Change in Net Position	4,968,216	8,621,408	(2,532)	---	4,965,684	8,621,408	(42.40%)
Change in Accounting Principle	(3,790,502)	---	(230,545)	---	(4,021,047)	---	100.00%
Net Position - Beginning of Year	<u>90,411,883</u>	<u>81,790,475</u>	<u>—</u>	<u>---</u>	<u>90,411,883</u>	<u>81,790,475</u>	10.54%
Net Position - End of Year	<u>\$ 91,589,597</u>	<u>\$ 90,411,883</u>	<u>\$ (233,077)</u>	<u>\$ —</u>	<u>\$ 91,356,520</u>	<u>\$ 90,411,883</u>	1.04%

In fiscal year 2018, property tax and unrestricted state grants accounted for 71.0% of governmental activities revenue while charges for service and operating grants, contributions and restricted interest accounted for almost 100% of business-type activities revenue. The District's total revenue was approximately \$154.8 million, of which approximately \$148.4 million was for governmental activities and \$6.4 million was for business-type activities.

As shown in Figure A-4, the District as a whole experienced a less than 1.0% increase in revenue and a 3.34% increase in expenses. The overall change in revenue was immaterial. The increase in expenses is primarily related to higher wage and benefit costs.

Governmental Activities

Revenue for governmental activities was \$148,419,237 and expenses were \$143,451,021, which amounted to an increase in net position of \$4,968,216 for the year ended June 30, 2018.

The following table presents the total and net cost of the District's major governmental activities: instruction, support services, noninstructional programs and other expenses for the year ended June 30, 2018 compared to the year ended June 30, 2017.

Figure A-5
Total and Net Cost of Governmental Activities

	<u>Total Cost of Services</u>		<u>Change</u> <u>2018-17</u>	<u>Net Cost of Services</u>		<u>Change</u> <u>2018-17</u>
	<u>2018</u>	<u>2017</u>		<u>2018</u>	<u>2017</u>	
Instruction	\$ 89,628,179	\$ 86,641,762	3.45%	\$ 58,942,407	\$ 56,919,620	3.55%
Support services	44,817,472	43,012,566	4.20%	44,064,832	41,696,773	5.68%
Noninstructional programs	995,563	820,652	21.31%	995,563	820,652	21.31%
Other	8,009,807	8,428,363	(5.00%)	7,183,689	7,604,898	(5.54%)
Total	<u>\$ 143,451,021</u>	<u>\$ 138,903,343</u>	3.27%	<u>\$ 111,186,491</u>	<u>\$ 107,041,943</u>	3.87%

For the year ended June 30, 2018:

- The cost financed by users of the District's programs was \$2,660,378.
- Federal and state governments and private entities subsidized certain programs with grants and contributions totaling \$29,499,730.
- The net cost of governmental activities was financed with \$51,212,882 in property and other taxes, \$64,174,857 in unrestricted state grants and \$787,325 in unrestricted investment earnings.

Business-Type Activities

Revenue for business-type activities during the year ended June 30, 2018 was \$6,395,454, representing a 4.9% increase over the prior year, while expenses totaled \$6,397,986, a 4.9% increase over the prior year. The District's business-type activities include the School Nutrition Fund. Revenue of these activities was comprised of charges for service, federal and state reimbursements and grants and investment earnings.

- Business-type activities revenue was equal to expenses for fiscal year 2018 and revenue equalled expenses for fiscal year 2017.
- Charges for service represent 16.6% of total revenue for fiscal years 2018. This represents the amount paid by students/staff for daily food service.
- Federal and state operating grants, included reimbursement for meals, payments for free and reduced lunches, commodities provided to the District and other miscellaneous grants, totaled \$5,268,699, or 82.3%, of total revenue. This is reflective of the District's population of "free and reduced" students, which was approximately 66% of total students.

INDIVIDUAL FUND ANALYSIS

As previously noted, Waterloo Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$59,074,660, an increase of \$16,156,617 from last year's ending fund balances of \$42,918,043. The primary reason for the increase in combined fund balances at the end of fiscal year 2018 was due to a new Sales Tax Revenue Bond of \$16,667,000 obtained to finance the Waterloo Career Center. Revenue did not vary significantly from the prior year; an increase of less than 0.06%. Expenditures increased 7.6% due to additional investment in salary and benefits.

Governmental Fund Highlights

The General Fund is the chief operating fund of the District. At the end of fiscal year 2018, unassigned fund balance of the General Fund was \$19,273,937 while total fund balance increased from \$18,894,311 at the end of fiscal year 2017 to \$21,610,867 at the end of fiscal year 2018.

The General Fund balance increased by \$2,716,556, or 14.4%, during the current fiscal year. The primary reasons for this increase was an increase in state and federal grant programs.

The Debt Service Fund balance increased from \$12,636,227 at the end of fiscal year 2017 to \$14,412,575 at the end of fiscal year 2018. Current year expenditures included bond interest and fiscal charges and principal payments. The increase in fund balance is primarily related to the use of the sinking fund to hold QSCB Bond payments until full bond is mature.

The Capital Projects Fund balance increased from \$8,414,802 as of June 30, 2017 to \$19,959,174 as of June 30, 2018. Revenue increased due to the Sales Tax Revenue Bond obtained to fund the Waterloo Career Center. Expenditures increased in the current year primarily due to the remodeling of Central Middle School to house the Waterloo Career Center. Transfers to the Debt Service Fund increased due to the increased debt payment requirements.

Proprietary Fund Highlights

School Nutrition Fund net position was (\$233,077) as of June 30, 2018. Revenue increased slightly primarily due to increased federal and state meal reimbursements. In 2018, the District enrolled ten buildings in the Community Eligibility Provision {CEP} which offers free breakfast and lunch to the student population. The decrease in unrestricted net position was primarily a result of annual pension and OPEB expense.

BUDGETARY HIGHLIGHTS

In accordance with state law, the school board annually adopts a budget following the public notice and hearing requirements. Although the budget document presents functional area expenditures or expenses by fund, the legal level of control is at the aggregated functional level, not at the fund or fund type level. The District adopts a budget in April for the following year and at the same time considers a budget amendment for expenditures for the current year. The District amended its original budget for fiscal year 2018 primarily to increase expenditures for staffing costs, staffing reclassification and construction projects.

A schedule showing the original and final budget amounts compared to the District's actual financial activity is provided in this report as required supplementary information.

The District's total revenue was \$1,640,909 less than total budgeted revenue, a variance of 1.0%, primarily due to less Federal and State revenue received than anticipated.

Total expenditures were \$26,343,721 less than total budgeted expenditures, a variance of 14.5%, primarily due to the staffing costs being lower than anticipated and the construction project not completed to anticipated level.

The certified budget was not exceeded in any area during the year and the District's total spending authority was not exceeded.

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets

As of June 30, 2018, the District had invested \$170,832,311, net of accumulated depreciation, in a broad range of capital assets, including land, buildings and improvements, land improvements, equipment, furniture and construction in progress. (See Figure A-6). This represents a net increase of 1.0% from last year. More detailed information about the District's capital assets is presented in Note 6 to the financial statements. Depreciation expense was \$5,745,071 for Governmental Activities and \$130,568 for Business-Type Activities.

The original cost of the District's capital assets was approximately \$251.3 million. Governmental funds account for approximately \$247.7 million with the remainder of approximately \$3.6 million accounted for in the Proprietary, School Nutrition Fund.

Figure A-6
Capital Assets, Net of Depreciation

	<u>Governmental Activities</u>		<u>Business-Type Activities</u>		<u>Total District</u>		<u>Total</u>
	<u>June 30,</u>		<u>June 30,</u>		<u>June 30,</u>		<u>Change</u>
	<u>2018</u>	<u>2017</u>	<u>2018</u>	<u>2017</u>	<u>2018</u>	<u>2017</u>	<u>2018-17</u>
Land	\$ 3,430,832	\$ 3,379,905	\$ —	\$ —	\$ 3,430,832	\$ 3,379,905	1.5%
Construction in progress	6,877,303	432,932	—	—	6,877,303	432,932	1488.5%
Buildings and improvements	151,292,671	155,400,720	—	—	151,292,671	155,400,720	(2.6%)
Improvements other than buildings	5,291,341	5,652,434	—	—	5,291,341	5,652,434	(6.4%)
Furniture and equipment	<u>3,307,478</u>	<u>3,547,815</u>	<u>632,686</u>	<u>698,528</u>	<u>3,940,164</u>	<u>4,246,343</u>	(7.2%)
Total	<u>\$ 170,199,625</u>	<u>\$ 168,413,806</u>	<u>\$ 632,686</u>	<u>\$ 698,528</u>	<u>\$ 170,832,311</u>	<u>\$ 169,112,334</u>	1.0%

The increase in capital assets was primarily related to construction in progress. There were no significant additions or disposals in the current year, net change in total capital assets related to additions and disposals was 1%.

Construction in progress as of June 30, 2017 included:

- Central Middle School remodel
- Various other projects

Construction in progress as of June 30, 2018 included:

- Central Middle School remodel
- Various other projects

Long-Term Debt

As of June 30, 2018, the District had \$79,949,948 of total long-term debt outstanding. This represents an increase of 14.7% from last year. (See Figure A-7) The increase was primarily related to a new Sales Tax Revenue bond of \$16,667,000 for the Waterloo Career Center at Central Middle School. Additional information about the District's long-term debt is presented in Note 7 to the financial statements.

The Constitution of the State of Iowa limits the amount of debt districts can issue to 5% of the assessed value of all taxable property within the District. The District's outstanding debt is significantly below its constitutional debt limit of approximately \$204 million.

Figure A-7
Outstanding Long-Term Debt

	Total District		Total Change
	June 30,		June 30,
	2018	2017	2018-17
Revenue bonds	\$ 79,842,539	\$ 69,539,539	14.8%
Unamortized bond premium	<u>107,409</u>	<u>134,261</u>	(19.9%)
Total	<u>\$ 79,949,948</u>	<u>\$ 69,673,800</u>	14.7%

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The Iowa State Legislature enacted major changes to Iowa Code Chapter 20: Collective Bargaining, which stripped most areas of mandatory subjects of bargaining. Arbitration awards were also limited by Consumer Price Index percentages. Many districts and association groups settled for low salary increases for fiscal year 2018 in order to keep master contract language. Waterloo Community School District's action included salary increases only slightly lower than trends from prior years and moved the majority of contract language to an Employee Handbook. Future nonmandatory contract considerations will be addressed by District leadership and volunteer staff committees.
- The United States, as well as the world, experienced financial upheaval and have struggled through a gradual recovery process. This has affected the State of Iowa revenue and the ability to fund schools. At the height of economic decline in October, 2009, the Governor announced a 10% across-the-board cut reducing the District's budget by \$5.5 million. In response, after funding fiscal years 2006-2010 at 4% allowable growth, fiscal year 2011 was funded at 2% allowable growth. As state budget struggles continued, fiscal year 2012 was set at 0% allowable growth which required District budget reductions through noninstructional staffing and operational efficiencies. In the recovery process, allowable growth for fiscal years 2013, 2014 and 2015 were set at 2%, 2% and 4%, respectively, which resulted in improved financial indicators and enabling the District to continue support of student achievement programming and goals. For fiscal year 2016, State Supplemental Aid (formerly allowable growth) was reduced to 1.25% after a lengthy legislative session and Governor veto of additional funding. Fiscal year 2017 State Supplemental Aid was 2.25%. Fiscal year 2018, State Supplemental Aid was 1.11%, continuing a trend below the 4% annual increase. The District has been addressing the recovery of the lost fiscal year 2010 revenue by annual adjustments to the cash reserve levy. The recovery was accomplished in fiscal year 2017.
- In addition to state budget funding, the Governor established funding for a fiscal year 2015 Educational Reform Grant. This program funds the support of instruction through teacher professional development along with teacher modeling and mentoring. Instructional coaches in math and literacy also support the goals of raising student achievement. The District was part of the first round of schools to qualify for the \$309/student annual funding. This funding transitioned from a one-year grant, to an annual component of the funding formula in 2016 and beyond.
- Budget shortfalls usually mean staff reductions, but the District initially maintained all instructional positions to invest in student achievement goals. This resulted in a reduction of the unspent authorized budget balance in fiscal year 2013. An increase in budget authority of 4% was allowed for fiscal year 2015 allowing the District to regain some financial stability. However, the allowable growth for fiscal year 2017 was set at 2.25% and fiscal year 2018 was set at 1.11%. As a result, for the last two budget cycles the District has identified and enacted budget adjustments in multiple areas. Combined with an attention to all spending needs, the District's General Fund operating expenditures have increased approximately 5% but resulted in higher fund balance and unspent authorized budget balance. However, there is uncertainty of future years state funding and this trend will be a major challenge for the District.

- District enrollment declined approximately 300 students in 2007-2010 but showed recovery by increasing 85 students in the fall of 2011, 83 students in the fall of 2012, 188 students in the fall of 2013 and 142 students in the fall of 2014. In a reverse of trends, the fall of 2015 saw a decline in enrollment of 197 students and further decline of 100 students in the fall of 2016, but rebounded in the fall of 2017 with a 44 student increase. The most recent count in the fall of 2018 showed a decrease of 101 students. Under Iowa's school funding formula, District funding is highly dependent upon District enrollment. Future enrollment stability is a critical element in maintaining a sound financial foundation.
- In 2013, the District started a major initiative to identify, design and construct a 21st century high school system with career technical education (CTE) as a major component to meet the needs of the students, businesses and industries in the Cedar Valley. The District proceeded with initiating CTE program offerings in 2017 including Nursing/Health Careers and Digital Graphics. Available District funds were used for remodeling a portion of Central Middle School to house the high school programs and expand in future years. In 2018, the District added three additional programs: Advanced Manufacturing, Early Childhood Education and Information Technology. In 2019, four more programs were added: Digital Interactive Media, Information Technology, Marketing Management and Sustainable Construction and Design.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Michael L. Coughlin, Chief Financial Officer, Waterloo Community School District, 1516 Washington Street, Waterloo, Iowa 50702.

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BASIC FINANCIAL STATEMENTS

Waterloo Community School District
Statement of Net Position
June 30, 2018

	Governmental Activities	Business-Type Activities	Total
Assets			
Cash and investments	\$ 73,502,849	\$ 363,640	\$ 73,866,489
Receivables			
Property tax - delinquent	396,956	-	396,956
Property tax - succeeding year	39,669,878	-	39,669,878
Accounts receivable	3,004	1,208	4,212
Interest receivable	66,838	-	66,838
Internal balances	(460,280)	460,280	-
Due from other governmental units	3,986,591	51,510	4,038,101
Inventory	235,307	32,349	267,656
Capital assets, net of accumulated depreciation	159,891,490	632,686	160,524,176
Capital assets not being depreciated	10,308,135	-	10,308,135
Total assets	<u>287,600,768</u>	<u>1,541,673</u>	<u>289,142,441</u>
Deferred Outflows of Resources			
Deferred amount on refunding	3,220,542	-	3,220,542
Deferred outflows related to pensions	18,571,838	475,431	19,047,269
Total deferred outflows of resources	<u>21,792,380</u>	<u>475,431</u>	<u>22,267,811</u>
Total assets and deferred outflows of resources	<u>\$ 309,393,148</u>	<u>\$ 2,017,104</u>	<u>\$ 311,410,252</u>
Liabilities			
Accounts and contracts payable	\$ 2,479,056	\$ 15,607	\$ 2,494,663
Salaries and benefits payable	14,148,511	119,095	14,267,606
Interest payable	1,243,306	-	1,243,306
Due to other governmental units	1,601,831	-	1,601,831
Unearned revenue	-	47,734	47,734
Net bond principal payable			
Due within one year	3,858,000	-	3,858,000
Due in more than one year	76,091,948	-	76,091,948
Compensated absences payable			
Due within one year	332,611	-	332,611
Net OPEB liability	9,207,811	246,910	9,454,721
Net pension liability	64,430,156	1,713,111	66,143,267
Total liabilities	<u>173,393,230</u>	<u>2,142,457</u>	<u>175,535,687</u>
Deferred Inflows of Resources			
Property tax levied for succeeding year	39,669,878	-	39,669,878
Deferred inflows related to OPEB	221,329	5,936	227,265
Deferred inflows related to pensions	4,519,114	101,788	4,620,902
Total deferred inflows of resources	<u>44,410,321</u>	<u>107,724</u>	<u>44,518,045</u>
Net Position			
Net investment in capital assets	104,277,255	632,686	104,909,941
Restricted for			
Categorical funding	896,351	-	896,351
Debt service	12,169,269	-	12,169,269
School infrastructure	8,666,595	-	8,666,595
Physical plant and equipment	1,885,543	-	1,885,543
Student activities	1,191,139	-	1,191,139
Management levy purposes	1,900,905	-	1,900,905
Unrestricted	(39,397,460)	(865,763)	(40,263,223)
Total net position	<u>91,589,597</u>	<u>(233,077)</u>	<u>91,356,520</u>
Total liabilities, deferred inflows of resources, and net position	<u>\$ 309,393,148</u>	<u>\$ 2,017,104</u>	<u>\$ 311,410,252</u>

**Waterloo Community School District
Statement of Activities
Year Ended June 30, 2018**

Functions/Programs	Expenses	Program Revenues			Net (Expenses), Revenue, and Changes in Net Position		
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total
Governmental activities							
Instruction							
Regular	\$ 56,666,299	\$ 481,000	\$ 20,975,774	\$ -	\$ (35,209,525)	\$ -	\$ (35,209,525)
Special	28,527,564	270,971	6,917,580	-	(21,339,013)	-	(21,339,013)
Vocational	489,433	-	419,125	-	(70,308)	-	(70,308)
Other	3,944,883	1,621,322	-	-	(2,323,561)	-	(2,323,561)
Support Services							
Student	5,198,703	-	-	-	(5,198,703)	-	(5,198,703)
Instructional staff	6,591,096	-	140	-	(6,590,956)	-	(6,590,956)
General administration	2,668,037	-	-	-	(2,668,037)	-	(2,668,037)
School administration	8,299,220	-	-	-	(8,299,220)	-	(8,299,220)
Business and central administration	4,197,584	-	-	-	(4,197,584)	-	(4,197,584)
Operation and maintenance of plant	12,777,962	287,085	-	104,422	(12,386,455)	-	(12,386,455)
Transportation	5,084,870	-	360,993	-	(4,723,877)	-	(4,723,877)
Noninstructional programs	995,563	-	-	-	(995,563)	-	(995,563)
Interest and fiscal charges	2,676,973	-	826,118	-	(1,850,855)	-	(1,850,855)
Unallocated depreciation	5,332,834	-	-	-	(5,332,834)	-	(5,332,834)
Total governmental activities	143,451,021	2,660,378	29,499,730	104,422	(111,186,491)	-	(111,186,491)
Business-type activities							
Noninstructional programs							
Food service operations	6,397,986	1,061,450	5,268,699	-	-	(67,837)	(67,837)
Total	<u>\$ 149,849,007</u>	<u>\$ 3,721,828</u>	<u>\$ 34,768,429</u>	<u>\$ 104,422</u>	<u>(111,186,491)</u>	<u>(67,837)</u>	<u>(111,254,328)</u>
General revenues							
Taxes							
Property taxes, levied for general purposes					36,700,356	-	36,700,356
Property taxes, levied for management levy purposes					1,499,420	-	1,499,420
Property taxes, levied for capital outlay					2,945,262	-	2,945,262
Unrestricted statewide sales, services, and use tax					10,067,844	-	10,067,844
Unrestricted state grants					64,174,857	-	64,174,857
Unrestricted investment earnings					787,325	4,098	791,423
Gain on disposal of capital assets					40,850	-	40,850
Transfers					(61,207)	61,207	-
Total general revenues and transfers					<u>116,154,707</u>	<u>65,305</u>	<u>116,220,012</u>
Change in net position					4,968,216	(2,532)	4,965,684
Net position - beginning					90,411,883	-	90,411,883
Change in accounting principle (see note 17)					(3,790,502)	(230,545)	(4,021,047)
Net position - beginning, as restated					<u>86,621,381</u>	<u>(230,545)</u>	<u>86,390,836</u>
Net position - ending					<u>\$ 91,589,597</u>	<u>\$ (233,077)</u>	<u>\$ 91,356,520</u>

Waterloo Community School District
Balance Sheet - Governmental Funds
June 30, 2018

	General (10)	Debt Service (40)	Capital Projects	Nonmajor Funds	Total Governmental Funds
Assets					
Cash and investments	\$ 35,242,413	\$ 14,412,575	\$ 20,674,167	\$ 3,173,694	\$ 73,502,849
Receivables					
Property tax - delinquent	351,202	-	31,589	14,165	396,956
Property tax - succeeding year	35,206,694	-	2,963,192	1,499,992	39,669,878
Accounts receivable	1,517	-	-	-	1,517
Interest receivable	66,838	-	-	-	66,838
Due from other governmental units	2,731,343	-	855,138	110	3,586,591
Inventory	209,587	-	-	-	209,587
Total assets	<u>\$ 73,809,594</u>	<u>\$ 14,412,575</u>	<u>\$ 24,524,086</u>	<u>\$ 4,687,961</u>	<u>\$ 117,434,216</u>
Liabilities					
Accounts and contracts payable	\$ 951,483	\$ -	\$ 1,511,718	\$ 15,855	\$ 2,479,056
Salaries and benefits payable	14,148,203	-	-	308	14,148,511
Due to other governmental units	1,555,784	-	45,892	155	1,601,831
Interfund payable	336,563	-	44,110	79,607	460,280
Total liabilities	<u>16,992,033</u>	<u>-</u>	<u>1,601,720</u>	<u>95,925</u>	<u>18,689,678</u>
Deferred inflows of resources					
Unavailable revenue - succeeding year property tax	35,206,694	-	2,963,192	1,499,992	39,669,878
Total deferred inflows of resources	<u>35,206,694</u>	<u>-</u>	<u>2,963,192</u>	<u>1,499,992</u>	<u>39,669,878</u>
Fund Balances					
Nonspendable for					
Inventory	209,587	-	-	-	209,587
Restricted for					
Categorical funding	896,351	-	-	-	896,351
Debt Service	-	14,412,575	-	-	14,412,575
School infrastructure	-	-	18,073,631	-	18,073,631
Physical plant and equipment	-	-	1,885,543	-	1,885,543
Management levy purposes	-	-	-	1,900,905	1,900,905
Student activities	-	-	-	1,191,139	1,191,139
Assigned for					
Alternate health insurance plan	1,230,992	-	-	-	1,230,992
Unassigned	19,273,937	-	-	-	19,273,937
Total fund balances	<u>21,610,867</u>	<u>14,412,575</u>	<u>19,959,174</u>	<u>3,092,044</u>	<u>59,074,660</u>
Total liabilities, deferred inflows of resources, and fund balances	<u>\$ 73,809,594</u>	<u>\$ 14,412,575</u>	<u>\$ 24,524,086</u>	<u>\$ 4,687,961</u>	<u>\$ 117,434,216</u>

**Waterloo Community School District
Reconciliation of the Balance Sheet to
the Statement of Net Position - Governmental Funds
June 30, 2018**

Total fund balances - governmental funds	\$ 59,074,660
Amounts reported for governmental activities in the Statement of Net Position are different because:	
Capital assets used in governmental activities are not current financial resources and, therefore, are not reported as assets in governmental funds.	
Cost of capital assets	247,740,858
Less accumulated depreciation	(77,541,233)
Long-term liabilities, including bonds payable, are not due and payable in the current period and, therefore, are not reported as liabilities in the funds.	
Long-term liabilities at year-end consist of:	
Bond principal payable	(79,842,539)
Bond premiums	(107,409)
Deferred amount on refunding	3,220,542
Compensated absences payable	(332,611)
Total OPEB liability	(9,207,811)
Net pension liability	(64,430,156)
Deferred outflows of resources and deferred inflows of resources are created as a result of various differences related to pensions and OPEB that are not recognized in the governmental funds.	
Deferred outflows related to pensions	18,571,838
Deferred inflows related to pensions	(4,519,114)
Deferred inflows related to OPEB	(221,329)
Other long-term assets will be collected in subsequent years, and are not recognized as revenue in the governmental funds.	400,000
An internal service fund is used by management to charge the costs of the District's print shop services to various entities and individuals. The assets and liabilities of the internal service funds are included in governmental activities in the statement of net position and interfund activity is removed.	27,207
Governmental funds do not report a liability for accrued interest on bonds until due and payable.	<u>(1,243,306)</u>
Total net position - governmental activities	<u><u>\$ 91,589,597</u></u>

Waterloo Community School District
Statement of Revenues, Expenditures, and
Changes in Fund Balances - Governmental Funds
Year Ended June 30, 2018

	General (10)	Debt Service (40)	Capital Projects	Nonmajor Funds	Total Governmental Funds
Revenues					
Revenue from local sources					
Local property taxes	\$ 36,700,356	\$ -	\$ 2,945,262	\$ 1,499,420	\$ 41,145,038
Tuition	465,937	-	-	-	465,937
Other local and county revenues	1,081,906	191,998	153,698	1,682,814	3,110,416
Revenue from state sources	83,229,476	-	10,208,811	55,382	93,493,669
Revenue from federal sources	9,423,416	-	826,118	-	10,249,534
Total revenues	<u>130,901,091</u>	<u>191,998</u>	<u>14,133,889</u>	<u>3,237,616</u>	<u>148,464,594</u>
Expenditures					
Current					
Instruction					
Regular	54,723,466	-	105,376	711,274	55,540,116
Special	22,806,843	-	-	7,107	22,813,950
Vocational	500,388	-	-	-	500,388
Other	2,192,172	-	-	1,689,606	3,881,778
Support services					
Student	5,107,591	-	-	7,999	5,115,590
Instructional staff	6,441,571	-	500	5,392	6,447,463
General administration	2,582,835	-	26,004	7,759	2,616,598
School administration	8,064,622	-	-	61,307	8,125,929
Business and central administration	4,023,773	-	17,031	65,796	4,106,600
Operation and maintenance of plant	10,370,679	-	195,156	623,487	11,189,322
Transportation	5,079,463	-	-	-	5,079,463
Noninstructional programs	966,763	-	-	17,452	984,215
AEA flowthrough	5,286,315	-	-	-	5,286,315
Facilities acquisition	-	-	8,643,022	-	8,643,022
Debt service					
Principal	-	6,367,495	-	-	6,367,495
Interest and fiscal charges	-	2,253,626	2,750	-	2,256,376
Total expenditures	<u>128,146,481</u>	<u>8,621,121</u>	<u>8,989,839</u>	<u>3,197,179</u>	<u>148,954,620</u>
Excess of revenues over (under) expenditures	2,754,610	(8,429,123)	5,144,050	40,437	(490,026)
Other Financing Sources (Uses)					
Proceeds from sale of capital assets	225	-	-	40,625	40,850
Bond issuance	-	-	16,667,000	-	16,667,000
Transfers in	14,453	10,205,471	-	52,732	10,272,656
Transfers out	(52,732)	-	(10,266,678)	(14,453)	(10,333,863)
Total other financing sources (uses)	<u>(38,054)</u>	<u>10,205,471</u>	<u>6,400,322</u>	<u>78,904</u>	<u>16,646,643</u>
Net change in fund balances	2,716,556	1,776,348	11,544,372	119,341	16,156,617
Fund Balances					
Beginning of year	<u>18,894,311</u>	<u>12,636,227</u>	<u>8,414,802</u>	<u>2,972,703</u>	<u>42,918,043</u>
End of year	<u>\$ 21,610,867</u>	<u>\$ 14,412,575</u>	<u>\$ 19,959,174</u>	<u>\$ 3,092,044</u>	<u>\$ 59,074,660</u>

**Waterloo Community School District
Reconciliation of the Statement of Revenues, Expenditures,
and Changes in Fund Balances to the
Statement of Activities - Governmental Funds
Year Ended June 30, 2018**

Net change in fund balances - total governmental funds	\$ 16,156,617
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Amounts reported for governmental activities in the Statement of Activities are different because:

Capital outlays are reported in governmental funds as expenditures. However, in the Statement of Activities, the cost of those assets is allocated over the useful lives as depreciation expense.

Capital outlays	7,530,890
Depreciation expense	(5,745,071)

Compensated absences and severance are recognized as paid in the governmental funds but recognized as the expense is incurred in the Statement of Activities.

899

OPEB are recognized as paid in the governmental funds but recognized as the expense is incurred in the Statement of Activities.

(831,638)

Principal payments on long-term debt are recognized as expenditures in the governmental funds but have no effect on net position in the Statement of Activities.

6,364,000

The current year District employer share of IPERS contributions is reported as an expenditure in the governmental funds, but is reported as a deferred outflow of resources in the statement of net position.

6,553,970

Pension expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds.

(7,952,919)

Interest on long-term debt in the Statement of Activities differs from the amount reported in the governmental funds because interest is recognized as an expenditure in the funds when it is due and thus requires use of current financial resources. In the Statement of Activities, however, interest expense is recognized as the interest accrues, regardless of when it is due.

(121,900)

Governmental funds report the effect of bond premiums when the debt is first issued, whereas these amounts are deferred and amortized in the Statement of Activities.

(295,202)

Proceeds from long-term debt are recognized as an other financing source, increasing fund balance in the governmental fund statements, but have no effect on net position in the Statement of Activities.

(16,667,000)

An internal service fund is used by management to charge the costs of the District's print shop services to various entities and individuals. The change in net position is reported within the governmental activities in the Statement of Activities.

570

Long-term assets will be collected in subsequent years, but are not available soon enough to pay for the current period's expenditures and, therefore, are not recognized as revenues in the funds.

(25,000)

Change in net position - governmental activities

\$ 4,968,216

Waterloo Community School District
Statement of Net Position - Proprietary Funds

	Business Type Activities <u>Nonmajor Enterprise</u>	Governmental Activities <u>Internal Service</u>
	<u>School Nutrition (61)</u>	<u>Print Shop (73)</u>
Assets		
Current		
Cash and cash equivalents	\$ 363,640	\$ -
Accounts receivable	1,208	1,487
Due from other governments	51,510	-
Interfund receivable	460,280	-
Inventory	32,349	25,720
Total current assets	<u>908,987</u>	<u>27,207</u>
Noncurrent		
Capital assets, net of accumulated depreciation	<u>632,686</u>	<u>-</u>
Total assets	<u>1,541,673</u>	<u>27,207</u>
Deferred Outflows of Resources		
Deferred outflows related to pensions	<u>475,431</u>	<u>-</u>
Total assets and deferred outflows of resources	<u><u>\$ 2,017,104</u></u>	<u><u>\$ 27,207</u></u>
Liabilities		
Current		
Accounts payable	\$ 15,607	\$ -
Salaries and benefits payable	119,095	-
Unearned revenue	47,734	-
Total current liabilities	<u>182,436</u>	<u>-</u>
Noncurrent		
Net pension liability	1,713,111	-
Total OPEB liability	<u>246,910</u>	<u>-</u>
Total liabilities	<u>2,142,457</u>	<u>-</u>
Deferred Inflows of Resources		
Deferred inflows related to OPEB	5,936	
Deferred inflows related to pensions	<u>101,788</u>	<u>-</u>
Total deferred inflows of resources	<u>107,724</u>	<u>-</u>
Net Position		
Investment in Capital Assets	632,686	-
Unrestricted	<u>(865,763)</u>	<u>27,207</u>
Total net position	<u>(233,077)</u>	<u>27,207</u>
Total liabilities, deferred inflows of resources, and net position	<u><u>\$ 2,017,104</u></u>	<u><u>\$ 27,207</u></u>

See notes to financial statements.

**Waterloo Community School District
Statement of Revenues, Expenses, and Changes
in Fund Net Position - Proprietary Funds
Year Ended June 30, 2018**

	<u>Nonmajor Enterprise</u>	<u>Internal Service</u>
	<u>School Nutrition (61)</u>	<u>Print Shop (73)</u>
Operating revenues		
Local Sources		
Charges for services	\$ 1,038,733	\$ 249,513
Other receipts	22,717	-
Total revenue	<u>1,061,450</u>	<u>249,513</u>
Operating expenses		
Noninstructional programs		
Food service and print shop operations		
Salaries and benefits	1,953,326	103,242
Employee benefits	1,031,496	49,151
Purchased services	3,886	-
Supplies	3,271,822	96,550
Other	2,665	-
Depreciation	130,568	-
Total operating expenses	<u>6,393,763</u>	<u>248,943</u>
Operating income (loss)	(5,332,313)	570
Nonoperating revenues		
Federal sources	5,218,269	-
State sources	50,430	-
Investment income	4,098	-
Total nonoperating revenues	<u>5,272,797</u>	<u>-</u>
Income (loss) before transfers and loss on disposal of assets	(59,516)	570
Loss on disposal of assets	(4,223)	-
Transfers in	61,207	-
Total transfers and loss on disposal of assets	<u>56,984</u>	<u>-</u>
Change in net position	(2,532)	570
Net position		
Beginning of year	-	26,637
Change in accounting principle	(230,545)	-
Beginning of year, restated	<u>(230,545)</u>	<u>26,637</u>
End of year	<u>\$ (233,077)</u>	<u>\$ 27,207</u>

See notes to financial statements.

**Statement of Cash Flows -
Proprietary Funds
As of June 30, 2018**

	Business Type Activities	Governmental Activities
	Nonmajor Enterprise	Internal Service
	School Nutrition (61)	Print Shop (73)
Cash Flows - Operating Activities		
Cash received from print shop services	\$ -	\$ 250,319
Cash received from sale of lunches and breakfast	1,044,977	-
Cash received from other	22,717	-
Payments to employees	(3,070,497)	(152,393)
Payments to suppliers	(2,831,082)	(98,635)
Net cash flows - operating activities	(4,833,885)	(709)
Cash Flows - Noncapital Financing Activities		
State grants received	50,430	-
Federal grants received	4,779,312	-
Transfers from other funds	61,207	-
Proceeds or repayment received from interfund loans	4,654,092	-
Repayment of or provision for interfund loans	(4,544,987)	-
Net cash flows - noncapital financing activities	5,000,054	-
Cash Flows - Capital and Related Financing Activities		
Acquisition of capital assets	(68,949)	-
Net cash flows - capital and related financing activities	(68,949)	-
Cash Flows - Investment Activities		
Interest received	4,098	-
Net cash flows - investment activities	4,098	-
Net change in cash and cash equivalents	101,318	(709)
Cash and Cash Equivalents		
Beginning of year	262,322	709
End of year	\$ 363,640	\$ -
Reconciliation of Operating Income (Loss) to Net Cash Flows - Operating Activities		
Operating income (loss)	\$ (5,332,313)	\$ 570
Adjustments to reconcile operating income (loss) to net cash flows - operating activities		
Commodities used	424,113	-
Depreciation	130,568	-
Accounts receivable	-	806
Inventory	7,839	(2,085)
Pension expense	(128,528)	-
OPEB expense	22,301	-
Accounts payable	56,443	-
Salaries and benefits payable	(20,552)	-
Unearned revenue	6,244	-
Net adjustments	498,428	(1,279)
Net cash flows - operating activities	\$ (4,833,885)	\$ (709)

Non-cash investing, capital and related financing activities

During the year ended June 30, 2018, the District received \$428,235 of federal commodities.

See notes to financial statements.

**Waterloo Community School District
Statement of Fiduciary Net Position
Year Ended June 30, 2018**

	Private Purpose Trust Fund	Agency Fund
Assets		
Current		
Cash and investments	\$ -	\$ 32,933
Other receivables	2,500	1,229
	<u>2,500</u>	<u>1,229</u>
Total assets	<u>\$ 2,500</u>	<u>\$ 34,162</u>
Liabilities		
Accounts payable	1,208	34,162
	<u>1,208</u>	<u>34,162</u>
Net Position		
Held in trust	1,292	-
	<u>1,292</u>	<u>-</u>
Total Liabilities and Net Position	<u>\$ 2,500</u>	<u>\$ 34,162</u>

**Statement of Changes in Fiduciary Net Position
Year Ended June 30, 2018**

	Private Purpose Trust Fund
Additions	
Contributions	\$ 10,000
Deductions	
Scholarships	10,400
	<u>10,400</u>
Change in net position	(400)
Net Position	
Beginning of year	1,692
	<u>1,692</u>
End of year	<u>\$ 1,292</u>

See notes to financial statements.

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Waterloo Community School District Notes to Financial Statements

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Waterloo Community School District is a political subdivision of the State of Iowa and operates public schools for children in grades pre-kindergarten through twelve. Additionally, the District also either operates or sponsors various adult education programs. These courses include remedial education as well as vocational and recreational courses. The geographic area served includes the Cities of Waterloo, Evansdale, Elk Run Heights, Raymond, Gilbertville and a portion of Cedar Falls, Iowa, and the surrounding predominate agricultural territory in Black Hawk County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

The District's financial statements are prepared in conformity with accounting principles generally accepted in the United States as prescribed by the Governmental Accounting Standards Board.

A. Reporting Entity

For financial reporting purposes, Waterloo Community School District has included all funds, organizations, agencies, boards, commissions, and authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to or impose specific financial burdens on the District. The District has no material component units which meet the Governmental Accounting Standards Board criteria.

B. Jointly Governed Organizations

The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Black Hawk County Assessor's Conference Board.

C. Basic Financial Statement Information

The Statement of Net Position and the Statement of Activities report information on all the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. There was no material interfund service provided and used not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenue, are reported separately from business-type activities, which rely to a significant extent on fees and charges for services.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows of resources, liabilities and deferred inflows of resources, with the difference reported as net position. Net position is reported in the categories on following page.

Waterloo Community School District
Notes to Financial Statements

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

C. Basic Financial Statement Information (Continued)

Net investment in capital assets consists of capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes, and other debt attributable to the acquisition, construction or improvement of those assets. This balance also has an adjustment for \$1,000,000 for unspent bond proceeds required to be held in reserves as well as \$9,807,036 for unspent bonds proceeds related to the 2018 bond issuance.

Restricted net position results when constraints placed on net position use are either externally imposed or are imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position not meeting the definition of the preceding categories. Unrestricted net position is often subject to constraints imposed by management which can be removed or modified.

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenue. Direct expenses are those that are clearly identifiable with a specific function. Program revenue includes: (1) charges to customers or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and (2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenue are reported instead as general revenue.

Depreciation expense that can be specifically identified by function is included in the direct expenses of that function. Depreciation expense relative to assets that serve multiple functions is presented as unallocated depreciation in the Statement of Activities. Interest on general long-term debt is considered an indirect expense and is reported separately in the Statement of Activities. The effect of interfund activity has been removed from these statements.

Separate fund financial statements are provided for governmental funds, proprietary funds, and fiduciary funds, even though fiduciary funds are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds. Combining schedules are also included for the Capital Projects Fund accounts.

The trust agency and funds are presented in the fiduciary fund financial statements. Since by definition these assets are being held for the benefit of a third party (other local governments, private parties, etc.) and cannot be used to address activities or obligations of the District, these funds are not incorporated into the government-wide statements.

Waterloo Community School District
Notes to Financial Statements

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

D. Measurement Focus and Basis of Accounting

The accounting and financial reporting treatment applied is determined by its measurement focus and basis of accounting. The government-wide and proprietary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied. The trust and agency funds are custodial in nature and have no measurement focus; however, they use the accrual basis of accounting.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenue is recognized when it becomes measurable and available. Revenue is considered to be available when it is collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenue to be available if it is collected within 60 days after year end.

Property tax, intergovernmental revenue (shared revenue, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgements, and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under the terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenue. Thus, when program expenses are incurred, there are both restricted and unrestricted net position available to finance the program. It is the District's policy and procedure to first apply cost-reimbursement grant sources to such programs, and then general revenue.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy and procedure is generally to first apply the expenditure toward restricted fund balance and then to less-restrictive classifications – committed, assigned, and then unassigned fund balances.

**Waterloo Community School District
Notes to Financial Statements**

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

D. Measurement Focus and Basis of Accounting (Continued)

Proprietary funds distinguish operating revenue and expenses from nonoperating items. Operating revenue and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenue of the District's Enterprise Fund is charges to customers for sales and services. Operating expenses for the Enterprise Fund include the cost of sales and services, administrative expenses and depreciation on capital assets. All revenue and expenses not meeting this definition are reported as nonoperating revenue and expenses.

The District maintains its financial records on the cash basis. The financial statements of the District are prepared by making memorandum adjusting entries to the cash basis financial records.

Description of Funds:

Major Governmental Funds:

General Fund – This fund is the general operating fund of the District. All general tax revenue and other revenue not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support, and other costs.

Debt Service Fund – This fund is utilized to account for property tax and other revenue to be used for the payment of interest and principal on the District's general long-term debt.

Capital Projects Fund – This fund is used to account for all resources used in the acquisition and construction of capital facilities and other capital assets.

Nonmajor Proprietary Funds:

School Nutrition Enterprise Fund – This fund is used to account for the food service operations of the District.

Print Shop Internal Service Fund – This fund is utilized to account for printing services provided by the District.

**Waterloo Community School District
Notes to Financial Statements**

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

D. Measurement Focus and Basis of Accounting (Continued)

The District also reports fiduciary funds which focus on net position and changes in net position.

Fiduciary Funds:

Private Purpose Trust Fund – This fund is used to account for assets held by the District under trust agreements which require income earned to be used to benefit individuals through scholarship awards.

Agency Fund – This fund is used to account for assets held by the District as an agent for individuals and committees within the District for various designated purposes. The Agency Fund is custodial in nature, assets equal liabilities, and does not involve measurement of results of operations.

E. Cash, Cash Equivalents, and Investments

The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for the investment in the Iowa Schools Joint Investment Trust which is valued at amortized cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash and, at the day of purchase, they have a maturity date no longer than three months.

F. Property Tax Receivable

Property tax in the governmental funds is accounted for using the modified accrual basis of accounting.

Property tax receivable is recognized in these funds on the levy or lien date, which is the date the tax asking is certified by the Board of Education. Delinquent property tax receivable represents unpaid taxes for the current and prior years. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is deferred in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

Property tax revenue recognized in these funds becomes due and collectible in September and March of the fiscal year with a 1-1/2% per month penalty for delinquent payments; is based on January 1, 2016 assessed property valuations; is for the tax accrual period July 1, 2017 through June 30, 2018; and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2017.

G. Due from Other Governments

Due from other governments represents primarily amounts due from the State of Iowa, also included are amounts due for various shared revenue, grants, and reimbursements from other governments.

Waterloo Community School District
Notes to Financial Statements

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

H. Inventories

Inventories are valued at cost using the first-in, first-out (FIFO) method for purchased items and contributed value for government commodities. Inventories are recorded as expenses when consumed rather than when purchased or received in the government-wide financial statements and proprietary fund financial statements. In the governmental fund financial statements, inventories are accounted for using the consumption method whereby inventory acquisitions are recorded in inventory accounts when purchased and are charged to operations when consumed or sold.

I. Prepaid Items

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both the government-wide and fund financial statements of the consumption method.

J. Capital Assets

Capital assets, which include property, furniture and equipment are reported in the applicable governmental or business-type activities columns in the government-wide statement of net position. Capital assets are recorded at historical cost. Donated capital assets are recorded at acquisition value. Acquisition value is the price that would have been paid to acquire a capital asset with equivalent service potential. The cost of normal maintenance and repairs that do not add to the value of the asset or materially extend asset useful lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Land	\$ 5,000
Buildings and improvements	5,000
Improvements other than buildings	5,000
Furniture and equipment	
School Nutrition Fund equipment	500
Other furniture and equipment	5,000

Capital assets are depreciated using the straight-line method over the following estimated useful lives:

Buildings and improvements	7-50 Years
Improvements other than buildings	20-30 Years
Furniture and equipment	5-25 Years

K. Deferred Outflows of Resources

Deferred outflows of resources represent a consumption of net position that applies to a future period(s) and will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension expense, contributions from the District after the measurement date but before the end of the District's reporting period and the deferred amount on refunding bonds resulting from the difference in the carrying value of refunded debt and the reacquisition price.

**Waterloo Community School District
Notes to Financial Statements**

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

L. Salaries and Benefits Payable

Payroll and related expenditures for employees with annual contracts corresponding to a current school year, which are payable in July and August have been accrued as liabilities.

M. Compensated Absences

District employees accumulate a limited amount of earned but unused vacation for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the government-wide financial statements. A liability for these amounts is reported in governmental fund financial statements only for employees that have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2018. The compensated absences liability attributable to the governmental activities will be paid primarily by the General Fund.

N. Long-Term Obligations

In the government-wide financial statements, long-term debt, and other long-term obligations are reported as liabilities in the governmental activities column in the statement of net position. Bond premiums are amortized over the life of the bonds using the straight-line method. Refunding of debt may result in deferred gains or losses and are reported as deferred inflows and outflows of resources. The difference between the reacquisition price and the net carrying amount of the old debt is deferred and amortized as a component of long-term debt interest and fiscal charges using the straight-line method.

In the fund financial statements, governmental fund types recognize bond premiums, and bond issuance costs during the current period. The face amount of debt issued is reported as an other financing source. Premiums received on debt issuances are reported as other financing sources. Issuance costs, whether or not withheld or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

O. Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value. The net pension liability attributable to the governmental activities will be paid primarily by the General Fund.

P. Deferred Inflows of Resources

Deferred inflows of resources represent an acquisition of net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. Although certain revenue is measurable, it is not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources consist of property tax receivable and other receivables not collected within 60 days after year end.

**Waterloo Community School District
Notes to Financial Statements**

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

P. Deferred Inflows of Resources (Continued)

Deferred inflows of resources in the statement of net position consist of succeeding year property tax receivable that will not be recognized as revenue until the year for which it is levied and unrecognized items not yet charged to pension expense. Deferred inflows of resources related to OPEBs is recorded on the government-wide statements for various estimate differences that will be amortized and recognized over future years.

Q. Postemployment Benefits Other than Pensions (OPEB)

For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB, and OPEB expense, the District recognizes benefit payments when due and payable in accordance with the benefit terms.

R. Fund Balances

In the governmental fund financial statements, fund balances are classified as follows:

- Nonspendable – Amounts that cannot be spent because they are in nonspendable form or because they are legally or contractually required to be maintained intact.
- Restricted – Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, granters, or state or federal laws or imposed by law through constitutional provisions or enabling legislation. Enabling legislation did not result in any restricted fund balance.
- Assigned – Amounts the Board of Education intends to use for specific purposes. It is the District's policy that the authority to assign fund balance has been delegated by the District's Board of Education to the Superintendent.
- Unassigned – All amounts not included in the preceding classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. A negative unassigned fund balance may be reported in other governmental funds if expenditures incurred for specific purposes exceeded the amounts restricted, committed or assigned to those purposes.

S. Budgets and Budgetary Accounting

The budgetary comparison and related disclosures are reported as required supplementary information. During the year ended June 30, 2018, expenditures/expenses did not exceed the amounts budgeted and the District did not exceed its General Fund unspent authorized budget.

**Waterloo Community School District
Notes to Financial Statements**

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

T. Estimates and Assumptions

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets, deferred outflows of resources, liabilities, deferred inflows of resources, and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenue and expenditures/expenses during the reporting period. Actual results could differ from those estimates.

NOTE 2 – STEWARDSHIP, COMPLIANCE, AND ACCOUNTABILITY

The Child Nutrition Enterprise Fund had a negative net position of \$233,077 at June 30, 2018.

NOTE 3 – CASH, CASH EQUIVALENTS, AND INVESTMENTS

The District is authorized by statute to invest public funds in obligations of the United States Government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high-rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvements certificates of a drainage district.

As of June 30, 2018, the District had the following investments:

Investment	Fair Value	Maturity
U.S. Treasury Notes	\$ 7,146,471	July, 1, 2025
U.S. Treasury Bonds	1,094,705	May 15, 2025
ISJIT Diversified Portfolio	393,295	
Total	<u>\$ 8,634,471</u>	

The District uses the fair value hierarchy established by generally accepted accounting principles based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets. Level 2 inputs are significant other observable inputs. Level 3 inputs are significant unobservable inputs.

The recurring fair value measurement for the U.S. Treasury Notes of \$8,241,176 was determined using the last reported sales price at current exchange rates (Level 1 inputs).

As of June 30, 2018, the District had investments in the Iowa Schools Joint Investment Trust (ISJIT) Diversified Portfolio which are valued at an amortized cost of \$393,295. There were no limitations or restrictions on withdrawals of the ISJIT investments.

**Waterloo Community School District
Notes to Financial Statements**

NOTE 3 – CASH, CASH EQUIVALENTS, AND INVESTMENTS (CONTINUED)

A. Interest Rate Risk

The District's investment policy limits the investment of operating funds (funds expected to be expended in the current budget year or within 15 months of receipt) in instruments that mature within 397 days. Funds not identified as operating funds may be invested in investments with maturities longer than 397 days but the maturities shall be consistent with the needs and use of the District.

B. Credit Risk

The Board authorizes the District to invest funds in excess of current needs in interest-bearing savings, money market, and checking accounts in the District's authorized depositories; the Iowa Schools Joint Investment Trust; obligations of the United States governments, its agencies and instrumentalities; and certificates of deposit and other evidences of deposit at federally insured Iowa depository institutions. The Iowa Schools Joint Investment Trust was rated AAAm by Standard & Poor's Financial Services. The District's policy does not further limit the District's investments in relation to credit risk.

C. Concentration of Credit Risk

The District's general investment policy is to apply the prudent-person rule: in making investments, the District shall exercise the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent person acting in a like capacity and familiar with such matters would use to meet the goals of the investment program.

The investments in the Iowa Schools Joint Investment Trust and U.S. Treasury Notes and Bonds are not subject to concentration of credit risk.

D. Custodial Credit Risk

For deposits, custodial credit risk is the risk that in an event of a bank failure, the government's deposits may not be returned to it. For an investment, custodial credit risk is the risk that in the event of the failure of the counterparty, the District will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The District does not have a formal policy for custodial credit risk.

The District's deposits in banks as of June 30, 2018, were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This chapter provides for additional assessments against the depositories to insure there will be no loss of public funds.

Waterloo Community School District
Notes to Financial Statements

NOTE 3 – CASH, CASH EQUIVALENTS, AND INVESTMENTS (CONTINUED)

E. Deposits and Investments

Summary of cash, deposits, and investments as of June 30, 2018:

District Governmental Funds

Deposits - pooled	\$ 39,285,353
Deposits - non-pooled	25,971,167
Non-pooled investments (Note 2.B.)	8,634,471
Petty cash	<u>8,431</u>
Total deposits and investments	<u><u>\$ 73,899,422</u></u>

Cash, deposits and investments are presented in the June 30, 2018, basic financial statements as follows:

Statement of Net Position

Cash and investments	\$ 73,866,489
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Statement of Fiduciary Net Position

Agency Fund	<u>32,933</u>
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Total	<u><u>\$ 73,899,422</u></u>
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NOTE 4 – Due From and Due to Other Funds

Receivable Fund	Payable Fund	Amount
Enterprise		
School nutrition	General	\$ 336,563
	Capital projects	44,110
	Nonmajor Special revenue	
	Student activity	<u>79,607</u>
Total		<u><u>\$ 460,280</u></u>

The General, Capital Projects and Student Activity Special Revenue Fund, are repaying the School Nutrition Enterprise Fund for various expenses not reimbursed before year end. The balances are to be repaid by June 30, 2019.

Waterloo Community School District
Notes to Financial Statements

NOTE 5 – INTERFUND TRANSFERS

The detail of the interfund transfers for the year ended June 30, 2018, is as follows:

Transfer to	Transfer From	Amount
Debt service	Capital projects	\$ 10,198,679
	Capital projects - PPEL	6,792
Nonmajor Special Revenue Student activity	General	52,732
General	Nonmajor - Special revenue	
	Management levy	14,453
School nutrition	Capital Projects - PPEL	61,207
Total		\$ 10,333,863

Transfers are used to (1) move revenue from the fund that statute or budget requires to collect the resources to the fund that statute or budget requires to expend the resources or (2) use unrestricted revenue collected in a certain fund to finance various programs accounted for in other funds in accordance with budgetary authorization.

Waterloo Community School District
Notes to Financial Statements

NOTE 6 – CAPITAL ASSETS

Capital assets activity for the year ended June 30, 2018, was as follows:

	Balance – Beginning of Year	Increases	Decreases	Balance – End of Year
Governmental Activities				
Capital assets not being depreciated				
Land	\$ 3,379,905	\$ 50,927	\$ -	\$ 3,430,832
Construction in progress	432,932	7,409,916	965,545	6,877,303
Total capital assets not being depreciated	<u>3,812,837</u>	<u>7,460,843</u>	<u>965,545</u>	<u>10,308,135</u>
Capital assets being depreciated				
Buildings and improvements	214,757,944	618,996	999,567	214,377,373
Improvements other than buildings	9,803,809	73,393	-	9,877,202
Furniture and equipment	12,999,345	343,203	164,400	13,178,148
Total capital assets being depreciated	<u>237,561,098</u>	<u>1,035,592</u>	<u>1,163,967</u>	<u>237,432,723</u>
Less accumulated depreciation for				
Buildings and improvements	59,357,224	4,727,045	999,567	63,084,702
Improvements other than buildings	4,151,375	434,486	-	4,585,861
Furniture and equipment	9,451,530	583,540	164,400	9,870,670
Total accumulated depreciation	<u>72,960,129</u>	<u>5,745,071</u>	<u>1,163,967</u>	<u>77,541,233</u>
Total capital assets being depreciated, net	<u>164,600,969</u>	<u>(4,709,479)</u>	<u>-</u>	<u>159,891,490</u>
Governmental activities capital assets, net	<u>\$ 168,413,806</u>	<u>\$ 2,751,364</u>	<u>\$ 965,545</u>	<u>\$ 170,199,625</u>
Business-Type Activities				
Furniture and equipment	\$ 3,724,293	\$ 68,949	\$ 186,974	\$ 3,606,268
Less accumulated depreciation	<u>3,025,765</u>	<u>130,568</u>	<u>182,751</u>	<u>2,973,582</u>
Business-type activities capital assets, net	<u>\$ 698,528</u>	<u>\$ (61,619)</u>	<u>\$ 4,223</u>	<u>\$ 632,686</u>

Waterloo Community School District
Notes to Financial Statements

NOTE 6 – CAPITAL ASSETS (CONTINUED)

Depreciation expense was charged to the following functions:

Governmental Activities

Instruction

Regular	\$ 23,570
Special	149
Vocational	20,417
Other	49,503

Support Services

Student	295
General administration	1,304
School administration	623
Business and central administration	101,094
Operation and maintenance of plant	210,282
Transportation	5,000

Unallocated	<u>5,332,834</u>
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Total depreciation expense - governmental activities	<u><u>\$ 5,745,071</u></u>
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Business-Type Activities

Food service operations	<u><u>\$ 130,568</u></u>
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NOTE 7 – LONG-TERM LIABILITIES

Changes in long-term liabilities for the year ended June 30, 2018, are summarized as follows:

	Balance - Beginning of Year	Additions	Reductions	Balance - End of Year	Due Within One Year
Governmental Activities					
Revenue bonds	\$ 69,539,539	\$ 16,667,000	\$ 6,364,000	\$ 79,842,539	\$ 3,858,000
Unamortized premium on bonds payable	134,261	-	26,852	107,409	-
Compensated absences	<u>333,510</u>	<u>1,054,543</u>	<u>1,055,442</u>	<u>332,611</u>	<u>332,611</u>
Total	<u><u>\$ 70,007,310</u></u>	<u><u>\$ 17,721,543</u></u>	<u><u>\$ 7,446,294</u></u>	<u><u>\$ 80,282,559</u></u>	<u><u>\$ 4,190,611</u></u>

Waterloo Community School District

Notes to Financial Statements

NOTE 7 – LONG-TERM LIABILITIES (CONTINUED)

Revenue Bonds

Details of the District's June 30, 2018, statewide sales, services and use tax revenue (and refunding) bonded indebtedness are as follows:

Year Ending June 30,	Bonds Issued April 26, 2011 - Series B Original Issue Amount - \$16,379,539					Bonds Issued April 22, 2013 Original Issue Amount - \$10,000,000		
	Interest Rate	Principal	Interest	Credit	Interest Net of Credit	Interest Rate	Principal	Interest
2019	5.58%	\$ -	\$ 958,203	\$ (884,495)	\$ 73,708	2.00%	\$ 990,000	\$ 115,562
2020	5.58%	-	958,203	(884,495)	73,708	2.00%	1,000,000	95,663
2021	5.58%	-	958,203	(884,495)	73,708	2.00%	1,010,000	75,562
2022	5.58%	-	958,203	(884,495)	73,708	2.00%	1,030,000	55,163
2023	5.58%	-	958,203	(884,495)	73,708	2.00%	1,045,000	34,413
2024-2026	5.58%	16,379,539	2,395,508	(2,211,238)	184,270	2.00-2.25%	1,065,000	11,981
Total		<u>\$ 16,379,539</u>	<u>\$ 7,186,523</u>	<u>\$ (6,633,713)</u>	<u>\$ 552,810</u>		<u>\$ 6,140,000</u>	<u>\$ 388,344</u>

Year Ending June 30,	Bonds Issued January 13, 2017 Original Issue Amount - \$43,054,000			Bonds Issued March 1, 2018 Original Issue Amount - \$16,667,000		
	Interest Rate	Principal	Interest	Interest Rate	Principal	Interest
2019	2.65%	\$ 2,868,000	\$ 1,039,383	2.93%	\$ -	\$ 406,953
2020	2.65	2,966,000	962,083	2.93%	975,000	474,059
2021	2.65	2,960,000	883,563	2.93%	1,175,000	442,562
2022	2.65	2,954,000	805,202	2.93%	565,000	417,071
2023	2.65	3,000,000	726,312	2.93%	615,000	399,784
2024-2028	2.65	20,477,000	2,235,341	2.93%	9,100,000	1,403,030
2029-2030	2.65	5,431,000	71,961	2.93%	4,237,000	120,291
Total		<u>\$ 40,656,000</u>	<u>\$ 6,723,845</u>		<u>\$ 16,667,000</u>	<u>\$ 3,663,750</u>

Year Ending June 30,	Total		
	Principal	Interest Net of Credit	Total
2019	\$ 3,858,000	\$ 1,635,606	\$ 5,493,606
2020	4,941,000	1,605,513	6,546,513
2021	5,145,000	1,475,395	6,620,395
2022	4,549,000	1,351,144	5,900,144
2023	4,660,000	1,234,216	5,894,216
2024-2028	47,021,539	3,834,623	50,856,162
2029-2030	9,668,000	192,252	9,860,252
Total	<u>\$ 79,842,539</u>	<u>\$ 11,328,749</u>	<u>\$ 91,171,288</u>

The District has pledged future statewide sales, services and use tax revenue to repay the \$63,463,000 of bonds issued in April 2013, January 2017, and February 2018. The bonds were issued for the purpose of financing a portion of the costs associated with site acquisition, construction, reconstruction, remodeling, and refurbishing certain District facilities, refunding certain District outstanding statewide sales, services and use tax revenue bonds and paying the costs of issuing the bonds. The bonds are payable solely from proceeds of the statewide sales, services, and use tax revenue received by the District. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. The total principal and interest remaining to be paid on the bonds is \$74,238,939. For the current year, principal of \$6,364,000 and interest of \$1,317,436 was paid on the bonds.

**Waterloo Community School District
Notes to Financial Statements**

NOTE 7 – LONG-TERM LIABILITIES (CONTINUED)

Revenue Bonds (Continued)

The District has also pledged future statewide sales, services, and use tax revenue to repay the \$16,379,539 of qualified school construction bonds Series B (direct pay) issued in April 2011. The bonds were issued for the purpose of financing a portion of the costs associated with site acquisition and construction of a new elementary school. The bonds are payable solely from proceeds of the statewide sales, services and use tax revenue received by the District and mature July 1, 2025. The bonds have an interest rate of 5.85% but the District is entitled to a credit from the federal government at a rate of 5.4% (Build America Bonds). The District must remit interest net of any credits received to the bondholder semi-annually. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. The total principal and interest net of credits remaining to be paid on the bonds is \$16,932,349. For the current year, no principal and interest net of credit of \$132,085 was paid on the bonds.

Annual principal and interest payments on all outstanding bonds are expected to require nearly 68% of the statewide sales, services, and use tax revenue. For the current year, total statewide sales, services, and use tax revenue was \$10,092,844.

The resolutions providing for the issuance of the statewide, sales, services, and use tax revenue (and refunding) bonds include the following provisions:

- a. The proceeds from the issuance of the bonds be used to pay off any remaining principal and interest due on the 2011 Series A bonds (2017 Series only).
- b. 10% of the proceeds from the issuance of the revenue bonds (Series 2013 only) shall be deposited to a reserve account to be used solely for the purpose of paying principal and interest on the bonds if insufficient money is available in the sinking account. The balance of the proceeds shall be deposited to the project account.
- c. All proceeds from the statewide sales, services and use tax shall be placed in a revenue account.
- d. Monies in the revenue account shall be disbursed to make deposits into a sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year.
- e. Any monies remaining in the revenue account after the required transfer to the sinking account may be transferred to the project account to be used for any lawful purpose.

The District complied with all of the revenue bond provisions during the year ended June 30, 2018.

The District did not exceed its legal debt margin as of June 30, 2018, as follows:

Total Assessed Valuation	<u>\$ 4,073,866,416</u>
Debt limit (5% of total assessed valuation)	\$ 203,693,321
Amount of debt applicable to debt limit (total bonded debt)	<u>(79,842,539)</u>
Excess of debt limit over bonded debt outstanding (legal debt margin)	<u>\$ 123,850,782</u>

Waterloo Community School District
Notes to Financial Statements

NOTE 8 – PENSION AND RETIREMENT BENEFITS

A. Plan Description

Iowa Public Employees' Retirement System (IPERS) membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple-employer defined benefit pension plan administered by IPERS. IPERS issues a stand-alone financial report which is available to the public by mail at PO Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code Chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

B. Pension Benefits

A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. (These qualifications must be met on the member's first month of entitlement to benefits.) Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a regular member's monthly IPERS benefit includes:

- A multiplier (based on years of service).
- The member's highest five-year average salary. (For members with service before June 30, 2012, the highest three-year average salary as of that date will be used if it is greater than the highest five- year average salary.)

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month that the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50% for each month the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

C. Disability and Death Benefits

A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

**Waterloo Community School District
Notes to Financial Statements**

NOTE 8 – PENSION AND RETIREMENT BENEFITS (CONTINUED)

D. Contributions

Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to one percentage point. IPERS' Contribution Rate Funding Policy requires the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2018, pursuant to the required rate, regular members contributed 5.95% of covered payroll and the District contributed 8.93% for a total rate of 14.88%.

The District's contributions to IPERS for the year ended June 30, 2018, were \$6,729,194.

E. Net Pension Liabilities, Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

As of June 30, 2018, the District reported a liability of \$66,143,267 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2017, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. As of June 30, 2017, the District's proportion was 0.9929534% which was a decrease of 0.048975% from its proportion measured as of June 30, 2016.

For the year ended June 30, 2018, the District recognized pension expense of \$8,256,671. As of June 30, 2018, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 607,258	\$ 573,080
Changes of assumptions	11,492,650	-
Net difference between projected and actual earnings on IPERS investments	-	690,842
Changes in proportion and differences between District contributions and proportionate share of contributions	218,167	3,356,980
District contributions subsequent to the measurement date	6,729,194	-
Total	<u>\$ 19,047,269</u>	<u>\$ 4,620,902</u>

Waterloo Community School District
Notes to Financial Statements

NOTE 8 – PENSION AND RETIREMENT BENEFITS (CONTINUED)

E. Net Pension Liabilities, Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions (Continued)

\$6,729,194 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2019. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ending June 30,	
2019	\$ 753,330
2020	4,338,164
2021	2,222,201
2022	(251,383)
2023	634,861
Total	\$ 7,697,173

There were no nonemployer contributing entities to IPERS.

F. Actuarial Assumptions

The total pension liability in the June 30, 2017, actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of inflation (effective June 30, 2017)	2.6% per annum.
Salary increases (effective June 30, 2017)	3.25% to 16.25%, average, including inflation. Rates vary by membership group.
Long-term Investment rate of return (effective June 30, 2017)	7.0% compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25% per annum, based on 2.6% inflation assumption and 0.65% real wage inflation.

The actuarial assumptions used in the June 30, 2017, valuation were based on the results of actuarial experience study dated March 24, 2017.

Mortality rates were based on the RP-2000 Mortality Table for Males or Females, as appropriate, with adjustments for mortality improvements based on Scale AA.

**Waterloo Community School District
Notes to Financial Statements**

NOTE 8 – PENSION AND RETIREMENT BENEFITS (CONTINUED)

F. Actuarial Assumptions (Continued)

The long-term expected rate of return on IPERS investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	24 %	6.25 %
International equity	16	6.71
Core plus fixed income	27	2.25
Public credit	3.5	3.46
Public real assets	7	3.27
Cash	1	-0.31
Private equity	11	11.15
Private real assets	7.5	4.18
Private credit	3	4.25
Total	<u>100 %</u>	

G. Discount Rate

The discount rate used to measure the total pension liability was 7.0%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, IPERS' fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on IPERS' investments was applied to all periods of projected benefit payments to determine the total pension liability.

H. Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.0%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is one percentage point lower (6.0%) or one percentage point higher (8.0%) than the current rate.

	1% Decrease (6.0%)	Discount Rate (7.0%)	1% Increase (8.0%)
District's proportionate share of the net pension liability	\$ 108,977,575	\$ 66,143,267	\$ 30,154,226

Waterloo Community School District
Notes to Financial Statements

NOTE 8 – PENSION AND RETIREMENT BENEFITS (CONTINUED)

I. Pension Plan Fiduciary Net Position

Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

J. Payables to the Pension Plan

As of June 30, 2018, the District reported payables to the defined benefit pension plan of \$581,747 for legally required employer contributions and \$387,614 for legally required employee contributions withheld from employee wages but not yet remitted to IPERS.

NOTE 9 – CONTINGENT LIABILITY FOR SICK LEAVE TIME

District employees accumulate sick leave hours for subsequent use. These accumulations do not vest and therefore are not recognized as liabilities of the District until used by employees. The District's contingent liability for employee sick leave as of June 30, 2018 was approximately \$13,900,000.

NOTE 10 – RISK MANAGEMENT

The District is exposed to various risks of loss related to torts, theft, damage to and destruction of assets, errors and omissions, injuries to employees, and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years. There were no significant reductions in insurance coverage from the prior year.

NOTE 11 – AREA EDUCATION AGENCY SUPPORT

The District is required by the Code of Iowa to budget for its share of special education support, media, and educational services provided through the Area Education Agency. The District's actual amount for this purpose totaled \$5,286,315 for the year ended June 30, 2018, and is recorded in the General Fund by making a memorandum adjusting entry to the cash basis financial statements.

NOTE 12 – EARLY RETIREMENT PLAN

The District offers a voluntary early retirement plan to its administrative support staff and administrators. The application for early retirement is subject to approval by the Board of Education.

The District provides a one-time supplemental benefit payment for administrative support staff and administrators. The District offers the plan on an annual basis. To be eligible for the benefit, the administrative support staff or administrator must have attained age 55 by August 1, have completed 13 years of service with the District and have submitted application for retirement by March 31. In addition, for administrators to qualify, at least ten of the years of service must have been as an administrator. Benefits are computed as 30%-40% of salary based on age at retirement. The administrative support staff and administrators are also eligible to continue participation in the District's group health insurance program to age 65, as described in Note 13.

**Waterloo Community School District
Notes to Financial Statements**

NOTE 12 – EARLY RETIREMENT PLAN (CONTINUED)

As of June 30, 2018, three employees requested early retirement under the fiscal year 2018 incentive. The District had no remaining obligation for this incentive as the one-time payment was made during the year.

Early retirement expenditures for the year ended June 30, 2018, totaled \$65,288.

The early retirement plan liability is liquidated by the Management Fund, a nonmajor governmental fund.

NOTE 13 – OTHER POSTEMPLOYMENT BENEFITS (OPEB)

A. Plan Description

The District provides a single-employer defined benefit health care plan to employee retirees and their spouses. The plan offers medical/prescription drug and dental coverage. Medical coverage is administered by Wellmark. The dental coverage is administered by Delta Dental. It is the District's policy to periodically review its coverage, and to obtain requests for proposals in order to provide the most favorable benefits and premiums for District employees and retirees.

B. Benefit Provided

The District provides post employment retirement benefits to pay health, dental, and life insurance premiums for certain retired District personnel. Benefits are paid on behalf of retired administrative personnel to Medicare eligibility and other qualified staff to Medicare eligibility at which time benefits cease.

C. Members

As of June 30, 2018, the following were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	51
Active employees	<u>1,608</u>
Total	<u><u>1,659</u></u>

D. Contributions

Retirees under age 65 contribute to the health care plan at the same rate as District employees. This results in the retirees receiving an implicit rate subsidy. Contribution requirements are established by the District, based on the contract terms with Wellmark. The required contributions are based on projected pay-as-you-go financing requirements. For the year 2018, the District contributed \$350,303 to the plan.

Waterloo Community School District
Notes to Financial Statements

NOTE 13 – OTHER POSTEMPLOYMENT BENEFITS (OPEB) (CONTINUED)

E. Actuarial Assumptions

The total OPEB liability was determined by an actuarial valuation as of June 30, 2018, using the following actuarial assumptions, applied to all periods included in the measurement, unless otherwise specified:

Key Methods and Assumptions Used in Valuation of Total OPEB Liability

Discount rate	3.87%
Salary increases	3.50%
Inflation	3.00%
Healthcare cost trend increases	7.0% in 2018 grading to 4.50% over five years
Mortality Assumption	RP-2014 generational table scaled using MP 2017 and applied on a gender-specific basis

The actuarial assumptions used in the June 30, 2018, valuation were based on the results of an actuarial experience study for the period July 1, 2017 – June 30, 2018.

The discount rate used to measure the total OPEB liability was 3.87% based on the 20-year municipal bond yield.

F. Total OPEB Liability

The District's total OPEB liability of \$9,454,721 was measured as of June 30, 2018, and was determined by an actuarial analysis as of that date.

	Total OPEB Liability (a)
Balances at July 1, 2017	<u>\$ 8,828,046</u>
Changes for the year	
Service cost	854,462
Interest	367,941
Assumption changes	(245,425)
Benefit payments	<u>(350,303)</u>
Net changes	<u>626,675</u>
Balances at June 30, 2018	<u><u>\$ 9,454,721</u></u>

Waterloo Community School District
Notes to Financial Statements

NOTE 13 – OTHER POSTEMPLOYMENT BENEFITS (OPEB) (CONTINUED)

G. OPEB Liability Sensitivity

The following presents the District's net OPEB liability calculated using the discount rate of 3.87% as well as the liability measured using 1% lower and 1% higher than the current discount rate.

	1% decrease (2.87%)	Current (3.87%)	1% increase (4.87%)
Net OPEB Liability	\$ 10,332,000	\$ 9,455,000	\$ 8,662,000

The following presents the net OPEB liability of the District, as well as what the District's net OPEB liability would be if it were calculated using healthcare cost trend rates that are 1% lower and 1% higher than the current healthcare cost trend rates. The decrease in healthcare cost trend rates is over five years.

	1% decrease (6.0% decreasing to 3.5%)	Current (7.0% decreasing to 4.5%)	1% increase (8.0% decreasing to 5.5%)
Net OPEB Liability	\$ 8,106,000	\$ 9,455,000	\$ 11,442,000

H. OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

For the year ended June 30, 2018, the District recognized OPEB expense of \$1,204,242. At June 30, 2018, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Changes of assumptions	\$ -	\$ 227,265

Waterloo Community School District
Notes to Financial Statements

NOTE 13 – OTHER POSTEMPLOYMENT BENEFITS (OPEB) (CONTINUED)

**H. OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources
Related to OPEB (Continued)**

Amounts reported as deferred outflows of resources and deferred inflows of resources will be recognized in OPEB expense as follows:

Year Ending June 30,	Total
2019	\$ (18,161)
2020	(18,161)
2021	(18,161)
2022	(18,161)
2023	(18,161)
Thereafter	(136,459)
Total	<u>\$ (227,264)</u>

NOTE 14 – CATEGORICAL FUNDING

The District's restricted fund balance for categorical funding as of June 30, 2018 is comprised of the following programs:

Early literacy	\$ 50,220
Educator quality, professional development	365,461
STEM Scale Up Grant	1,500
Statewide voluntary 4-year-old preschool program	260,068
Teacher leadership	198,853
Textbook aid for nonpublic students	20,249
Total	<u>\$ 896,351</u>

NOTE 15 – TAX ABATEMENTS

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenue that results from an agreement between one or more governments and an individual entity in which (a) one or more governments promise to forgo tax revenue to which they are otherwise entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Waterloo Community School District
Notes to Financial Statements

NOTE 15 – TAX ABATEMENTS (CONTINUED)

Tax Abatements of Other Entities

Property tax revenue of the District were reduced by the following amounts for the year ended June 30, 2018, under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Evansdale	Urban Renewal and Economic Development Projects	\$ 505
City of Waterloo	Urban Renewal and Economic Development Projects	787,789

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2018, the District received \$331,851 in reimbursements.

NOTE 16 – COMMITMENTS

The District has entered into agreements with various companies for nursing and operation of the District's student transportation services. Terms of the agreements range from one to five years, and all agreements contain provisions for renewal.

The District has entered into various contracts for several projects which are primarily being funded by the statewide sales, services and use tax. The projects include a renovation of Central Middle School and other various projects. As of June 30, 2018, the remaining commitment on these contracts was \$9,232,323 and will be paid as work on the projects progress.

NOTE 17 – CHANGE IN ACCOUNTING PRINCIPLE

For the year ended June 30, 2018, the District implemented GASB Statement No. 75, Accounting and Financial Reporting for Postemployment Benefits Other than Pensions. This resulted in an adjustment to the beginning net position on the Statement of Activities of \$4,021,047 to add the beginning total OPEB liability.

NOTE 18 – GASB STANDARDS ISSUED BUT NOT YET IMPLEMENTED

GASB Statement No. 84, Fiduciary Activities establishes criteria for identifying fiduciary activities of all state and local governments. The focus of the criteria generally is on (1) whether a government is controlling the assets of the fiduciary activity and (2) the beneficiaries with whom a fiduciary relationship exists. Separate criteria are included to identify fiduciary component units and postemployment benefit arrangements that are fiduciary activities. This statement will be effective for the year ending June 30, 2020.

Waterloo Community School District
Notes to Financial Statements

NOTE 18 – GASB STANDARDS ISSUED BUT NOT YET IMPLEMENTED (CONTINUED)

GASB Statement No. 87, Leases establishes a single model for lease accounting based on the foundational principle that leases are financings of the right to use an underlying asset. Under this statement, a lessee is required to recognize a lease liability and an intangible right-to-use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources, thereby enhancing the relevance and consistency of information about governments' leasing activities. This statement will be effective for the year ending June 30, 2021.

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REQUIRED SUPPLEMENTARY INFORMATION

Waterloo Community School District
Schedule of Budgetary Comparison of Revenue,
Expenditures/Expenses and Changes in Balances
Budget to Actual - All Governmental Funds and Proprietary Fund
Year Ended June 30, 2018

	Budgeted Amounts		Actual		Variance with Final Budget - Over (Under)
	Original	Final	Governmental Funds	Proprietary Fund	
Revenues					
Local sources	\$ 46,569,954	\$ 46,569,954	\$ 44,721,391	\$ 1,065,548	\$ (783,015)
State sources	95,289,977	95,289,977	93,493,669	50,430	(1,745,878)
Federal sources	14,579,819	14,579,819	10,249,534	5,218,269	887,984
Total revenues	<u>156,439,750</u>	<u>156,439,750</u>	<u>148,464,594</u>	<u>6,334,247</u>	<u>(1,640,909)</u>
Expenditures					
Instruction	86,911,911	90,911,911	82,736,232	-	(8,175,679)
Support services	46,517,363	48,517,363	42,680,965	-	(5,836,398)
Noninstructional programs	6,925,414	8,925,414	984,215	6,393,763	(1,547,436)
Other expenditures	23,337,416	33,337,416	22,553,208	-	(10,784,208)
Total expenditures	<u>163,692,104</u>	<u>181,692,104</u>	<u>148,954,620</u>	<u>6,393,763</u>	<u>(26,343,721)</u>
Excess of revenues over (under) expenditures	(7,252,354)	(25,252,354)	(490,026)	(59,516)	24,702,812
Other Financing Sources (Uses) (Net)	<u>10,000</u>	<u>10,000</u>	<u>16,646,643</u>	<u>56,984</u>	<u>16,693,627</u>
Net change in fund balance	<u>\$ (7,242,354)</u>	<u>\$ (25,242,354)</u>	<u>\$ 16,156,617</u>	<u>\$ (2,532)</u>	<u>\$ 41,396,439</u>
Fund Balance					
Beginning of year			42,918,043	-	
Change in accounting principle			-	(230,545)	
Beginning of year, restated			42,918,043	(230,545)	
End of year			<u>\$ 59,074,660</u>	<u>\$ (233,077)</u>	

Waterloo Community School District
Notes to the Required Supplementary Information-
Budgetary Reporting

This budgetary comparison is presented as required supplementary information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major special revenue fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds, except internal service, private-purpose trust and agency funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on a GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District adopted one budget amendment increasing budgeted expenditures/expenses by \$18,000,000.

During the year ended June 30, 2018, expenditures did not exceed the District's budget.

**Waterloo Community School District
Schedule of District's Proportionate Share
of the Net Pension Liability
Iowa Public Employees' Retirement System
Last Ten Years**

<u>For Fiscal Year Ended June 30,</u>	<u>District's Proportion of the Net Pension Liability (Asset)</u>	<u>District's Proportionate Share of the Net Pension Liability (Asset)</u>	<u>District's Covered Payroll</u>	<u>District's Proportionate Share of the Net Pension Liability (Asset) as a Percentage of its Covered Payroll</u>
2014	1.0759%	\$ 43,542,944	\$ 71,789,563	8.93%
2015	1.0904%	53,871,608	75,554,558	8.93%
2016	1.0419%	65,571,852	74,825,218	8.93%
2017	0.9930%	66,143,267	74,212,184	8.93%

Note: Schedule is intended to show ten year trend. Additional years will be reported as they become available.

**Waterloo Community School District
Schedule of District Contributions
Iowa Public Employees' Retirement System
Last Ten Years**

<u>Fiscal Year Ending June 30,</u>	<u>Statutorily Required Contribution</u>	<u>Contributions in Relation to the Statutorily Required Contributions</u>	<u>Contribution Deficiency (Excess)</u>	<u>District's Covered Payroll</u>	<u>Contributions as a Percentage of Covered Payroll</u>
2009	\$ 3,717,336	\$ 3,717,336	\$ -	\$ 58,540,724	6.35%
2010	4,110,440	4,110,440	-	61,811,128	6.65%
2011	4,461,095	4,461,095	-	64,188,417	6.95%
2012	5,538,069	5,538,069	-	68,710,533	8.06%
2013	6,146,168	6,146,168	-	70,890,058	8.67%
2014	6,410,808	6,410,808	-	71,789,563	8.93%
2015	6,747,022	6,747,022	-	75,554,558	8.93%
2016	6,681,892	6,681,892	-	74,825,218	8.93%
2017	6,627,148	6,627,148	-	74,212,184	8.93%
2018	6,618,844	6,618,844	-	74,119,194	8.93%

Waterloo Community School District
Notes to the Required Supplementary Information-
Pension Liability

Changes of Benefit Terms

Legislation passed in 2010 modified benefit terms for current regular members. The definition of final average salary changed from the highest three to the highest five years of covered wages. The vesting requirement changed from four years of service to seven years. The early retirement reduction increased from 3% per year measured from the member's first unreduced retirement age to a 6% reduction for each year of retirement before age 65.

In 2008, legislative action transferred four groups – emergency medical service providers, county jailers, county attorney investigators, and National Guard installation security officers – from regular membership to the protection occupation group for future service only.

Changes of Assumptions

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.0%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

The 2014 valuation implemented the following refinements as a result of a quadrennial experience study:

- Decreased the inflation assumption from 3.25% to 3.00%.
- Decreased the assumed rate of interest on member accounts from 4.00% to 3.75% per year.
- Adjusted male mortality rates for retirees in the regular membership group.
- Moved from an open 30-year amortization period to a closed 30-year amortization period for the unfunded actuarial liability (UAL) beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20-year period.

The 2010 valuation implemented the following refinements as a result of a quadrennial experience study:

- Adjusted retiree mortality assumptions.
- Modified retirement rates to reflect fewer retirements.

**Waterloo Community School District
Notes to the Required Supplementary Information-
Pension Liability**

Changes of Assumptions (Continued)

- Lowered disability rates at most ages.
- Lowered employment termination rates.
- Generally increased the probability of terminating members receiving a deferred retirement benefit.
- Modified salary increase assumptions based on various service duration.

**Waterloo Community School District
Schedule of Changes in Total OPEB Liability,
Related Ratios and Notes**

	<u>June 30, 2018</u>
Total OPEB Liability	
Service cost	\$ 854,462
Interest	367,941
Changes of assumptions	(245,425)
Benefit payments	<u>(350,303)</u>
Net change in total OPEB liability	<u>626,675</u>
Beginning of year	<u>8,828,046</u>
End of year	<u><u>\$ 9,454,721</u></u>
Covered payroll	\$ 73,393,083
Total OPEB liability as a percentage of covered-employee payroll	12.88%

Notes to Schedule of Changes in the District's Total OPEB Liability and Related Ratios

Change in benefit terms:

There were no significant changes in benefit terms.

Changes in assumptions:

Changes in assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period.

Year ended June 30, 2018	3.87%
Year ended June 30, 2017	3.58%

Note: Schedule is intended to show ten year trend. Additional years will be reported as they become available.

SUPPLEMENTARY INFORMATION

**Waterloo Community School District
Nonmajor Governmental Funds –
Description of Funds**

Special Revenue Funds

Special revenue funds are used to account for specific revenue that is legally restricted to expenditures for particular purposes.

Student Activity Fund	This fund accounts for the funds raised by student groups. Under state law, the Board retains responsibility for the Student Activity Fund's ultimate disposition.
Management Levy Fund	This fund accounts for the resources accumulated and payments made for property insurance, fidelity bonds, worker compensation, liability insurance premiums, unemployment insurance claims, and early retirement incentives.

**Waterloo Community School District
Combining Balance Sheet -
Nonmajor Governmental Funds
June 30, 2018**

	Special Revenue Funds		
	Student Activity (21)	Management Levy (22)	Total
Assets			
Cash and investments	\$ 1,271,054	\$ 1,902,640	\$ 3,173,694
Receivables			
Property tax - delinquent	-	14,165	14,165
Property tax - succeeding year	-	1,499,992	1,499,992
Due from other governmental units	-	110	110
Total assets	<u>\$ 1,271,054</u>	<u>\$ 3,416,907</u>	<u>\$ 4,687,961</u>
Liabilities			
Accounts payable	\$ -	\$ 15,855	\$ 15,855
Salaries and benefits payable	308	-	308
Due to other governmental units	-	155	155
Interfund payable	79,607	-	79,607
Total liabilities	<u>79,915</u>	<u>16,010</u>	<u>95,925</u>
Deferred Inflows of Resources			
Unavailable revenue - succeeding year property tax	-	1,499,992	1,499,992
Total deferred inflows of resources	<u>-</u>	<u>1,499,992</u>	<u>1,499,992</u>
Fund Balances			
Restricted			
Management levy purposes	-	1,900,905	1,900,905
Student activities	1,191,139	-	1,191,139
Total fund balances	<u>1,191,139</u>	<u>1,900,905</u>	<u>3,092,044</u>
Total liabilities, deferred inflows of resources, and fund balances	<u>\$ 1,271,054</u>	<u>\$ 3,416,907</u>	<u>\$ 4,687,961</u>

Waterloo Community School District
Combining Statement of Revenues, Expenditures,
and Changes in Fund Balances - Nonmajor Governmental Funds
June 30, 2018

	Special Revenue Funds		
	Student Activity (21)	Management Levy (22)	Total
Revenues			
Revenue from local sources			
Local property taxes	\$ -	\$ 1,499,420	\$ 1,499,420
Other local and county revenues	1,639,394	43,420	1,682,814
Revenue from state sources	-	55,382	55,382
Total revenues	<u>1,639,394</u>	<u>1,598,222</u>	<u>3,237,616</u>
Expenditures			
Current			
Instruction			
Regular	-	711,274	711,274
Special	-	7,107	7,107
Other	1,689,606	-	1,689,606
Support services			
Student	-	7,999	7,999
Instructional staff	-	5,392	5,392
General administration	-	7,759	7,759
School administration	-	61,307	61,307
Business and central administration	-	65,796	65,796
Operation and maintenance of plant	-	623,487	623,487
Noninstructional programs	-	17,452	17,452
Total expenditures	<u>1,689,606</u>	<u>1,507,573</u>	<u>3,197,179</u>
Excess of revenues over (under) expenditures	(50,212)	90,649	40,437
Other Financing Sources (Uses)			
Proceeds from sale of capital assets	-	40,625	40,625
Transfers in	52,732	-	52,732
Transfers out	-	(14,453)	(14,453)
Total other financing sources (uses)	<u>52,732</u>	<u>26,172</u>	<u>78,904</u>
Net change in fund balances	2,520	116,821	119,341
Fund Balances			
Beginning of year	<u>1,188,619</u>	<u>1,784,084</u>	<u>2,972,703</u>
End of year	<u>\$ 1,191,139</u>	<u>\$ 1,900,905</u>	<u>\$ 3,092,044</u>

**Waterloo Community School District
Schedule of Changes in Student Activity
Special Revenue Fund
Year Ended June 30, 2018**

Account	Balance - Beginning of Year	Revenue	Expenditures	Balance - End of Year
High Schools				
East	\$ 323,979	\$ 340,415	\$ 385,127	\$ 279,267
Expo	47,203	68,473	62,793	52,883
West	328,493	698,712	631,223	395,982
Middle Schools				
Bunger	58,791	26,578	39,868	45,501
Carver	33,371	21,690	29,082	25,979
Central	67,762	14,046	17,678	64,130
Hoover	34,617	68,143	64,614	38,146
Elementary Schools				
Cunningham	15,435	20,170	20,565	15,040
Elk Run Pre-K	5,465	598	107	5,956
Fred Becker	12,791	29,320	28,576	13,535
Highland	38,541	29,489	28,463	39,567
Irving	28,621	22,279	34,964	15,936
Kingsley	24,558	35,314	39,971	19,901
Kittrell	32,683	33,523	26,936	39,270
Lincoln	27,229	25,428	27,891	24,766
Lou Henry	35,527	47,502	40,060	42,969
Lowell	19,295	19,273	19,373	19,195
Orange	30,931	52,231	56,531	26,631
Poyner	19,571	42,705	35,290	26,986
Other	3,756	43,504	47,761	(501)
Total	\$ 1,188,619	\$ 1,639,393	\$ 1,636,873	\$ 1,191,139

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**Waterloo Community School District
Capital Projects Fund Accounts –
Description of Accounts**

The Capital Projects Fund is used to account for specific resources that are restricted to expenditures for capital outlays. The fund has two sets of accounts, as follows:

Statewide Sales, Services, and Use Tax	This set of accounts is used to account for all resources used in the acquisition and construction of capital facilities and the payment of fees related to the issuance of bonds.
Physical Plant and Equipment Levy	This set of accounts is used to account for resources accumulated and payments made for the purchase and improvement of grounds, purchase of buildings, major repairs, remodeling, reconstructing, improving or expanding the schools or buildings, and for equipment purchases.

**Waterloo Community School District
Combining Balance Sheet -
Capital Projects Fund Accounts
June 30, 2018**

	Capital Projects		
	Statewide Sales, Services and Use Tax (33)	Physical Plant and Equipment Levy (36)	Total
Assets			
Cash and investments	\$ 18,558,311	\$ 2,115,856	\$ 20,674,167
Receivables			
Property tax - delinquent	-	31,589	31,589
Property tax - succeeding year	-	2,963,192	2,963,192
Due from other governmental units	854,940	198	855,138
Total assets	<u>\$ 19,413,251</u>	<u>\$ 5,110,835</u>	<u>\$ 24,524,086</u>
Liabilities			
Accounts and contracts payable	\$ 1,295,510	\$ 216,208	\$ 1,511,718
Due to other governmental units	-	45,892	45,892
Interfund payable	44,110	-	44,110
Total liabilities	<u>1,339,620</u>	<u>262,100</u>	<u>1,601,720</u>
Deferred Inflows of Resources			
Unavailable revenue - succeeding year property tax	-	2,963,192	2,963,192
Total deferred inflows of resources	<u>-</u>	<u>2,963,192</u>	<u>2,963,192</u>
Fund Balances			
Restricted			
School infrastructure	18,073,631	-	18,073,631
Physical plant and equipment	-	1,885,543	1,885,543
Total fund balances	<u>18,073,631</u>	<u>1,885,543</u>	<u>19,959,174</u>
Total liabilities, deferred inflows of resources, and fund balances	<u>\$ 19,413,251</u>	<u>\$ 5,110,835</u>	<u>\$ 24,524,086</u>

Waterloo Community School District
Combining Schedule of Revenues, Expenditures,
and Changes in Fund Balances - Capital Projects Fund Accounts
Year Ended June 30, 2018

	Capital Projects		
	Statewide Sales, Services and Use Tax (33)	Physical Plant and Equipment Levy (36)	Total
Revenues			
Revenue from local sources			
Local property taxes	\$ -	\$ 2,945,262	\$ 2,945,262
Other local and county revenues	143,998	9,700	153,698
Revenue from state sources	10,092,844	115,967	10,208,811
Revenue from federal sources	826,118	-	826,118
Total revenues	<u>11,062,960</u>	<u>3,070,929</u>	<u>14,133,889</u>
Expenditures			
Current			
Regular	105,376	-	105,376
Support services			
Instructional staff	-	500	500
General administration	25,784	220	26,004
Business and central administration	-	17,031	17,031
Operational and maintenance of plant	-	195,156	195,156
Facilities Acquisition	6,726,054	1,916,968	8,643,022
Debt service			
Interest and fiscal charges	2,750	-	2,750
Total expenditures	<u>6,859,964</u>	<u>2,129,875</u>	<u>8,989,839</u>
Excess of revenues over (under) expenditures	4,202,996	941,054	5,144,050
Other Financing Sources (Uses)			
Bond issuance	16,667,000	-	16,667,000
Transfers Out	<u>(10,198,679)</u>	<u>(67,999)</u>	<u>(10,266,678)</u>
Total other financing sources (uses)	<u>6,468,321</u>	<u>(67,999)</u>	<u>6,400,322</u>
Net change in fund balances	10,671,317	873,055	11,544,372
Fund Balances			
Beginning of year	<u>7,402,314</u>	<u>1,012,488</u>	<u>8,414,802</u>
End of year	<u>\$ 18,073,631</u>	<u>\$ 1,885,543</u>	<u>\$ 19,959,174</u>

Waterloo Community School District
Statement of Changes in Fiduciary Assets and Liabilities
Agency Fund
Year Ended June 30, 2018

	June 30, 2017	Additions	Deductions	June 30, 2018
Assets				
Cash and investments	\$ 31,253	\$ 1,680		\$ 32,933
Receivable	-	1,229	-	1,229
Total assets	<u>\$ 31,253</u>	<u>\$ 2,909</u>	<u>\$ -</u>	<u>\$ 34,162</u>
Liabilities				
Accounts payable	<u>\$ 31,253</u>	<u>\$ 10,085</u>	<u>\$ (7,176)</u>	<u>\$ 34,162</u>

Waterloo Community School District
Schedule of Revenue by Source, Expenditures by Function and Other
Financing Sources and Uses - All Governmental Fund Types
(Modified Accrual Basis)
Last Ten Years

	Fiscal Year									
	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018
Revenue										
Local Tax	\$ 48,754,219	\$ 49,786,925	\$ 47,907,941	\$ 48,794,236	\$ 50,599,641	\$ 42,476,135	\$ 41,644,560	\$ 40,879,253	\$ 41,042,810	\$ 41,145,038
Other local sources	3,997,924	4,473,722	4,334,406	5,035,493	6,293,548	5,376,943	4,829,364	3,922,981	4,060,967	3,576,353
Intermediate sources	-	-	-	-	-	-	-	-	-	-
State sources	61,072,325	54,520,646	64,173,910	65,694,781	67,889,502	82,483,942	90,713,945	92,921,474	93,075,350	93,493,669
Federal sources	8,158,825	15,949,372	12,553,120	13,512,793	11,417,237	10,172,641	9,901,237	9,836,256	9,418,824	10,249,534
Total Revenue	121,983,293	124,730,665	128,969,377	133,037,303	136,199,928	140,509,661	147,089,106	147,559,964	147,597,951	148,464,594
Expenditures										
Instruction										
Regular	49,745,136	53,410,072	54,334,602	57,358,965	58,001,828	57,440,376	60,697,165	58,993,633	55,353,953	55,540,116
Special	19,210,024	22,045,710	21,298,386	24,233,590	26,853,906	23,823,892	23,416,889	22,732,230	21,756,209	22,813,950
Vocational	185,276	197,814	161,738	181,479	201,367	184,768	169,788	202,779	400,383	500,388
Other	2,672,282	2,478,531	2,413,216	2,515,742	2,610,714	2,550,136	2,626,179	2,687,454	2,792,554	3,881,778
Support Services										
Student	3,133,821	2,559,696	2,853,555	3,943,132	4,189,344	3,934,386	4,468,458	4,788,157	4,415,783	5,115,590
Instructional staff	3,390,257	4,373,003	3,564,947	4,382,606	4,641,961	4,105,158	3,415,021	2,817,283	5,646,305	6,447,463
General administration	1,072,601	1,161,982	1,087,004	1,280,923	1,313,279	2,053,676	2,474,156	2,718,769	2,602,137	2,616,598
School administration	5,471,176	5,758,327	5,879,252	6,351,790	6,661,022	7,270,700	7,706,815	7,890,728	7,743,139	8,125,929
Business and central administration	5,325,264	3,909,258	4,683,782	3,897,856	4,028,887	4,208,250	4,017,360	4,534,563	3,827,775	4,106,600
Operation and maintenance of plant	9,919,474	9,850,642	9,638,972	9,941,089	10,708,839	10,999,450	10,914,335	11,138,260	11,167,991	11,189,322
Transporation	2,182,716	3,191,138	3,881,025	4,280,604	5,353,119	5,092,951	4,966,293	4,732,761	4,750,742	5,079,463
Noninstructional programs	14,950	17,099	11,533	7,272	7,312	56,164	41,051	762,335	810,060	984,215
AEA flowthrough	4,221,658	4,966,096	5,132,642	4,689,160	4,648,080	4,896,694	5,160,012	5,236,777	5,152,367	5,286,315
Facilities acquisition	38,925,059	17,750,265	18,959,552	12,646,370	16,032,792	8,016,091	5,916,295	1,736,111	3,284,407	8,643,022
Debt Service										
Principal	35,000,000	-	-	-	1,350,000	1,700,000	2,655,000	2,760,000	4,930,000	6,367,495
Interest and fiscal charges	1,663,100	1,740,400	3,015,301	2,343,124	3,476,497	3,498,428	3,536,466	3,462,108	3,769,285	2,256,376
Total Expenditures	182,132,794	133,410,033	136,915,507	138,053,702	150,078,947	139,831,120	142,181,283	137,193,948	138,403,090	148,954,620
Revenue Over (Under) Expenditures	(60,149,501)	(8,679,368)	(7,946,130)	(5,016,399)	(13,879,019)	678,541	4,907,823	10,366,016	9,194,861	(490,026)
Other Financing Sources (Uses)										
Revenue bonds issued	46,400,000	-	69,159,539	-	10,000,000	-	5,060,000	-	-	16,667,000
Premium (discount) on sale of revenue bonds	(174,000)	-	240,456	-	246,146	-	-	-	-	-
Revenue bonds repaid	-	-	(46,400,000)	-	-	-	-	-	-	-
Proceeds from sale of capital assets	1,150	-	-	-	50,003	-	-	17,400	43,045,000	40,850
Proceeds from long-term note receivable from sale of capital assets	-	-	-	-	280,000	-	-	-	(48,033,623)	-
Transfers in	36,704,921	1,784,555	53,686,459	6,277,148	7,332,986	7,391,787	7,171,023	7,322,260	9,610,102	10,272,656
Transfers out	(36,764,921)	(1,844,555)	(53,686,459)	(6,143,739)	(7,332,986)	(7,391,787)	(7,171,023)	(7,322,260)	(9,610,102)	(10,333,863)
Total Other Financing Sources (Uses)	46,167,150	(60,000)	22,999,995	133,409	10,576,149	-	5,060,000	17,400	(4,988,623)	16,646,643

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STATISTICAL SECTION

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Waterloo Community School District Statistical Section

III. Statistical Section (Unaudited)

This part of the District's comprehensive annual financial report presents detailed information as a context for understanding what the information in the financial statements, note disclosures, and required supplementary information says about the District's overall financial health.

<u>Contents</u>	<u>Page</u>
Financial Trends These schedules contain trend information to help the reader understand how the District's financial performance and well-being have changed over time.	92
Revenue Capacity These schedules contain information to help the reader assess the District's most significant local revenue source, the property tax.	98
Debt Capacity These schedules present information to help the reader assess the affordability of the District's current levels of outstanding debt and the District's ability to issue additional debt in the future.	103
Demographic and Economic Information These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place.	108
Operating Information These schedules contain service and infrastructure data to help the reader understand how the information in the District's financial report relates to the services the District provides and the activities it performs.	110

Sources: Unless otherwise noted, the information in these schedules is derived from the comprehensive annual financial reports for the relevant year.

Waterloo Community School District
Net Position by Component
Last Ten Fiscal Years
(Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year									
	2009	2010*	2011	2012	2013	2014	2015**	2016	2017	2018
Governmental activities										
Net investment in capital assets	\$ 94,832,843	\$ 101,384,293	\$ 91,833,429	\$ 103,800,904	\$ 106,089,868	\$ 109,082,308	\$ 105,208,898	\$ 103,139,326	\$ 99,742,300	\$ 104,277,255
Restricted	3,317,761	4,113,495	9,216,798	12,162,708	7,080,103	9,032,725	14,000,419	20,345,571	26,714,296	26,709,802
Unrestricted	15,353,207	3,869,277	13,367,828	(890,776)	(1,313,200)	(2,366,988)	(47,591,693)	(41,694,422)	(36,044,713)	(39,397,460)
Total governmental activities net position	<u>\$ 113,503,811</u>	<u>\$ 109,367,065</u>	<u>\$ 114,418,055</u>	<u>\$ 115,072,836</u>	<u>\$ 111,856,771</u>	<u>\$ 115,748,045</u>	<u>\$ 71,617,624</u>	<u>\$ 81,790,475</u>	<u>\$ 90,411,883</u>	<u>\$ 91,589,597</u>
Business-Type Activities										
Net investment in capital assets	\$ 1,271,169	\$ 1,522,347	\$ 1,380,765	\$ 1,225,648	\$ 1,062,701	\$ 1,078,456	\$ 918,703	\$ 824,219	\$ 698,528	\$ 632,686
Restricted	-	-	-	-	-	31	152	-	-	-
Unrestricted	417,937	262,304	256,145	24,800	14,460	105,695	(1,214,262)	(824,219)	(698,528)	(865,763)
Total business-type activities net position	<u>\$ 1,689,106</u>	<u>1,784,651</u>	<u>1,636,910</u>	<u>1,250,448</u>	<u>1,077,161</u>	<u>1,184,182</u>	<u>(295,407)</u>	<u>-</u>	<u>-</u>	<u>(233,077)</u>
Government-Wide										
Net investment in capital assets	\$ 96,104,012	\$ 102,906,640	\$ 93,214,194	\$ 105,026,552	\$ 107,152,569	\$ 110,160,764	\$ 106,127,601	\$ 103,963,545	\$ 100,440,828	\$ 104,909,941
Restricted	3,317,761	4,113,495	9,216,798	12,162,708	7,080,103	9,032,756	14,000,571	20,345,571	26,714,296	26,709,802
Unrestricted	15,771,144	4,131,581	13,623,973	(865,976)	(1,298,740)	(2,261,293)	(48,805,955)	(42,518,641)	(36,743,241)	(40,263,223)
Total District net position	<u>\$ 115,192,917</u>	<u>\$ 111,151,716</u>	<u>\$ 116,054,965</u>	<u>\$ 116,323,284</u>	<u>\$ 112,933,932</u>	<u>\$ 116,932,227</u>	<u>\$ 71,322,217</u>	<u>\$ 81,790,475</u>	<u>\$ 90,411,883</u>	<u>\$ 91,356,520</u>

* The District recorded a prior period adjustment of (\$5,076,782) in fiscal year 2010 due to an increase in the District's capitalization scope. The adjustment is not reflected in fiscal year 2009 on pages 92-94 due to its complexity.

**The District recorded a prior period adjustment of (\$55,184,433) in fiscal year 2015 due to the implementation of GASB No. 68. The adjustment is not reflected in fiscal years 2008-2014 on pages 92-94 due to its complexity.
The District also recorded a prior period adjustment of (\$1,163,241) for health insurance cost adjustments.

Waterloo Community School District
Changes in Net Position
Last Ten Fiscal Years
(Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year									
	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018
Expenses										
Governmental activities										
Instruction										
Regular	\$ 49,870,003	\$ 53,485,505	\$ 54,887,612	\$ 57,539,607	\$ 58,367,692	\$ 57,354,110	\$ 58,118,773	\$ 58,023,505	\$ 56,162,424	\$ 56,666,299
Special	23,450,819	27,417,823	26,380,484	28,982,613	31,738,428	28,675,255	27,665,186	27,631,219	27,193,436	28,527,564
Vocational	205,505	189,556	194,178	213,651	181,182	208,260	174,717	221,589	421,261	489,433
Other	2,598,145	2,553,270	2,485,536	2,592,078	2,652,560	2,615,186	2,645,925	2,729,963	2,864,641	3,944,883
Support Services										
Student	3,135,528	2,610,177	2,847,873	3,953,771	4,231,296	3,927,264	4,279,947	4,724,404	4,465,354	5,198,703
Instructional Staff	3,409,028	4,463,463	3,558,016	4,396,354	4,692,572	4,097,320	3,295,677	2,770,753	5,733,804	6,591,096
General administration	1,070,949	1,182,294	1,085,216	1,284,554	1,326,175	2,041,500	2,380,531	2,673,726	2,642,738	2,668,037
School administration	5,486,172	5,877,930	5,863,759	6,374,993	6,747,138	7,253,891	7,387,505	7,748,294	7,863,958	8,299,220
Business and central administration	4,753,810	3,839,141	4,758,036	4,051,361	4,163,107	4,294,240	3,995,183	4,442,125	3,922,815	4,197,584
Operations and maintenance of plant	11,812,523	13,811,053	11,177,982	11,554,922	12,193,086	12,782,787	12,712,732	12,167,758	13,627,848	12,777,962
Transportation	2,175,404	3,240,175	3,880,978	4,298,984	5,371,436	5,066,244	4,987,904	4,755,349	4,756,049	5,084,870
Noninstructional programs	14,950	17,099	11,533	7,272	7,312	56,164	31,399	749,198	820,652	995,563
Debt service interest and fiscal changes	1,638,402	1,798,400	3,264,406	3,615,700	3,467,624	3,490,542	3,453,182	3,440,024	3,116,157	2,676,973
Depreciation (unallocated)	2,428,227	3,244,743	3,522,778	4,098,229	4,293,227	4,537,859	5,118,467	5,323,306	5,312,206	5,332,834
Total Governmental Activities Expenses	112,049,465	123,730,629	123,918,387	132,964,089	139,432,835	136,400,622	136,247,128	137,401,213	138,903,343	143,451,021
Business-Type Activities										
Nutrition services	5,004,982	5,430,231	5,362,188	5,817,098	5,827,994	6,014,868	6,123,005	5,771,697	6,097,675	6,397,986
Day care services	328,867	191,558	8,426	-	-	-	-	-	-	-
Total Business-Type Activities Expense	5,333,849	5,621,789	5,370,614	5,817,098	5,827,994	6,014,868	6,123,005	5,771,697	6,097,675	6,397,986
Total Expenses	\$ 117,383,314	\$ 129,352,418	\$ 129,289,001	\$ 138,781,187	\$ 145,260,829	\$ 142,415,490	\$ 142,370,133	\$ 143,172,910	\$ 145,001,018	\$ 149,849,007
Program Revenue										
Governmental Activities										
Charges for Service										
Instruction	\$ 2,452,555	\$ 2,336,314	\$ 2,489,542	\$ 2,479,865	\$ 5,548,844	\$ 4,530,590	\$ 4,152,099	\$ 3,181,655	\$ 2,893,381	\$ 2,373,293
Support Services	405,658	476,673	549,946	546,694	546,484	499,644	240,312	261,520	297,151	287,085
Operating grants, contributions, and restricted interest	20,595,945	29,687,190	25,880,878	27,448,605	23,905,197	26,420,632	28,261,920	28,527,370	28,218,619	29,499,730
Capital grants, contributions, and restricted interest	207,302	449,265	1,132,513	657,430	264,917	353,198	329,038	136,397	452,249	104,422
Total Governmental Activities Program Revenue	23,661,460	32,949,442	30,052,879	31,132,594	30,265,442	31,804,064	32,983,369	32,106,942	31,861,400	32,264,530
Business-Type Activities										
Charges for Service										
Nutrition services	\$ 1,458,552	\$ 1,367,271	\$ 1,354,825	\$ 1,305,905	\$ 1,356,317	\$ 1,376,975	\$ 1,361,144	\$ 1,284,523	\$ 1,294,810	\$ 1,061,450
Day care services	16,587	11,685	-	-	-	-	-	-	-	-
Operating grants, contributions, and restricted interest	3,481,263	3,877,176	3,819,569	4,070,794	4,203,271	4,508,190	4,656,571	4,782,171	4,800,811	5,268,699
Capital grants, contributions, and restricted interest	-	399,383	48,461	187,346	94,772	-	-	-	-	-
Total Business-Type Activities Program Revenue	4,956,402	5,655,515	5,222,855	5,564,045	5,654,360	5,885,165	6,017,715	6,066,694	6,095,621	6,330,149
Total Program Revenue	\$ 28,617,862	\$ 38,604,957	\$ 35,275,734	\$ 36,696,639	\$ 35,919,802	\$ 37,689,229	\$ 39,001,084	\$ 38,173,636	\$ 37,957,021	\$ 38,594,679

* The District recorded a prior period adjustment of (\$5,076,782) in fiscal year 2010 due to an increase in the District's capitalization scope. The adjustment is not reflected in fiscal year 2009 on pages 92-94 due to its complexity.

**The District recorded a prior period adjustment of (\$55,184,433) in fiscal year 2015 due to the implementation of GASB No. 68. The adjustment is not reflected in fiscal years 2008-2014 on pages 92-94 due to its complexity.

The District also recorded a prior period adjustment of (\$1,163,241) for health insurance cost adjustments.

	Fiscal Year									
	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018
Net (Expense) Revenue										
Governmental Activities	\$ (88,388,005)	\$ (90,781,187)	\$ (93,865,508)	\$ (101,831,495)	\$ (109,167,393)	\$ (104,596,558)	\$ (103,263,759)	\$ (105,294,271)	\$ (107,041,943)	\$ (111,186,491)
Business-Type Activities	(377,447)	33,726	(147,759)	(253,053)	(173,634)	(129,703)	(105,290)	294,997	(2,054)	(67,837)
Total Government-Wide Net Expense	\$ (88,765,452)	\$ (90,747,461)	\$ (94,013,267)	\$ (102,084,548)	\$ (109,341,027)	\$ (104,726,261)	\$ (103,369,049)	\$ (104,999,274)	\$ (107,043,997)	\$ (111,254,328)
General Revenue (Expense) and Transfers										
Governmental Activities										
Property tax	\$ 37,544,209	\$ 38,677,332	\$ 39,161,521	\$ 39,848,166	\$ 41,296,023	\$ 42,476,135	\$ 41,644,560	\$ 40,879,253	\$ 41,042,810	\$ 41,145,038
Unrestricted statewide sales, services, and use tax	11,210,010	11,109,593	8,746,420	9,394,228	9,320,460	9,414,543	10,423,134	10,636,953	10,404,246	10,067,844
Unrestricted state grants	48,792,965	41,897,979	50,960,501	53,082,417	55,215,455	56,672,275	61,830,614	63,579,962	63,834,387	64,174,857
Unrestricted investment earnings	774,649	96,319	48,056	28,056	119,390	161,244	207,929	370,954	381,908	787,325
Other	(2,633)	-	-	-	-	-	-	-	-	40,850
Transfers	(60,000)	(60,000)	-	133,409	-	(236,365)	(4,940)	-	-	(61,207)
Total Governmental Activities General Revenue (Expense) and Transfers	98,259,200	91,721,223	98,916,498	102,486,276	105,951,328	108,487,832	114,101,297	115,467,122	115,663,351	116,154,707
Business-Type Activities										
Unrestricted investment earnings	1,366	1,819	18	-	347	359	476	410	1,150	4,098
Other	-	-	-	-	-	-	-	-	904	-
Transfers	60,000	60,000	-	(133,409)	-	236,365	4,940	-	-	61,207
Total Business-Type Activities General Revenue (Expense) and Transfers	61,366	61,819	18	(133,409)	347	236,724	5,416	410	2,054	65,305
Total Government-Wide General Revenue	\$ 98,320,566	\$ 91,783,042	\$ 98,916,516	\$ 102,352,867	\$ 105,951,675	\$ 108,724,556	\$ 114,106,713	\$ 115,467,532	\$ 115,665,405	\$ 116,220,012
Change in Net Position										
Governmental Activities	\$ 9,871,195	\$ 940,036	\$ 5,050,990	\$ 654,781	\$ (3,216,065)	\$ 3,891,274	\$ 10,837,538	\$ 10,172,851	\$ 8,621,408	\$ 4,968,216
Business-Type Activities	(316,081)	95,545	(147,741)	(386,462)	(173,287)	107,021	(99,874)	295,407	-	(2,532)
Total	\$ 9,555,114	\$ 1,035,581	\$ 4,903,249	\$ 268,319	\$ (3,389,352)	\$ 3,998,295	\$ 10,737,664	\$ 10,468,258	\$ 8,621,408	\$ 4,965,684

* The District recorded a prior period adjustment of (\$5,076,782) in fiscal year 2010 due to an increase in the District's capitalization scope. The adjustment is not reflected in fiscal year 2009 on pages 92-94 due to its complexity.

**The District recorded a prior period adjustment of (\$55,184,433) in fiscal year 2015 due to the implementation of GASB No. 68. The adjustment is not reflected in fiscal years 2008-2014 on pages 92-94 due to its complexity.
The District also recorded a prior period adjustment of (\$1,163,241) for health insurance cost adjustments.

**Waterloo Community School District
Fund Balances of Governmental Funds
Last Ten Fiscal Years
(Modified Accrual Basis of Accounting)
(Unaudited)**

	Fiscal Year									
	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018
General Fund										
Nonspendable	\$ -	\$ -	\$ 225,453	\$ 270,076	\$ 244,425	\$ 266,418	\$ 314,835	\$ 214,094	\$ 203,354	\$ 209,587
Restricted	-	-	1,541,917	1,097,124	1,157,380	1,316,639	596,754	618,739	846,668	896,351
Committed	-	-	6,150,000	7,206,970	2,223,795	-	-	-	-	-
Assigned	-	-	-	-	-	3,363,588	2,854,732	1,230,992	1,230,992	1,230,992
Unassigned	-	-	2,727,402	72,923	334,586	140,498	4,774,487	9,406,541	16,613,297	19,273,937
Reserved	1,123,761	1,722,154	-	-	-	-	-	-	-	-
Unreserved, designated	-	-	-	-	-	-	-	-	-	-
Unreserved	8,232,546	5,603,561	-	-	-	-	-	-	-	-
Total General Fund	\$ 9,356,307	\$ 7,325,715	\$ 10,644,772	\$ 8,647,093	\$ 3,960,186	\$ 5,087,143	\$ 8,540,808	\$ 11,470,366	\$ 18,894,311	\$ 21,610,867
All Other Governmental Funds										
Debt Service Fund										
Restricted	\$ -	\$ -	\$ 5,486,671	\$ 9,251,902	\$ 11,871,946	\$ 14,059,941	\$ 15,164,372	\$ 16,537,007	\$ 12,636,227	\$ 14,412,575
Capital Projects Fund										
Nonspendable	-	-	-	-	280,000	215,000	-	-	-	-
Restricted	-	-	548,187	1,137,600	419,321	266,201	3,408,325	7,699,813	8,414,802	19,959,174
Assigned	-	-	7,113,314	-	-	-	-	-	-	-
Unassigned	-	-	-	-	(139,528)	(2,901,370)	-	-	-	-
Reserved	-	-	-	-	-	-	-	-	-	-
Unreserved	3,317,761	1,096,965	-	-	-	-	-	-	-	-
Special Revenue Funds										
Nonspendable	-	-	-	-	-	-	13,682	13,205	21,922	-
Restricted	-	-	2,074,942	1,948,301	1,290,101	1,633,652	2,328,344	2,991,415	2,950,781	3,092,044
Reserved	-	-	-	-	-	-	-	-	-	-
Unreserved	6,879,321	2,391,341	-	-	-	-	-	-	-	-
Total All Other Governmental Funds	\$ 10,197,082	\$ 3,488,306	\$ 15,223,114	\$ 12,337,803	\$ 13,721,840	\$ 13,273,424	\$ 20,914,723	\$ 27,241,440	\$ 24,023,732	\$ 37,463,793
Total All Governmental Funds	\$ 19,553,389	\$ 10,814,021	\$ 25,867,886	\$ 20,984,896	\$ 17,682,026	\$ 18,360,567	\$ 29,455,531	\$ 38,711,806	\$ 42,918,043	\$ 59,074,660

Note: GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions*, was implemented in fiscal year 2011.

Waterloo Community School District
Changes in Fund Balances of Governmental Funds
Last Ten Fiscal Years
(Modified Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year									
	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018
Revenue										
Local Tax	\$ 48,754,219	\$ 49,786,925	\$ 47,907,941	\$ 48,794,236	\$ 50,599,641	\$ 42,476,135	\$ 41,644,560	\$ 40,879,253	\$ 41,042,810	\$ 41,145,038
Other local sources	3,997,924	4,473,722	4,334,406	5,035,493	6,293,548	5,376,943	4,829,364	3,922,981	4,060,967	3,576,353
State sources	61,072,325	54,520,646	64,173,910	65,694,781	67,889,502	82,483,942	90,713,945	92,921,474	93,075,350	93,493,669
Federal sources	8,158,825	15,949,372	12,553,120	13,512,793	11,417,237	10,172,641	9,901,237	9,836,256	9,418,824	10,249,534
Total Revenue	121,983,293	124,730,665	128,969,377	133,037,303	136,199,928	140,509,661	147,089,106	147,559,964	147,597,951	148,464,594
Expenditures										
Instruction										
Regular	49,745,136	53,410,072	54,334,602	57,358,965	58,001,828	57,440,376	60,121,044	58,993,633	55,353,953	55,540,116
Special	19,210,024	22,045,710	21,298,386	24,233,590	26,853,906	23,823,892	23,156,424	22,732,230	21,756,209	22,813,950
Vocational	185,276	197,814	161,738	181,479	201,367	184,768	169,756	202,779	400,383	500,388
Other	2,672,282	2,478,531	2,413,216	2,515,742	2,610,714	2,550,136	2,621,515	2,687,454	2,792,554	3,881,778
Support Services										
Student	3,133,821	2,559,696	2,853,555	3,943,132	4,189,344	3,934,386	4,431,229	4,788,157	4,415,783	5,115,590
Instructional staff	3,390,257	4,373,003	3,564,947	4,382,606	4,641,961	4,105,158	3,388,887	2,817,283	5,646,305	6,447,463
General administration	1,072,601	1,161,982	1,087,004	1,280,923	1,313,279	2,053,676	2,451,090	2,718,769	2,602,137	2,616,598
School administration	5,471,176	5,758,327	5,879,252	6,351,790	6,661,022	7,270,700	7,625,796	7,890,728	7,743,139	8,125,929
Business and central administration	5,325,264	3,909,258	4,683,782	3,897,856	4,028,887	4,208,250	3,985,863	4,534,563	3,827,775	4,106,600
Operation and maintenance of plant	9,919,474	9,850,642	9,638,972	9,941,089	10,708,839	10,999,450	10,837,204	11,138,260	11,167,991	11,189,322
Transportation	2,182,716	3,191,138	3,881,025	4,280,604	5,353,119	5,092,951	4,966,162	4,732,761	4,750,742	5,079,463
Noninstructional programs	14,950	17,099	11,533	7,272	7,312	56,164	31,399	762,335	810,060	984,215
AEA flowthrough	4,221,658	4,966,096	5,132,642	4,689,160	4,648,080	4,896,694	5,160,012	5,236,777	5,152,367	5,286,315
Facilities acquisition	38,925,059	17,750,265	18,959,552	12,646,370	16,032,792	8,016,091	5,916,295	1,736,111	3,284,407	8,643,022
Debt Service										
Principal	35,000,000	-	-	-	1,350,000	1,700,000	2,655,000	2,760,000	4,930,000	6,367,495
Interest and fiscal charges	1,663,100	1,740,400	3,015,301	2,343,124	3,476,497	3,498,428	3,536,466	3,462,108	3,769,285	2,256,376
Total Expenditures	182,132,794	133,410,033	136,915,507	138,053,702	150,078,947	139,831,120	141,054,142	137,193,948	138,403,090	148,954,620
Revenue Over (Under) Expenditures	(60,149,501)	(8,679,368)	(7,946,130)	(5,016,399)	(13,879,019)	678,541	6,034,964	10,366,016	9,194,861	(490,026)
Other Financing Sources (Uses)										
Revenue bonds issued	46,400,000	-	69,159,539	-	10,000,000	-	5,060,000	-	-	16,667,000
Premium (discount) on sale of revenue bonds	(174,000)	-	240,456	-	246,146	-	-	-	-	-
Revenue bonds repaid	-	-	(46,400,000)	-	-	-	-	-	-	-
Proceeds from sale of capital assets	1,150	-	-	-	50,003	-	-	17,400	43,045,000	40,850
Proceeds from long-term note receivable	-	-	-	-	280,000	-	-	-	-	-
Payment to refunding bonds escrow agent	-	-	-	-	-	-	-	-	(48,033,623)	-
Transfers in	36,704,921	1,784,555	53,686,459	6,277,148	7,332,986	7,391,787	7,171,023	7,322,260	9,610,102	10,272,656
Transfers out	(36,764,921)	(1,844,555)	(53,686,459)	(6,143,739)	(7,332,986)	(7,391,787)	(7,171,023)	(7,322,260)	(9,610,102)	(10,333,863)
Total Other Financing Sources (Uses)	46,167,150	(60,000)	22,999,995	133,409	10,576,149	-	5,060,000	17,400	(4,988,623)	16,646,643
Net change in fund balances	\$ (13,982,351)	\$ (8,739,368)	\$ 15,053,865	\$ (4,882,990)	\$ (3,302,870)	\$ 678,541	\$ 11,094,964	\$ 10,383,416	\$ 4,206,238	\$ 16,156,617
Debt services as a percentage of noncapital expenditures	25.54%	1.48%	2.53%	1.85%	3.58%	3.89%	4.52%	4.57%	6.34%	6.10%

Waterloo Community School District
General Fund - Other Local Revenue by Sources
Last Ten Fiscal Years
(Modified Accrual Basis of Accounting)
(Unaudited)

<u>Fiscal Year Ended June 30,</u>	<u>Tuition</u>	<u>Rentals</u>	<u>Contributions</u>	<u>Investment Earnings</u>	<u>Other</u>	<u>Total</u>
2009	531,310	129,003	29,850	340,950	676,740	1,707,853
2010	-	158,940	446,225	58,701	1,416,367	2,080,233
2011	-	111,275	1,227,470	42,832	397,251	1,778,828
2012	-	180,510	1,808,099	3,953	481,194	2,473,756
2013	-	170,686	1,880,256	58,975	504,977	2,614,894
2014	-	44,065	2,241,178	72,959	587,411	2,945,613
2015	-	118,672	1,918,344	97,640	373,586	2,508,242
2016	-	114,095	622,991	83,636	224,583	1,045,305
2017	-	96,094	598,548	162,521	293,200	1,150,363
2018	-	74,926	371,131	433,257	202,592	1,081,906

Source: District financial records

Waterloo Community School District
Taxable Value and Assessed Value of Taxable Property
Last Ten Fiscal Years

Excluding Tax Increment Financing (TIF) Property

Levy Year	Collection Year	Real Property		Utilities with Gas and Electric		Total		Ratio of Taxable Value to 100% Assessed Value	Total District Levy Rate
		Taxable Value	100% Assessed Value	Taxable Value	100% Assessed Value	Taxable Value	100% Assessed Value		
		\$		\$		\$	\$	63.0%	14.98155
2016	2017-18	2,596,980,650	4,094,291,800	92,872,695	173,916,620	2,618,750,541	4,182,838,361	0.626	15.40000
2015	2016-17	2,485,821,894	3,980,722,291	132,928,647	202,116,070	2,581,416,801	4,089,863,656	63.1	15.62432
2014	2015-16	2,443,853,918	3,897,583,672	137,562,883	192,279,984	2,606,445,136	4,071,191,917	64.0	15.97526
2013	2014-15	2,466,387,287	3,896,489,703	140,057,849	174,702,214	2,690,263,301	4,183,159,818	64.3	15.72818
2012	2013-14	2,549,230,988	3,983,805,644	141,032,313	199,354,174	2,620,076,377	4,151,533,171	63.1	15.80265
2011	2012-13	2,477,555,487	3,957,138,280	142,520,890	194,394,891	2,449,140,080	3,975,290,145	61.6	16.28141
2010	2011-12	2,304,790,589	3,783,890,999	144,349,491	191,399,146	2,384,419,694	3,946,897,334	60.4	16.43697
2009	2010-11	2,246,534,982	3,762,281,145	137,884,712	184,616,189	2,347,350,976	3,902,415,496	60.2	16.45746
2008	2009-10	2,207,788,198	3,726,931,838	139,562,778	175,483,658	2,249,573,744	3,802,126,625	59.2	16.65725
2007	2008-09	2,114,162,830	3,644,726,839	135,410,914	157,399,786				

*Source: Black Hawk County Auditor's Office

Waterloo Community School District
Direct and Overlapping Property Tax Rates Per \$1,000 Assessed Valuation
Last Ten Fiscal Years

City	Levy Year	Collection Year	Overlapping Rates						District Direct Rates				Total	Ratio of Waterloo Community School District to Total
			State	Area VII Community College	Ag Extension	Assessor	Black Hawk County	City	General Fund	Management Levy Fund	PPEL Fund	Total District		
Waterloo	2017	2018-19	0.00290	\$ 1.01703	\$ 0.09346	\$ 0.25005	\$ 6.41507	\$ 17.45595	\$ 13.01008	\$ 0.56180	\$ 1.00000	\$ 14.57188	\$ 39.80634	36.61%
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507	7.58574	13.42390	0.55765	1.00000	14.98155	30.31731	49.42%
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577	17.60522	13.82721	0.57279	1.00000	15.40000	40.78414	37.76%
	2014	2015-16	0.00330	0.95088	0.09603	0.29967	6.74817	17.7637	13.77207	0.85225	1.00000	15.62432	41.48607	37.66%
	2013	2014-15	0.00330	0.95088	0.09646	0.30787	6.11919	17.95159	13.82427	1.15099	1.00000	15.97526	41.40455	38.58%
	2012	2013-14	0.00330	0.95205	0.08970	0.32445	6.02116	17.49319	13.53871	1.18947	1.00000	15.72818	40.61203	38.73%
	2011	2012-13	0.00330	0.96069	0.09135	0.28236	6.23993	18.20505	13.73398	1.06867	1.00000	15.80265	41.58533	38.00%
	2010	2011-12	0.00320	0.96115	0.08649	0.23025	6.59737	18.53335	14.46480	0.81661	1.00000	16.28141	42.69322	38.14%
	2009	2010-11	0.00340	0.99660	0.07829	0.30965	6.67184	18.26406	14.59819	0.83878	1.00000	16.43697	42.76081	38.44%
	2008	2009-10	0.00300	0.93153	0.08006	0.32262	6.70520	18.30689	14.60544	0.85202	1.00000	16.45746	42.80676	38.45%
Cedar Falls	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.41507	11.22169	13.01008	0.5618	1.00000	14.57188	33.57208	43.40%
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507	11.76884	13.42390	0.55765	1.00000	14.98155	34.50041	43.42%
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577	11.21967	13.82721	0.57279	1.00000	15.40000	34.39859	44.77%
	2014	2015-16	0.00330	0.95088	0.09603	0.29967	6.74817	11.52796	13.77207	0.85225	1.00000	15.62432	35.25033	44.32%
	2013	2014-15	0.00330	0.95088	0.09646	0.30787	6.11919	11.81029	13.82427	1.15099	1.00000	15.97526	35.26325	45.30%
	2012	2013-14	0.00330	0.95205	0.08970	0.32445	6.02116	12.02123	13.53871	1.18947	1.00000	15.72818	35.14007	44.76%
	2011	2012-13	0.00330	0.96069	0.09135	0.28236	6.23993	12.20300	13.73398	1.06867	1.00000	15.80265	35.58328	44.41%
	2010	2011-12	0.00320	0.96115	0.08649	0.23025	6.59737	12.86369	14.46480	0.81661	1.00000	16.28141	37.02356	43.98%
	2009	2010-11	0.00340	0.99660	0.07829	0.30965	6.67184	12.99252	14.59819	0.83878	1.00000	16.43697	37.48927	43.84%
	2008	2009-10	0.00300	0.93153	0.08006	0.32262	6.70520	13.02110	14.60544	0.85202	1.00000	16.45746	37.52097	43.86%
Elk Run Heights	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.41507	8.10000	13.01008	0.5618	1.00000	14.57188	30.45039	47.85%
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507	6.91757	13.42390	0.55765	1.00000	14.98155	29.64914	50.53%
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577	7.00001	13.82721	0.57279	1.00000	15.40000	30.17893	51.03%
	2014	2015-16	0.00330	0.95088	0.09603	0.29967	6.74817	7.00000	13.77207	0.85225	1.00000	15.62432	30.72237	50.86%
	2013	2014-15	0.00330	0.95088	0.09646	0.30787	6.11919	6.01470	13.82427	1.15099	1.00000	15.97526	29.46766	54.21%
	2012	2013-14	0.00330	0.95205	0.08970	0.32445	6.02116	6.01402	13.53871	1.18947	1.00000	15.72818	29.13286	53.99%
	2011	2012-13	0.00330	0.96069	0.09135	0.28236	6.23993	6.01404	13.73398	1.06867	1.00000	15.80265	29.39432	53.76%
	2010	2011-12	0.00320	0.96115	0.08649	0.23025	6.59737	6.01404	14.46480	0.81661	1.00000	16.28141	30.17391	53.96%
	2009	2010-11	0.00340	0.99660	0.07829	0.30965	6.67184	6.01407	14.59819	0.83878	1.00000	16.43697	30.51082	53.87%
	2008	2009-10	0.00300	0.93153	0.08006	0.32262	6.70520	6.00042	14.60544	0.85202	1.00000	16.45746	30.50029	53.96%

Waterloo Community School District
Direct and Overlapping Property Tax Rates Per \$1,000 Assessed Valuation
Last Ten Fiscal Years

City	Levy Year	Collection Year	Overlapping Rates						District Direct Rates				Total	Ratio of Waterloo Community School District to Total
			State	Area VII Community College	Ag Extension	Assessor	Black Hawk County	City	General Fund	Management Levy Fund	PPEL Fund	Total District		
Evansdale	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.41507	8.10000	13.01008	0.5618	1.00000	14.57188	30.45039	47.85%
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507	17.60000	13.42390	0.55765	1.00000	14.98155	40.33157	37.15%
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577	7.41756	13.82721	0.57279	1.00000	15.40000	30.59648	50.33%
	2014	2015-16	0.00330	0.95088	0.09603	0.29967	6.74817	6.99152	13.77207	0.85225	1.00000	15.62432	30.71389	50.87%
	2013	2014-15	0.00330	0.95088	0.09646	0.30787	6.11919	6.99152	13.82427	1.15099	1.00000	15.97526	30.44448	52.47%
	2012	2013-14	0.00330	0.95205	0.08970	0.32445	6.02116	6.31301	13.53871	1.18947	1.00000	15.72818	29.43185	53.44%
	2011	2012-13	0.00330	0.96069	0.09135	0.28236	6.23993	6.87978	13.73398	1.06867	1.00000	15.80265	30.26006	52.22%
	2010	2011-12	0.00320	0.96115	0.08649	0.23025	6.59737	6.87978	14.46480	0.81661	1.00000	16.28141	31.03965	52.45%
	2009	2010-11	0.00340	0.99660	0.07829	0.30965	6.67184	6.87978	14.59819	0.83878	1.00000	16.43697	31.37653	52.39%
	2008	2009-10	0.00300	0.93153	0.08006	0.32262	6.70520	6.74728	14.60544	0.85202	1.00000	16.45746	31.24715	52.67%
Gilbertville	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.41507	11.83251	13.01008	0.5618	1.00000	14.57188	34.18290	42.63%
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507	11.13476	13.42390	0.55765	1.00000	14.98155	33.86633	44.24%
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577	11.35181	13.82721	0.57279	1.00000	15.40000	34.53073	44.60%
	2014	2015-16	0.00330	0.95088	0.09603	0.29967	6.74817	10.97368	13.77207	0.85225	1.00000	15.62432	34.69605	45.03%
	2013	2014-15	0.00330	0.95088	0.09646	0.30787	6.11919	10.63264	13.82427	1.15099	1.00000	15.97526	34.08560	46.87%
	2012	2013-14	0.00330	0.95205	0.08970	0.32445	6.02116	10.57069	13.53871	1.18947	1.00000	15.72818	33.68953	46.69%
	2011	2012-13	0.00330	0.96069	0.09135	0.28236	6.23993	10.57919	13.73398	1.06867	1.00000	15.80265	33.95947	46.53%
	2010	2011-12	0.00320	0.96115	0.08649	0.23025	6.59737	11.08566	14.46480	0.81661	1.00000	16.28141	35.24553	46.19%
	2009	2010-11	0.00340	0.99660	0.07829	0.30965	6.67184	12.26879	14.59819	0.83878	1.00000	16.43697	36.76554	44.71%
	2008	2009-10	0.00300	0.93153	0.08006	0.32262	6.70520	11.24833	14.60544	0.85202	1.00000	16.45746	35.74820	46.04%
Raymond	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.41507	6.91757	13.01008	0.5618	1.00000	14.57188	29.26796	49.79%
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507	8.10000	13.42390	0.55765	1.00000	14.98155	30.83157	48.59%
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577	6.98609	13.82721	0.57279	1.00000	15.40000	30.16501	51.05%
	2014	2015-16	0.00330	0.95088	0.09603	0.29967	6.74817	6.96247	13.77207	0.85225	1.00000	15.62432	30.68484	50.92%
	2013	2014-15	0.00330	0.95088	0.09646	0.30787	6.11919	6.96247	13.82427	1.15099	1.00000	15.97526	30.41543	52.52%
	2012	2013-14	0.00330	0.95205	0.08970	0.32445	6.02116	6.91759	13.53871	1.18947	1.00000	15.72818	30.03643	52.36%
	2011	2012-13	0.00330	0.96069	0.09135	0.28236	6.23993	6.91758	13.73398	1.06867	1.00000	15.80265	30.29786	52.16%
	2010	2011-12	0.00320	0.96115	0.08649	0.23025	6.59737	6.91757	14.46480	0.81661	1.00000	16.28141	31.07744	52.39%
	2009	2010-11	0.00340	0.99660	0.07829	0.30965	6.67184	6.90284	14.59819	0.83878	1.00000	16.43697	31.39959	52.35%
	2008	2009-10	0.00300	0.93153	0.08006	0.32262	6.70520	6.90284	14.60544	0.85202	1.00000	16.45746	31.40271	52.41%

Source: Black Hawk County Auditor's Office

**Waterloo Community School District
Top Ten Property Taxpayers
Current Year and Nine Years Ago**

Taxpayers	Type of Business	FY 2018 Taxable Value	Percentage of 2017 Total Taxable Valuation*	Percentage of Total Taxable Value	FY 2009 Taxable Value	Percentage of 2008 Total Taxable Valuation	Percentage of Total Taxable Value
Deere & Company	Manufacturing	\$ 50,361,946	1.95%	20.25%	\$ 13,987,250	0.62%	5.62%
IOC (Isle of Capri Casino)	Casino	48,954,195	1.90%	19.68%	31,310,700	1.40%	12.59%
Crossroads Realty, Inc,	Retail	22,867,983	0.89%	9.20%	-	-	-
Menard, Inc.	Retail	20,295,000	0.79%	8.16%	-	-	-
Con Agra	Food processing	25,375,383	0.98%	10.20%	14,036,930	0.63%	5.64%
Northern Natural Gas Co.	Utilities	19,013,325	0.74%	7.65%	14,396,079	0.64%	5.79%
Ferguson Enterprises, Inc.	Manufacturing	18,363,903	0.71%	7.38%	24,665,879	1.10%	9.92%
IBP, Inc.	Meat processing	15,924,344	0.62%	6.40%	19,978,561	0.89%	8.03%
Bertch Cabinet Mfg., Inc.	Manufacturing	14,745,528	0.57%	5.93%	14,069,850	0.63%	5.66%
Wal-Mart Real Estate Business							
VGM Management	Health Care	12,788,947	0.50%	5.14%			-
MidAmerican Energy	Utilities	-	-	-	122,999,436	5.48%	49.46%
G G & A Crossroads Center	Retail	-	-	-	31,310,700	1.40%	12.59%
Qwest Corporation	Communications	-	-	-	17,093,206	0.76%	6.87%
Totals		\$ 248,690,554	9.64%	100.00%	\$ 303,848,591	13.54%	122.18%

*2018 total net taxable valuation of \$2,578,452,678 (without gas and electric utility value) and excluding tax increment financing (TIF) property

Source: Black Hawk County Auditor's Office

**Waterloo Community School District
Property Tax Levies and Collections
Last Ten Fiscal Years**

Levy Years	Fiscal Year	<u>Collected within the Fiscal Year of the Levy</u>			Collections in Subsequent Years	<u>Total Collections to Date</u>	
		Taxes Levied for the Fiscal Year	Amount	Percentage of Levy		Amount	Percentage of Levy
2016	2017-18	\$ 40,980,631	\$ 40,980,631	100.00%	-	\$ 40,980,631	100.00%
2015	2016-17	41,068,462	41,042,810	99.94%	-	41,042,810	99.94%
2014	2015-16	41,010,189	40,879,253	99.68%	-	40,879,253	99.68%
2013	2014-15	42,243,752	41,644,560	98.58%	-	41,644,560	98.58%
2012	2013-14	42,842,013	42,502,915	99.21%	-	42,502,915	99.21%
2011	2012-13	41,604,671	41,321,355	99.32%	-	41,321,355	99.32%
2010	2011-12	40,049,487	39,874,663	99.56%	-	39,874,663	99.56%
2009	2010-11	39,356,391	39,192,548	99.58%	-	39,192,548	99.58%
2008	2009-10	38,786,687	38,786,687	100.00%	-	38,786,687	100.00%
2007	2008-09	37,614,548	37,019,196	98.42%	415,658	37,434,854	99.52%

Source: District financial records

**Waterloo Community School District
Ratios of Outstanding Debt by Type
Last Ten Fiscal Years
(Unaudited)**

Year Ended June 30,	Governmental Activities	Total Debt Per Capita*	Personal Income*	Ratio of Outstanding Debt to Personal Income
	Revenue Bonds and Unamortized Bond Premiums/Discounts			
2009	46,235,667	363	3,941,267,550	0.0117
2010	46,293,667	358	4,014,054,000	0.0115
2011	69,397,848	530	4,096,562,500	0.0169
2012	69,384,966	527	4,094,601,147	0.0169
2013	78,264,196	593	4,031,678,826	0.0194
2014	76,524,022	580	4,189,729,509	0.0183
2015	78,889,288	591	4,279,485,888	0.0184
2016	76,089,554	569	4,550,102,593	0.0167
2017	69,673,800	515	4,695,265,800	0.0148
2018	79,949,948	603	4,804,787,520	0.0166

* Personal income and population data can be found in the Schedule of Demographic and Economic Statistics.

Source: District financial records

**Waterloo Community School District
Ratio of Net General Bonded
Debt Outstanding
Last Ten Fiscal Years
(Unaudited)**

Years Ended June 30,	Governmental Activities <u>Revenue Bonds</u>	Percentage of Actual Assessed Value of Property
2009	46,400,000	1.27%
2010	46,400,000	1.24%
2011	69,159,539	1.84%
2012	69,159,539	1.83%
2013	77,809,539	1.97%
2014	76,109,539	1.91%
2015	78,514,539	2.02%
2016	75,754,539	1.94%
2017	69,539,539	1.75%
2018	79,842,539	3.07%

Source: District financial records

Waterloo Community School District
Direct and Overlapping Governmental Activities Debt
As of June 30, 2018
(Unaudited)

Name of Governmental Unit	Total Gross Debt Outstanding (Including Known Unamortized Bond Premiums/ Discounts)	Percentage Applicable to Waterloo Community School District	Overlapping Debt*	Direct Debt	Total Direct and Overlapping Debt
Black Hawk County	\$ 24,175,000	50.51%	\$ 12,210,793	-	\$ 12,210,793
City of Cedar Falls	4,680,000	1.33%	62,244	-	62,244
City of Evansdale	4,870,223	5.02%	244,485	-	244,485
City of Waterloo	89,927,852	83.50%	75,089,756	-	75,089,756
Hawkeye Community College	8,430,000	29.03%	2,447,229	-	2,447,229
Subtotal	<u>132,083,075</u>		<u>90,054,507</u>	<u>-</u>	<u>90,054,507</u>
Waterloo Community School District	79,949,948	100.00%	<u>-</u>	<u>79,949,948</u>	<u>79,949,948</u>
Total			<u><u>\$ 90,054,507</u></u>	<u><u>\$ 79,949,948</u></u>	<u><u>\$ 170,004,455</u></u>

Note: Overlapping governments are those that coincide, at least in part, with the geographic boundaries of the District. This schedule estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the District. This process recognizes that, when considering the government's ability to issue and repay long-term debt, the entire debt burden borne by the residents and businesses should be taken into account. However, this does not imply that every taxpayer is a resident and, therefore, responsible for repaying the debt, of each overlapping government.

* The percentage of overlapping debt applicable is estimated using taxable property values. Applicable percentages were estimated by determining the portion of another governmental unit's taxable value that is within the District's boundaries and dividing it by each unit's total taxable value.

Source: Black Hawk County Auditor's Office and District financial records

**Waterloo Community School District
Legal Debt Margin Information
Last Ten Fiscal Years
(Unaudited)**

	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018
Total Assessed Valuation	\$ 3,802,126,625	\$ 3,902,415,496	\$ 3,946,897,334	\$ 3,975,290,145	\$ 4,151,533,171	\$ 4,183,159,818	\$ 4,071,191,917	\$ 4,089,863,656	\$ 4,182,838,361	\$ 4,268,208,420
Debt limit 5% of total assessed value	\$ 190,106,331	\$ 195,120,775	\$ 197,344,867	\$ 198,764,507	\$ 207,576,659	\$ 209,157,991	\$ 203,559,596	\$ 204,493,183	\$ 209,141,918	\$ 213,410,421
Amount of debt application to debt limit, total general obligation bonded debt	46,400,000	46,400,000	69,159,539	69,159,539	77,809,539	76,109,539	78,514,539	75,754,539	69,539,539	79,842,539
Excess of Debt Limit Over Bonded Debt Outstanding Legal Debit Margin	\$ 143,706,331	\$ 148,720,775	\$ 128,185,328	\$ 129,604,968	\$ 129,767,120	\$ 133,048,452	\$ 125,045,057	\$ 128,738,644	\$ 139,602,379	\$ 133,567,882
Amount of Debt Applicable to Debt Limit as a Percentage of Debt Limit	24.41%	23.78%	35.05%	34.79%	37.48%	36.39%	38.57%	37.05%	33.25%	37.41%

* Excludes tax increment financing (TIF) property.

Source: Black Hawk County Auditor's Office and District financial records

**Waterloo Community School District
Pledged Revenue Coverage
Last Ten Fiscal Years
(Unaudited)**

Year Ended June 30,	Revenue	Local Options Sales Tax Revenue Bonds		
		Debt Service		Coverage
		Principal	Interest (Net of Credits)	
2009	11,210,010	35,000,000	1,662,500	0.31
2010	11,109,593	-	1,740,400	6.38
2011	8,746,420	46,400,000	1,740,450	0.18
2012	8,946,070	-	1,297,428	6.90
2013	9,303,618	1,350,000	2,567,733	2.37
2014	9,395,943	1,700,000	2,672,117	2.15
2015	10,422,634	2,655,000	2,657,939	1.96
2016	10,622,853	2,760,000	2,567,822	1.99
2017	10,477,446	4,930,000	2,572,701	1.40
2018	10,092,844	6,364,000	1,375,813	1.30

Source: District financial records

**Waterloo Community School District
Demographic and Economic Statistics
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	Population*	Personal Income	Per Capita Personal Income	Unemployment Rate
2009	127,446	3,941,267,550	30,925	5.0%
2010	129,110	4,014,054,000	31,090	5.4%
2011	131,090	4,096,562,500	31,250	6.0%
2012	131,833	4,094,562,500	31,059	5.6%
2013	132,039	4,031,678,826	30,534	4.9%
2014	132,039	4,189,729,509	31,731	4.5%
2015	133,467	4,279,485,888	32,064	4.6%
2016	133,799	4,550,102,593	34,007	5.0%
2017	135,400	4,695,265,800	34,677	4.2%
2018	135,882	4,804,787,520	25,360	2.9%

* Population for Black Hawk County

Source: U.S. Department of Numbers, Cedar Valley Community Fact Sheet, 2018 Edition and Bureau of Labor Statistics

**Waterloo Community School District
Principal Employers
Current Year and Nine Years Ago
(Unaudited)**

Name	Product/Service	2018			2009		
		Employees	Rank	Percentage of Total Employment	Employees	Rank	Percentage of Total Employment
Deere & Company	Manufacturing	5,000	1	15.04%	5,300	1	20.62%
Tyson Fresh Meats	Food processing	2,900	2	8.72%	2,600	3	10.12%
Wheaton Franciscan Healthcare	Health care	2,883	3	8.67%	3,018	2	11.74
UnityPoint Health	Health care	2,520	4	7.58%	-	-	0.00
University of Northern Iowa	Higher education	1,816	5	5.46%	1,850	4	7.20%
Hy-Vee Food Stores	Grocery	1,733	6	5.21%	1,121	7	4.36%
Waterloo Community School District	Education	1,604	7	4.82%	1,439	6	5.60%
Omega Cabinet, Ltd.	Manufacturing	994	8	2.99%	1,000	10	3.89%
VGM Group	Business services	-	-	0.00%	-	-	0.00
Target Distribution	Distribution	840	10	2.53%	-	-	0.00
Covenant Health Systems	Health care	-	-	0.00%	-	-	0.00%
Allen Health Systems	Health care	-	-	0.00%	1,746	5	6.79%
Bertch Cabinet Manufacturing	Manufacturing	925	9	2.78%	1,025	9	3.99%
Area Education Agency 267	Education	-	-	0.00%	1,110	8	4.32%
Total		<u>21,215</u>			<u>20,209</u>		

Source: Cedar Valley Community Fact Sheet, 2018 Edition

Waterloo Community School District
Full-Time Equivalent District Employees
Last Ten Fiscal Years
(Unaudited)

	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018
Administration										
Superintendent	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Assistant superintendent	2.0	2.0	1.8	1.8	1.8	2.0	2.0	2.0	2.0	2.0
Principals	23.0	23.0	23.0	18.0	18.0	18.0	18.0	17.0	17.0	17.0
Assistant principals	7.0	8.0	13.0	14.0	12.0	19.0	21.0	21.0	20.0	20.0
Other administrators	16.8	19.8	20.0	24.0	18.9	14.0	12.0	13.9	13.9	13.2
Total Administration	49.8	53.8	58.8	58.8	51.7	54	54	54.9	53.9	53.2
Instruction										
Teachers	773.6	790.0	806.1	878.5	867.7	850.9	867.6	838.0	842.0	835.0
Counselors	25.5	25.5	25.5	25.5	23.5	28.5	30.8	31.0	30.0	30.0
Librarians	5.0	2.0	2.0	2.0	6.0	11.0	9.0	5.0	7.0	7.0
Teacher leaders	1.0	0.0	0.0	0.0	0.0	10.0	12.0	25.0	20.0	20.0
Total Instruction	805.1	817.5	833.6	906.0	897.2	900.4	919.4	899.0	899.0	892.0
Other										
Clerical-Teacher Associates	318.6	332.5	316.2	359.4	409.3	410.7	412.5	384.6	344.7	356.0
Crafts/Trades	26.0	26.0	26.0	28.0	27.0	26.0	26.0	25.0	25.0	24.0
Other support	88.9	88.4	233.8	224.6	221.2	233.3	248.5	267.8	272.5	287.0
Total Support	433.5	446.9	576.0	612.0	657.5	670.0	687.0	677.4	642.2	667.0
Total*	1,288.4	1,318.2	1,468.4	1,576.8	1,606.4	1,624.4	1,660.4	1,631.3	1,595.1	1,612.2

* FTE (full-time equivalent)

Note: District FTE by function/program not available.

Source: District records

Waterloo Community School District
Full-Time Equivalent and Salary Information for District Instructional Staff
As of June 2018
(Unaudited)

Degree	Step	BA		BA+15		BA+30		MA		MA+15		MA+30		MA+45	
		FTE	Salary	FTE	Salary	FTE	Salary	FTE	Salary	FTE	Salary	FTE	Salary	FTE	Salary
	1	-	\$ 33,760	-	\$ 35,448	-	\$ 37,136	-	\$ 38,824	-	\$ 40,512	-	\$ 42,200	-	\$ 43,888
	2	-	35,110	-	36,798	-	38,486	-	40,174	-	41,862	-	43,550	-	45,238
	3	49.0	36,461	2.0	38,149	-	39,837	3.0	41,525	-	43,213	-	44,901	-	46,589
	4	40.0	37,811	4.0	39,499	2.0	41,187	11.0	42,875	2.0	44,563	-	46,251	-	47,939
	5	23.0	39,162	4.0	40,850	2.0	42,538	8.0	44,226	1.0	45,914	-	47,602	-	49,290
	6	30.0	40,512	5.0	42,200	3.0	43,888	10.0	45,576	1.0	47,264	-	48,952	-	50,640
	7	26.0	42,200	7.0	43,888	1.0	45,576	6.0	47,264	3.0	48,952	2.0	50,640	2.0	52,328
	8	13.0	43,888	9.0	45,576	5.0	47,264	18.0	48,952	2.0	50,640	1.0	52,328	-	54,016
	9	17.0	45,576	6.0	47,264	3.0	48,952	18.0	50,640	1.0	52,328	2.0	54,016	1.0	55,704
	10	24.0	47,264	11.0	49,290	4.0	51,315	18.0	53,341	2.0	55,366	2.0	57,392	2.0	59,418
	11	10.0	48,952	3.0	50,978	6.0	53,003	8.0	55,029	3.0	57,054	1.0	59,080	-	61,106
	12	4.0	49,965	1.0	51,980	2.0	54,005	10.0	56,031	4.0	58,056	4.0	60,081	-	62,106
	13	7.0	50,978	3.0	52,993	3.0	55,008	16.0	57,033	5.0	59,058	1.0	61,083	2.0	63,108
	14	13.0	51,980	5.0	54,005	3.0	56,031	11.0	58,056	3.0	60,081	3.0	62,106	1.0	64,131
	15	5.0	52,993	1.0	55,008	1.0	57,033	7.0	59,058	2.0	61,083	1.0	63,108	5.0	65,133
	16	4.0	53,995	3.0	56,010	1.0	58,035	10.0	60,060	6.0	62,085	4.0	64,110	6.0	66,135
	17	3.0	54,997	3.0	57,012	5.0	59,037	12.0	61,062	7.0	63,087	5.0	65,112	3.0	67,137
	18	3.0	55,999	5.0	58,024	3.0	60,049	8.0	62,074	2.0	64,104	1.0	66,129	2.0	68,154
	19	3.0	56,991	7.0	59,016	6.0	61,041	8.0	63,066	6.0	65,099	5.0	67,124	8.0	69,159
	20	2.0	57,993	4.0	60,018	5.0	62,043	5.0	64,069	8.0	66,104	6.0	68,129	7.0	70,181
	21	1.0	58,995	10.0	61,041	37.0	63,106	32.0	64,144	21.0	66,182	19.0	68,258	35.0	70,332
Total		277.0		93.0		92.0		219.0		77.0		58.0		76.0	
Total Full-Time Equivalents															892.0

Degree	Step	BA		BA+15		BA+30		MA		MA+15		MA+30		MA+45	
		FTE x Salary		FTE x Salary		FTE x Salary		FTE x Salary		FTE x Salary		FTE x Salary		FTE x Salary	
	1	\$ -		\$ -		\$ -		\$ -		\$ -		\$ -		\$ -	
	2	-		-		-		-		-		-		-	
	3	1,786,579		76,298		-		124,575		-		-		-	
	4	1,512,448		157,997		82,374		475,343		90,476		-		-	
	5	900,717		163,398		85,750		359,208		46,926		-		-	
	6	1,215,360		212,688		133,689		465,890		48,614		-		104,656	
	7	1,097,200		309,579		46,251		289,662		50,302		156,984		-	
	8	570,544		413,222		239,695		899,370		103,980		108,032		55,704	
	9	774,792		285,610		148,881		929,754		161,034		55,704		114,784	
	10	1,134,336		542,186		205,260		960,138		221,464		114,784		118,160	
	11	489,520		152,933		318,018		440,232		171,162		59,080		-	
	12	199,859		52,666		109,382		567,170		-		243,072		-	
	13	356,843		162,048		169,137		934,480		302,150		62,456		128,288	
	14	667,098		271,768		171,162		653,598		184,329		190,407		65,832	
	15	259,952		55,029		57,730		420,651		124,912		64,819		337,600	
	16	209,312		166,099		58,067		607,680		380,814		263,328		411,198	
	17	157,997		167,112		293,710		737,316		451,374		335,910		208,638	
	18	159,010		280,208		178,254		496,944		130,988		68,195		141,792	
	19	160,022		394,554		358,530		502,352		397,020		346,040		575,272	
	20	107,357		226,867		302,150		317,345		537,456		421,326		510,454	
	21	54,016		570,544		2,260,922		2,052,608		1,432,095		1,353,446		2,587,690	
Total		\$ 11,812,962		\$ 4,660,806		\$ 5,218,962		\$ 12,234,316		\$ 4,835,096		\$ 3,843,583		\$ 5,360,068	
Average Salary						\$ 52,170				Total Salaries				\$ 47,965,793	

Source: District records

**Waterloo Community School District
Operating Statistics
Last Ten Fiscal Years
(Unaudited)**

<u>Year</u>	<u>Operating Expenditures*</u>	<u>Daily Average Attendance</u>	<u>Resident Students</u>	<u>Operating Cost Per Resident Student</u>	<u>Pupil/Teacher Ratio</u>		
					<u>Elemen- tary</u>	<u>Middle</u>	<u>High School</u>
2009	101,169,028	9,624	10,730	9,429	11.80	12.40	15.60
2010	109,318,391	9,859	10,884	10,044	11.80	12.50	14.10
2011	110,258,036	9,770	10,622	10,380	11.80	12.00	13.40
2012	118,441,759	10,062	10,720	11,049	11.30	10.70	12.30
2013	123,352,577	10,019	10,802	11,419	11.30	10.40	11.70
2014	121,279,224	10,320	10,991	11,034	11.80	10.70	11.60
2015	124,662,148	10,359	11,134	11,197	12.20	10.50	11.90
2016	124,746,081	10,250	10,936	11,407	11.80	10.80	12.00
2017	122,046,437	10,135	10,835	11,264	12.10	11.20	12.10
2018	128,146,481	10,149	10,879	11,779	12.10	11.80	12.40

* Includes only General Fund expenditures, including AEA flowthrough

Source: District records

Note: This is the most recent information available for table presentation.

Waterloo Community School District
School Building Information
As of June 30, 2018
(Unaudited)

<u>Name of School</u>	<u>Dates Constructed</u>	<u>Grades Served With Special Education</u>	<u>Building and Certified Enrollment Third Friday in September, 2017</u>	<u>Number of Classrooms</u>
Preschool/Elementary Schools				
Elk Run/Freeburg	1952, 1954, 1956, 1962	Pre-K	113	4
Becker	2011, 2014	K-5	467	27
Cunningham	2002	K-5	375	29
Highland	2010	K-5	553	32
Irving	2003	K-5	480	30
Kingsley	1919, 1952, 1958, 2006	K-5	382	24
Kittrell	1950, 1955, 1960, 1962, 2009	K-5	557	33
Lincoln	2004	K-5	524	29
Lou Henry	2005	K-5	482	30
Lowell	1931, 2005, 2007, 2009	K-5	309	22
Orange	1915, 1951, 1954, 2014, 2015	K-5	497	31
Poyner	2007	K-5	453	49
			<u>5,192</u>	<u>340</u>
Middle Schools				
Bunger	1964, 2004, 2014	6-8	421	45
Carver	2009	6-8	498	36
Central	1972, 1980, 1991, 1994, 2006, 2008, 201	6-8	479	67
Hoover	1967, 2004, 2008, 2014, 2015	6-8	930	54
			<u>2,328</u>	<u>202</u>
High Schools				
East	1916, 1939, 1954, 1955, 1956, 1962, 1975, 1986, 1988, 2002, 2004, 2009, 2013	9-12	908	74
West	1955, 1962, 1980, 2002, 2009	9-12	1727	82
Alternative High School and Other Programs				
Expo	1952, 1961, 2000	6-12	411	47
			<u>3,046</u>	<u>203</u>
Subtotal			10,566	745
Open enrollment/tuition in			(40)	-
Resident students attending outside the district			<u>353</u>	<u>-</u>
Totals			<u>10,879</u>	<u>745</u>
Other Facilities - Nonstudent Occupancy				
Educational Service Center	1964			
Maintenance, Transportation	1964, 1970, 1979			
Stadium	1994			
Bus Garage	2015			
Leased or Nonoccupied Facilities				
Edison	1914, 1936, 1949			
Longfellow	1959, 1960, 1988			
Maywood	1950, 1952			
Castle Hill	1955, 1957, 1958			

Source: District records

Waterloo Community School District
Building and Certified Resident Student Enrollment by Grade
Last Ten Fiscal Years
(Unaudited)

Grade	2018	2017	2016	2015	2014	2013	2012	2011	2010	2009
Pre-K	113	136	140	145	89	120	244	122	112	70
Kindergarten	854	844	872	925	962	949	920	864	912	839
1	837	858	871	899	948	896	859	867	837	785
2	847	869	871	930	858	837	850	804	769	731
3	851	842	900	852	821	830	781	751	757	764
4	837	875	825	807	805	770	740	727	769	759
5	853	797	774	806	765	732	728	747	746	772
6	799	752	773	773	718	715	727	726	782	829
7	760	769	735	714	705	739	727	759	802	740
8	769	726	717	713	751	712	769	797	713	674
9	958	855	878	888	892	902	911	873	814	990
10	781	765	810	804	816	852	821	724	810	743
11	701	756	776	763	768	697	622	701	634	681
12	606	649	643	736	674	607	647	680	725	770
Special education	*	*	*	*	*	*	*	*	*	*
Subtotal	10,566	10,493	10,585	10,755	10,572	10,358	10,346	10,142	10,182	10,147
Open enrollment in	(40)	(42)	(46)	(49)	(58)	(52)	(48)	(63)	(63)	(71)
Open enrollment out	353	384	397	428	477	496	539	543	765	654
Totals	10,879	10,835	10,936	11,134	10,991	10,802	10,837	10,622	10,884	10,730

* The District has adopted an inclusionary philosophy regarding special education students so they are included in the appropriate grade.

Source: District records

Waterloo Community School District Miscellaneous Information

Waterloo Community School District includes the cities of Waterloo, Evansdale, Elk Run Heights, Gilbertville and Raymond, part of the City of Cedar Falls and certain unincorporated area in Black Hawk, County, including Mt. Vernon, Bennington, East Waterloo, Poyner, Cedar and Orange Townships, encompassing a total of 150 square miles. Black Hawk County is located in northeast Iowa and was named for the famous Native American leader Black Hawk (1767-1838), the principal figure in the Black Hawk War of 1832. The first permanent residents of Black Hawk County were the Sturgis and Adams families who settled here in 1845. In 1850, the population of Black Hawk County was 135; Cedar Falls was the largest town. Population increased in Waterloo and in 1855, the county seat was moved from Cedar Falls to Waterloo. By 1868, 23,000 acres of land were under cultivation in Black Hawk County. In 1990, the county was the fourth largest in the state, with a population of 123,798.

The District operated 19 schools plus early childhood education buildings, an administration building, a maintenance building, warehouse and a bus garage. The following data provides the number of buildings per grade level:

	17-18	16-17	15-16	14-15	13-14	12-13	11-12	10-11	09-10	08-09
Elementary - K-5	11	11	11	11	11	11	11	11	12	12
Middle School - 6-8	4	4	4	4	4	4	4	4	4	4
High School - 9-12	3	3	3	3	3	3	3	3	3	3

The District contracts with Durham School Services to provide student transportation. Approximately 6,000 students are transported daily. On July 1, 2007, school meals were brought in-house serving approximately 1,500,000 meals for the year. Nursing services are provided by Black Hawk County. Driver education is contracted with Drive Tek.

The Board of Education meets on the second and fourth Mondays of each month during the school year and usually once a month in June and July.

The U.S. Census Bureau reports the population characteristics of Black Hawk County as follows:

**Waterloo Community School District
Miscellaneous Information**

	Population Characteristics					
	1990		2000		2010	
	Number	Percent	Number	Percent	Number	Percent
Total Population	123,798	100.00	128,012	100.00	131,090	100.00
Persons by Gender						
Male	58,910	47.59	61,458	48.01	63,710	48.60
Female	64,888	52.41	66,554	51.99	67,380	51.40
Persons by Race						
White	113,656	91.80	113,194	88.43	112,213	85.60
Black	8,514	6.88	10,179	7.95	11,667	8.90
Other	1,628	1.32	4,639	3.62	7,210	5.50
Persons by Age						
Under 10	17,363	14.02	15,941	12.45	16,281	12.43
10-19	19,148	15.46	19,401	15.16	17,689	13.49
20-29	20,154	16.28	22,140	17.29	24,354	18.58
30-39	18,944	15.30	15,527	12.13	14,919	11.38
40-49	14,914	12.05	18,421	14.39	15,065	11.49
50-59	10,852	8.77	13,730	10.73	17,579	13.41
60-69	10,792	8.72	9,241	7.22	12,022	9.17
70-79	7,550	6.10	8,242	6.44	7,264	5.54
80 and over	4,081	3.30	5,369	4.19	5,917	4.51
Median Age of Population	32.9		34.4		34.4	
Total Households	46,932		49,683		51,366	
Persons Per Household	2.51		2.45		2.36	
Median Household Effective						
Buying Income	Not available		\$33,088		\$42,753	
Work Force						
Waterloo/Cedar Falls, Iowa, labor force from Bureau of Labor Statistics, 1st quarter 2016:						
Total Labor Force				91,203		
Total Unemployment				4,595		
Unemployment Rate				5.0%		

Waterloo Community School District Miscellaneous Information

Statistical Review

Location – accessible by U.S. Highways 20, 63 and 218, as well as State Highways 21, 57, 58 and 281. Interstate 380 links the area with Interstate 80, a major east-west corridor. The community is located on the “Avenue of the Saints,” an interstate that connects St. Paul, Minnesota, and St. Louis, Missouri.

Distance in highway miles from the Cedar Valley area:

Atlanta, Georgia	960	Denver, Colorado	790
Boston, Massachusetts	1,300	Kansas City, Missouri	295
Chicago, Illinois	265	Los Angeles, California	1,855
Cleveland, Ohio	650	Minneapolis, Minnesota	180
Dallas, Texas	845	St. Louis, Missouri	345

	Spring	Summer	Fall	Winter
Average Temperature	47.7	71.3	49.7	20.7
Average Rain (inches)	3.4	4.6	2.4	1
Average Snow (inches)	2.3	0	1.1	6.7

Transportation

Rail Service	Canadian National/Illinois Central Iowa Northern Railway Union Pacific Railroad
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Airport	Waterloo Regional Airport
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Commercial Carriers	American Airlines
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Business Services

Hotels and Motels	Rooms	2,163
	Largest Banquet Capacity	2,000

Media	Newspapers	1 daily, 3 weekly
	Radio Stations	13
	Television Channels Received	7
	Cable Television Providers	2

Telecommunications	Local Operating Companies	Mediacom/CenturyLink
	Points of Presence (local)	MCI and AT&T
	Local Internet Service Providers	6

Waterloo Community School District Miscellaneous Information

Recreation and Sporting Activities	Public Parks	104
	Dog Parks	4
	Municipal Golf Courses	6
	Disc Golf Courses	2
	Public Swimming Pools/Aquatic Centers	7
	Public Tennis Courts	28
	Softball/Baseball Diamonds	23
	Ice Skating/Hockey Arenas	6
	Campgrounds: Sites	11:559
	Public Boat Launches	15
	Soccer Complex: Fields (Outdoor)	1:15
	Soccer Fields (Indoor)	2

Arts and Culture	Museums	15
	Public Libraries	3
	Visual Arts and Galleries	7
	Performing Arts Venues	11
	Amusement Centers	10
	Symphony Orchestra	2

Household Income	Real Median Household Income - Waterloo/Cedar Falls	\$ 50,348
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Cost of Living Comparisons	Miscellaneous					
	Grocery	Housing	Utilities	Trans- portation	Health Care	Goods and Services
Chicago, IL	93.9	121	93	160	94	107
Kansas City, MO-KS	92.9	72	101	102.0	100	102
Minneapolis, MN	92.9	138	100	127	87	108
Waterloo/Cedar Falls, IA	90.4	55	91.0	72	120	96

Source: www.bestplaces.net/comparecities

Waterloo Community School District Miscellaneous Information

Community and Economic Development

The Iowa Northland Regional Council of Governments was formed in 1973 and is organized pursuant to Chapter 28E, State Code of Iowa. Their service area is a six-country area, including Black Hawk County. Their major functions are:

- To increase the coordination of programs between the local governments.
- To promote regional and metropolitan long-range planning.
- To provide a forum for the discussion of common interest, problems and concerns of the local governments.
- To provide mechanism for legally reviewing federal and state grant and aid programs for the cities and counties in the region.

The Greater Cedar Valley Alliance provides leadership in Black Hawk County for creating jobs through expansion of existing businesses and industries, new business formation and relocation of companies. It is governed by a Board of Directors, representing a wide geographical representation.

Special Attractions/Activities

The National Park Service has designated a large part of the northeast Iowa, including the Cedar Valley area, as a national heritage park area. This designation is for the express purpose of telling the story of America's agricultural and industrial revolution, resulting in significant tourism. Silos and Smokestacks is a private nonprofit organization, funded by city, state and federal funds and private contributions. Existing agricultural sites (National Cattle Congress, Rath facility, farms, etc.) are also being using as tourist attractions.

The county boasts of 8,600 park acres in 190 parks including Black Hawk Park, Hickory Hills Park, McFarlane Park, Paw Park, Hartman Reserve Nature Center, George Wyth State Park, Sturgis Park, Sullivan Park and Cedar Valley Nature Trail. The Cedar Valley Nature Trail winds along the Cedar River bottomlands between Waterloo and Cedar Rapids and has 106 miles of hard-surfaced trails, 10 miles of water trails and emerging network of soft trails. The Cedar Valley Lakes and Trails project is a cooperative venture which resulted in the creation of an 800-acre "Chain of Lakes" along a ten-mile Cedar River corridor in the Waterloo/Cedar Falls area.

The area also features a variety of performing arts centers including the Oster Regent Theatre, Waterloo Community Playhouse, Black Hawk Children's Theatre, Strayer-Wood Theatre at the University of Northern Iowa, Waterloo/Cedar Falls Symphony Orchestra, the UNI School of Music, Lampost Theatre and Coffee Co., the RiverLoop Ampitheatre and Hawse Auditorium at Hawkeye Community College. The University of Northern Iowa is home to 115,000 square foot Gallagher-Bluedorn Performing Arts Center. The main auditorium can accommodate 1,680 concert goers, with each seat less than 100 feet from the stage and no more than 30 degrees off center.

The Isle of Capri Casino and Hotel is a tropical paradise offering 950 slots, including more than 75 video poker machines, 27 table games, 3 restaurants, a feature bar, resort pool, spa and 600-seat entertainment venue. The hotel has 195 rooms and 27 suites.

Waterloo Community School District Miscellaneous Information

The Phelps Youth Pavilion is a 39,000 square foot children's museum filled with creative, hands-on experiences for children of all ages.

Other Attractions

Antique Acres

Behrens-Rapp Visitor Information Station

Black Hawk Tennis Club

Bluedorn Science Imaginarium

Byrnes Park Tennis Center

Cedar Valley Arboretum and Botanic Gardens

Cedar Valley Soccer Complex

Cedar Valley Sportsplex

County Gentleman's Horse and Carriage Service, Inc.

Farmers Markets

Five Sullivan Brothers Convention Center

Full Court Sports Academy

Galleria De Paco

Georgo Wyth House

Get Air Waterloo

Grout Museum of History and Science

Hansen's Farm Fresh Dairy

Hawkeye Community College

Hearst Center for the Arts and Sculpture Garden

Ice House Museum

John Deere Operations

John Deere Tractor and Engine Museum

John Livingston Display

Little Red School House Museum

Lost Island Adventure Park

Mark's Park

**Waterloo Community School District
Miscellaneous Information**

Marshall Center One-Room School
McLeod Center
Metropolitan Chorale
National Wrestling Hall of Fame/Dan Gable Museum
Rensselaer Russell House Museum
River Front Stadium
RiverLoop Public Market Co-op
RiverLoop, Arts Malls and Mark's Park
Sullivan Brothers Iowa Veterans Museum
Sunrise Exchange Club Children's Petting Zoo
Tailgrass Prairie Center
The Falls Aquatic Center
UNI Botanical Center
UNI-Dome
UNI-Gallery of Art
UNI Wellness/Recreation Center
Victorian Home and Carriage House Museum
Viking Pump Museum
WaterHawks Ski Team
Waterloo Black Hawks Hockey Team
Waterloo Bucks Baseball Team
Waterloo Center for the Arts
Waterloo Municipal Band Concerts
Young Arena

Special Events

July	Accel Triathlon
	BBQ'LOO & Blues Too
	Black Hawk County 4-H and FFA Fair

**Waterloo Community School District
Miscellaneous Information**

Iowa Shrine Bowl Football

Iowa State Trap Shoot

Waterloo Open Golf Tournament

August Cedar Valley Grain Fondo/Fondo Fest
Cedar Valley Pridefest
Iowa Irish Fest
Old Time Power Show
Stem and Stein

September Fiesta: A Celebration of Latino Culture
Fall Harvest Festival
National Cattle Congress Fair
Waterloo's Largest Flea Market

October Cedar Valley Endurance Festival
IHSMA State Marching Band Contest
Sullivan Brothers 5k and 10k Races
Tour De'Loo
WCF Symphony concert

November Festival of Trees
Holiday Arts Festival
Holiday Hoopla
Iowa High School Football Playoffs
Metropolitan Chorale Concert
WCF Symphony Concert
Winter Wonder'loo

**Waterloo Community School District
Miscellaneous Information**

December	Battle of Waterloo Wrestling Tournament Holiday Hoopla Continues WCF Symphony Concert
January	Iowa Boat, RV, and Vacation Show
February	Cedar Valley Winterfest Eastern Iowa Home and Landscaping Show Hawkeye Farm Show
March	Cedar Valley Baconfest Eastern Iowa Sports Show First Regional Robotics Competition Funky Junk-A-Loo Maple Syrup Festival USA Kids and Cadets National Folkstyle Wrestling Tournament World's Greatest Spring Break for Kids
April	Waterloo's Largest Flea Market
May	4 th Street Cruise Cedar Valleys Arboretum Plant Sale
June	College Hill Arts Festival My Waterloo Days Festival Sturgis Falls Celebration/Cedar Basin Jazz Festival

**Waterloo Community School District
Insurance Schedule
As of June 30, 2018
(Unaudited)**

	Coverage	Deductible
School Package Policy, EMC Insurance Companies		
Building and contents, all locations	\$ 359,099,397	\$ 50,000
Errors and omissions liability	1,000,000	3,000
Workers' compensation	500,000	-
General liability (per occurrence)	1,000,000	-
Personal injury liability	1,000,000	-
Theft	20,000	1,000
Computer fraud (crime)	500,000	5,000
Umbrella liability (stand alone)	9,000,000	10,000
Umbrella liability (group excess)	15,000,000	-
Employee dishonesty	500,000	5,000
Contract maintenance	606,775	-
Cyber liability	3,000,000	25,000
Owned Automobile Policy, EMC Insurance Companies		
Liability (each accident)	2,000,000	-
Automobile medical payments (each person)	2,000	-
Uninsured motorists bodily injury (each person)	1,000,000	-
Underinsured motorists (each person)	1,000,000	-
Comprehensive	-	500
Collision	-	500
Garage keepers	50,000	500

Source: District records